المصرف
AL MASRAF
Arab Bank for Investment & Foreign Trade المصرف العربي للاستثمار والتجارة الخارجية

ANNUAL REPORT 2025




بسم الله الرحمن الرحيم



His Highness
Sheikh Mohamed Bin Zayed Al Nahyan
President of the United Arab Emirates
and Ruler of Abu Dhabi



His Highness
Sheikh Mohammed Bin Rashid Al Maktoum
Vice President and Prime Minister
of the United Arab Emirates and Ruler of Dubai



His Highness
Sheikh Mansour Bin Zayed Al Nahyan
Vice President of the United Arab Emirates
Deputy Prime Minister and Chairman
of the Presidential Court



His Highness
Sheikh Khaled Bin Mohamed Bin Zayed Al Nahyan
Crown Prince of Abu Dhabi
Chairman of the Abu Dhabi Executive Council



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Section 1: Corporate Overview

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About **Us**

The Arab Bank for Investment and Foreign Trade (Al Masraf) was founded in July 1976, commencing its banking operations under the authority of Federal Decree No. 50, issued and signed by the late His Highness Sheikh Zayed Bin Sultan Al Nahyan.

Al Masraf has stood in the forefront promoting joint economic ventures among its partners The UAE, Libya & Algeria. By providing world class banking & trade finance services in the gulf region, Al Masraf strives to achieve its vision of becoming an innovative and preferred financial partner for all banking services in the region.

Al Masraf offers a full range of financial services including Retail Banking, Corporate Banking, Islamic Banking and Treasury and Investment services with the aim of helping their customers build and manage their finances. The Bank's values create a drive to constantly update its products and services in order to meet the diverse and evolving needs of their customers.

Vision

To become an innovative and preferred financial partner for all banking services in the region

Our Spirit

Ambitious
The goals we set define the standard of excellence. We galvanize the passion of our people to exceed the expectations of ourselves, our customers and the communities we serve.

Mission

- Become the first choice bank for the customers with best-in-class products and services.
- Be an employer of choice to attract, develop and retain high profile employees.
- Benefit our investors with sustainable Return on Investment (ROI) and continuous success.
- Contribute to society through active participation in the regional economic development initiatives.

Values

Progressive
We are solutions-focused, maintain best-in-industry standards and value the free exchange of ideas.

Connected
We are in touch with our customers, present for our colleagues, and connected to our communities-in person and online.

Trusted
We are open and transparent, and build relationships that last for generations. We keep our word and take responsibility for actions.



At a **Glance**

Established in
1976

90% focused
on Corporate Banking

5 branches and
50+ ATMs

Developed trade links between
UAE, Libya & Algeria

Islamic Banking window
launched in **2015**

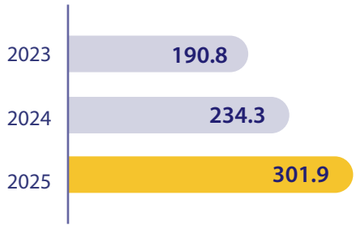
Drive to
digitalization
across the Bank

Credit Ratings

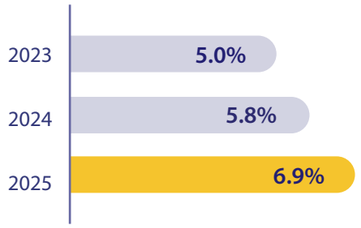
FITCH: A/F1
Stable Outlook (March 2025)

Capital Intelligence: A/A1
Stable Outlook (August 2025)

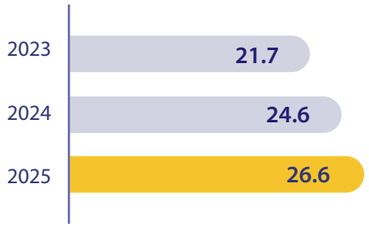
Financial **Highlights**



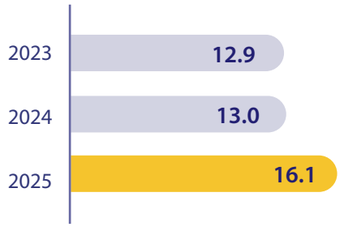
Net Profit After Tax (AED Mn)



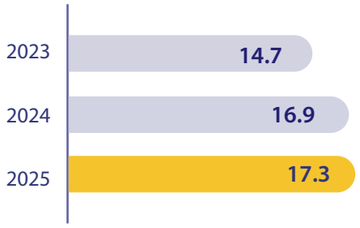
Return on Equity



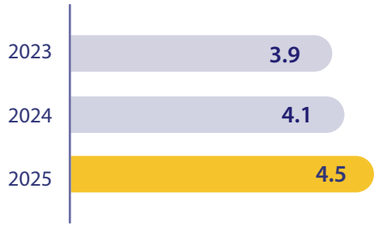
Total Assets (AED Bn)



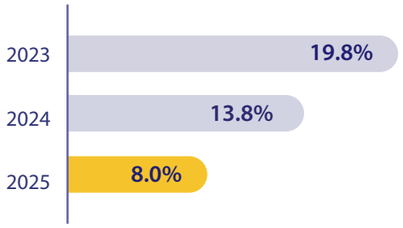
Loans and Advances (AED Bn)



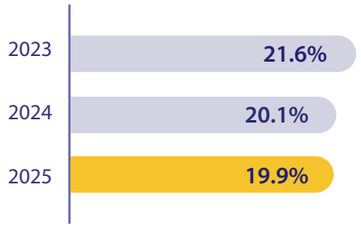
Customer Deposits (AED Bn)



Total Equity (AED Bn)



NPL Ratio



Capital Adequacy Ratio

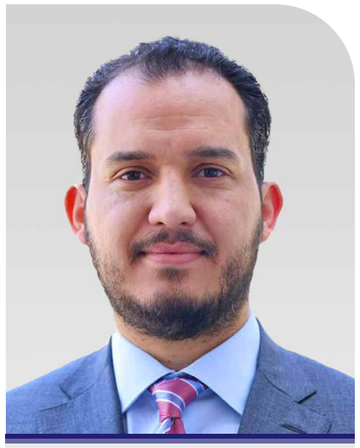
Board of **Directors**



H.E. Farhat Omar Ben Gadara
Chairman



H.E. Mohamed Saif Al Suwaidi
Vice Chairman



Mr. Ahmed AlSidieg Al Sharkasi
Director



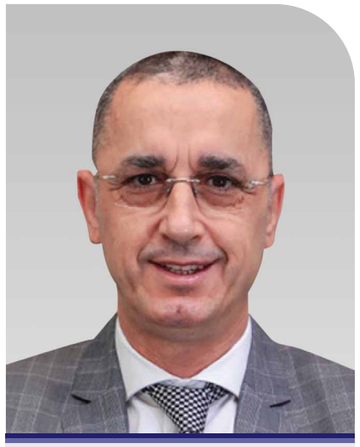
Mr. Mustafa El Manea
Director



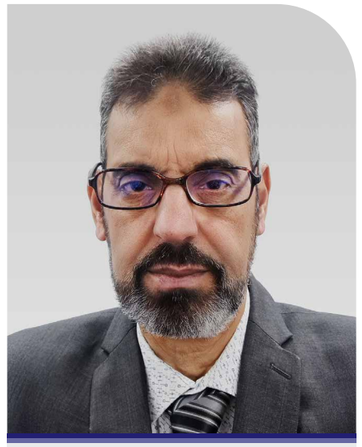
Mr. Khalaf Al Dhaheri
Director



Ms. Raja Al Mazrouei
Director



Mr. Mustapha Makhlouf
Director

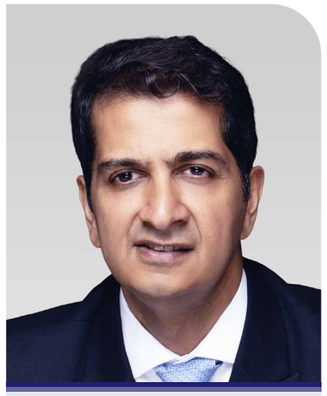


Mr. Lahouri Rahali
Director

Executive **Management**



Mr. Fuad Mohamed
Chief Executive Officer



Mr. Hitesh Thakkar
Chief Financial Officer



Mr. Ahmad Yousuf
Head of Treasury & Investments



Mr. Moataz Khalil
Chief Wholesale Banking Officer



Mr. Ammar Al Ozaibi
Chief Human Resources Officer



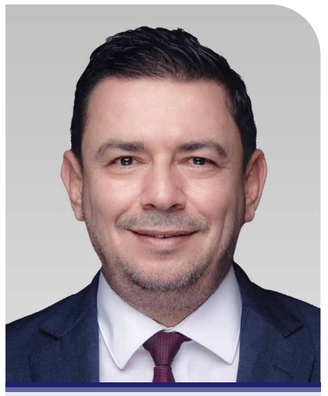
Mr. Rohit Kumar
Chief Risk Officer



Ms. Safeya Almarzooqi
Chief Credit Officer



Mr. Masood Safar Al Majedi
Chief Compliance Officer



Mr. Razi Heyasat
General Counsel & Board Secretary



Mr. Moath Ahmed Mustafa
Chief Internal Audit Officer

Board of **Directors**



H.E. Farhat Omar Ben Gadara
Chairman

H.E. Farhat Omar Ben Gadara is a seasoned financial professional with a wealth of experience and a strong record of leadership and achievement. His career in the financial industry is highlighted by a number of influential positions, including Chairman of Libya's National Oil Corporation and Chairman of Arab Bank for Investment & Foreign Trade (Al Masraf). In addition, he is a Chairman of Arab Banking Corporation International Bank in London, Vice Chairman of Unicredit Group, and Deputy Chairman of Arab Banking Corporation in Bahrain. He has also served as an Advisory Board Member for Standard Chartered Bank, and as Founder and Chairman of the Investment and Development Fund.

In addition to his work in the private sector, H.E. Ben Gadara has also held several important public positions, including Governor of the Central Bank of Libya, Member of the Oil and Gas Supreme Council, Member of the Supreme Planning Council, and Chairman of the African Central Bank Governors Association. Currently, he holds a Master's degree in Money, Banking and Finance from Sheffield University in the UK, as well as a BA in Economics from Benghazi University.



H.E. Mohamed SaifAl Suwaidi
Vice Chairman

H.E. Mohamed Saif Al Suwaidi is the Director General of Abu Dhabi Fund for Development (ADFD), as has been appointed since 2008, in addition, H.E. Al Suwaidi is the Vice Chairman of the Arab Bank for Investment and Foreign Trade (Al Masraf). He serves as the Alternate Governor, representing the UAE, on the Board of Governors of the Asian Infrastructure Investment Bank (AIIB). Moreover, he also serves as a board member of many institutions such as the First Abu Dhabi Bank (post-merger), the Food Security Centre – Abu Dhabi, Al Jazira Sports and Cultural Club, UAE Red Crescent Authority, Agthia Group, Raysut Cement Company and Maroc Telecom, as well as many international institutions and entities.

H.E. Al Suwaidi holds a B.Sc. degree in Business Administration from California Baptist University, USA. He has also undertaken many intensive technical, administrative and leadership training programs.

Board of **Directors**



Ms. Raja Al Mazrouei
Director

A multi-award-winning digital transformation leader with over 20 years of experience accentuating the next-gen wave of digital innovation. Specializing heavily on the intricacies of the financial and technology sectors, Ms. Raja holds a strong history involving cross-functional leadership, finance, and all things progressive - collectively steered by her passion for pioneering large-scale industry and UAE community reform. Furthermore, she is highly acclaimed for instilling innovative advancements here in the present, as well as positioning stakeholders for sustainable success as they navigate deeper into the ever-transient, digital future.

Ms. Raja holds multiple membership positions in various organizations. She is currently the Managing Director of Etihad Credit Insurance (ECI) also a Board Member of ECI. She is also a Board Member of Zand and has been serving in this position on a full-time basis. Additionally, she is a Member of the Board of Trustees for the Mohammed Bin Rashid School of Government (MBRSG). In 2019 Ms. Raja appointed as a Board Member of Al Masraf. Furthermore, she is a Board Member of the MENA and Central Asia Advisory Board for the Harvard Business School.

She worked as a senior executive, former EVP of DIFC FinTech Hive. Here, Ms. Raja proactively networked with financial institutions, government entities, technology partners, Venture Capital/Funds, and entrepreneurs to spearhead the UAE's national innovation agenda. In addition, Ms. Raja's technical/financial acumen led to FinTech becoming a leading contributor to the UAE digital economy, the formation of 500+ FinTech, RegTech, and InsurTech startups that opened new doors for societal opportunities, and FinTech ranking as one of the World's best financial innovation labs under Global Finance Magazine.

From building winning mindsets, implementing scaling accelerations to diversely improving life quality via cutting-edge integrations, Ms. Raja enjoys leveraging larger-picture technology to secure viable outcomes across the board. This, in conjunction with her history of harvesting new 'status quo challenged' opportunities, and reputation for positioning UAE as an innovation destination, is what shaped Raja into an internationally recognized digital change agent – one who values people and process bridging and addresses every project with an ambition to create solutions that solidity mutually beneficial outcomes.



Mr. Khalaf Sultan Rashed Al Dhaheri
Director

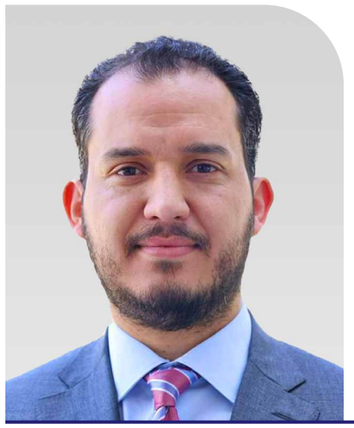
Mr. Khalaf Sultan Al Dhaheri is a prominent business leader in the United Arab Emirates, known for his extensive experience in serving on numerous boards. He is a board member at Arab Bank For Investment & Foreign Trade (Al Masraf). Recently, in June 2022, he was appointed an Independent Non-Executive Director at Amanat Holdings PJSC, the largest healthcare and education investment company in the GCC. Additionally, he is the Chairman of Abu Dhabi National Islamic Finance and of Abu Dhabi National Properties Co. He also sits on the boards of Abu Dhabi National Hotels, Dar Al Takaful PJSC and Islamic Development Bank.

Mr. Al Dhaheri previously served as the Chairman of Massar Solutions PJSC, a Board Member of Emirates Institution for Banking and Financial Studies, and an Audit Committee Member of Abu Dhabi National Oil Company. Mr. Al Dhaheri also held numerous executive roles including Group Chief Operating Officer at National Bank of Abu Dhabi and General Manager & Chief Risk Officer of First Abu Dhabi Bank PJSC.

Mr. Al Dhaheri holds a bachelor's degree in accounting from U.A.E. University and holds an MBA from Zayed University. He is also a Certified Public Accountant from the California Board of Accountancy and the American Institute of Certified Public Accountants in the USA and has an accredited certification from Ashridge – Hertfordshire (UK) in advanced management programs.

With his strong background in finance and management, Al Dhaheri has established himself as a leader in the UAE's business community and has made significant contributions to the growth and development of the country's economy.

Board of **Directors**



Mr. Ahmed AlSidieg Al Sharkasi
Director

The Board Member, Mr. Ahmed Al Sharkasi, has been appointed at Arab Bank for Investment and Foreign Trade (Al Masraf) since January 2022. He serves as the Secretary of the Prime Minister of the Council of Ministers of the Libyan Government of National Unity since 2021. Additionally, he is the head of the Future Foundation and a political advisor for general staff affairs. Moreover, he holds the position of executive director of Musharakah and Atismo Charity.

Mr. Ahmed Al Sharkasi holds a Master of Science degree from Britain and holds a Bachelor of Science degree from the University of Misrata.



Mr. Mustafa El Manea
Director

Mr. Mustafa El Manea is a highly accomplished corporate leader with an extensive experience in law, finance, and governance. He holds a Law degree from Garyounis University and has pursued advanced studies, obtaining an Arbitration certificate from Ain Shams University, a Communication certificate and a Certificate of qualification for leaders and managers from the United Kingdom. Additionally, Mr. El Manea has acquired diverse expertise through numerous training programs in risks, project management, rule of law, and planning.

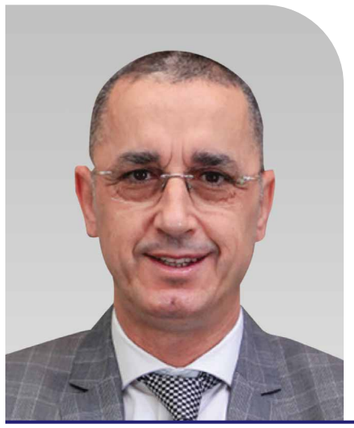
With over two decades of legal expertise, Mr. El Manea has served in pivotal advisory roles, including as Advisor to the Governor of the Central Bank of Libya and Secretary of the National Transitional Council. His leadership extends to board memberships, where he has contributed significantly to organizations such as the Libyan Investment Corporation and the Libyan Foreign Bank.

Mr. El Manea's influence transcends borders, with active participation in international engagements, representing Libya in meetings with prestigious institutions like the United Nations, the International Monetary Fund and the World Bank. Furthermore, his involvement in initiatives such as the founding committee of the African Investment Bank and his advisory position to the Omani Sovereign Fund underscores his commitment to global economic development.

His corporate acumen, coupled with his legal prowess and dedication to advancing financial frameworks, makes Mr. Mustafa El Manea an invaluable asset in any corporate setting.

Mr. El Manea has been appointed as a Board Member at Arab Bank for Investment and Foreign Trade (Al Masraf) since 2023.

Board of **Directors**



Mr. Mustapha Makhlouf
Director

Mr. Mustapha Makhlouf is a seasoned financial professional with a wealth of experience in international banking and finance. He holds a Higher Certi-cate of Education in Mathematics, a Bachelor of Economics Sciences from the University of Algiers, and a post-graduate degree in Economic Sciences with a focus on economics analysis. He also holds several accreditations and certifications in technical training, banking activities, and anti-money laundering.

Mustapha's professional journey began as a teacher of Physics and Natural Sciences, before he served his military service.

In 1988, he joined Banque Extérieure d'Algérie (BEA) as a project manager and went on to serve in various capacities, including Area Manager for Europe and North America, Head of Department for International Banking Relations, and Manager of International Banking.

Throughout his career, Mr. Mustapha has received extensive training in banking and finance, participating in technical trainings, workshops, and seminars on anti-money laundering, international guarantees, international -nance, and foreign trade. He has also gained international exposure through his active participation in business forums and meetings, representing BEA and promoting Algerian exports and business. Some of his notable international experiences include participation in conferences and exhibitions in Libya, Malaysia, France, Jordan, and South Korea.



Mr. Lahouri Rahali
Director

Mr. Rahali Lahouri brings over 33 years of extensive experience in banking and financial management, with a career spanning multiple leadership roles across prominent financial institutions in Algeria. He is currently the Director General of the External Bank of Algeria, a position he has held since April 2024.

Mr. Rahali has served as Chairman of the Board of Directors of the External Bank of Algeria (2021–2023) and as Chairman and CEO of the National Bank of Algeria (2019). Prior to this, he held various executive roles at the Local Development Bank (BDL), including Deputy General Director (2012–2019), Secretary General (2008–2012), Director of International Relations and Foreign Trade (2001–2003), and Director of the Operations Network (1999–2001). Throughout these roles, he managed teams, oversaw credit structures and commercial operations, and contributed significantly to the digital transformation of banking operations.

He holds a Third Cycle Diploma of Specialized Studies in Banking from the Tunis Development Finance Institute and a Bachelor's Degree in Financial Economics from the Institute of Economic Sciences of Oran. Fluent in Arabic, French, and English, Mr. Rahali is recognized for his expertise in banking functions, operational management, and strategic leadership.

Section 2: Strategic Review

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Chairman's **Statement**

"The Bank recorded a net profit after tax of AED 302 million, representing growth of 28.8 % over the previous year. Total income reached AED 903 million, while total assets grew to AED 26.7 billion, reflecting a balance sheet that is expanding with purpose, not merely with scale. "



Dear Shareholders,

On behalf of the Board of Directors and myself, it is with great pleasure that I present to you the Annual Report of the Arab Bank for Investment and Foreign Trade (Al Masraf) for the fiscal year ending December 31, 2025.

Building on the strong foundations established in previous years, Al Masraf delivered outstanding financial performance, reflecting the continued execution of our well-defined strategy and our steadfast commitment to prudent risk management and operational excellence.

Al Masraf recorded a net profit after tax of AED 302 million, representing growth of 28.8 % over the previous year. Total income reached AED 903 million, while total assets grew to AED 26.7 billion, reflecting a balance sheet that is expanding with purpose, not merely with scale. These results are a testament to the confidence, our customers and partners place in Al Masraf, and to the commitment of our Board and management to delivering consistent, long-term value.

We are equally encouraged by the marked improvement in asset quality during the year. The strength of our credit portfolio, underpinned by a robust governance framework and proactive risk culture, positions the Bank with resilience and confidence as we look ahead. Our capital position remains well above regulatory requirements, affirming Al Masraf's standing as a financially sound and well-governed institution.

In line with the Board's commitment to delivering sustainable value to our shareholders, we are pleased to recommend a cash dividend of AED 60 million, representing 3 per cent of the Bank's paid-up share capital, subject to the approval of shareholders at the Annual General Meeting.

Throughout 2025, we continued to advance our digital transformation agenda and enhance our service capabilities. By streamlining processes, strengthening risk infrastructure, and investing in technology, we have improved operational efficiency while elevating the customer experience. We further consolidated our relationships in regional markets, particularly in North Africa, where we continue to leverage our institutional partnerships to deliver specialized banking solutions, including trade finance and structured liquidity services.

Our commitment to strong corporate governance remains unwavering. During the year, we continued to review and enhance our governance framework, ensuring full alignment with regulatory standards and international best practices. Oversight across risk management, compliance, internal audit, and financial reporting remains rigorous and Board-led, reinforcing transparency, accountability, and operational integrity.

In line with regulatory expectations and our philosophy of continuous improvement, we regularly evaluate the effectiveness of the Board and its committees to ensure strong leadership and sound decision-making. We firmly believe that robust governance is fundamental to sustainable performance and long-term stakeholder confidence.

The UAE economy maintained its positive growth trajectory in 2025, supported by prudent fiscal policies, continued diversification efforts, and strategic national initiatives aligned with the "We the UAE 2031" vision. The resilience of the national banking sector, supported by strong capitalization and liquidity, provided a stable platform for growth and innovation.

Against this backdrop, Al Masraf remained focused on strengthening its competitive positioning, enhancing profitability, and reinforcing its risk culture. Our results reflect not only favorable market conditions, but also the Bank's internal transformation and disciplined execution.

We are accelerating into a new phase of disciplined, sustainable growth anchored in client centricity and execution excellence. We are strengthening our balance sheet, enhancing capital efficiency, and scaling high-quality assets aligned to our strategic sectors and risk appetite.

Through a more integrated, one-bank operating model and digital enablement, we are driving productivity, and superior customer experience. Our focus remains on deepening primary relationships, expanding fee income, and embedding a high-performance, disciplined growth culture.

I would like to express my deepest gratitude to our wise leadership for their unwavering support and guidance. Our sincere thanks to His Highness Sheikh Mohamed bin Zayed Al Nahyan, President of the UAE; His Highness Sheikh Mohammed bin Rashid Al Maktoum, Vice President and Prime Minister of the UAE, and Ruler of Dubai; and His Highness Sheikh Mansour bin Zayed Al Nahyan, Vice President, Deputy Prime Minister, and Minister of the Presidential Court, for their visionary leadership. We are also grateful to the Central Bank of the UAE for its continuous support, to our loyal shareholders for their trust, to our valued customers for their partnership, and to our dedicated employees for their hard work and commitment.

Together, we will continue to build on our institutional strength and disciplined governance to further solidify Al Masraf's position as a resilient and forward-looking financial institution.

H.E. Farhat Omar Ben Gadara
Chairman of the Board of Directors

CEO's **Message**

"Al Masraf demonstrated robust financial momentum supported by disciplined balance sheet management and strategic business expansion. Total income remained strong at AED 903 million, while total assets grew 8.1% to AED 26.7 billion."



The year 2025 represents a defining chapter in the evolution of Al Masraf. This year, we undertook a comprehensive and disciplined assessment of the Bank's strategy, operating model, risk framework, and capital deployment approach.

Our objective was to strengthen the structural foundations of the institution, correct areas of inefficiency, reinforce governance, and reposition the Bank for sustainable, disciplined growth.

We delivered an exceptional set of financial results in 2025, underscoring the effectiveness of our strategic direction, resilience in our core businesses, and commitment to innovation, excellence, and sustainability. The Bank achieved a profit before tax of AED 336 million, up 30.6% year on year, and net profit after tax of AED 302 million, up 28.8% , a testament to the disciplined execution of our growth strategy and strong operational performance.

These results reflect our unwavering focus on strengthening the balance sheet, enhancing asset quality, improving risk efficiency, and delivering sustainable value creation for our shareholders and stakeholders in a dynamic market environment.

Throughout 2025, Al Masraf demonstrated robust financial momentum supported by disciplined balance sheet management and strategic business expansion. Total income remained strong at AED 903 million, while total assets grew 8.1% to AED 26.7 billion. We achieved meaningful growth in lending and customer deposits, with loans and advances up 23.6% to AED 16.1 billion and customer deposits increasing 2.3% to AED 17.3 billion. Our capital position continued to be strong, with a Tier 1 ratio of 18.8% and a capital adequacy ratio of 19.9%, reflecting top quartile strength in the UAE banking sector.

Asset quality improved markedly in 2025, with the non performing loans ratio strengthening by 580 basis points to 8.0%, and the cost of risk on loans and advances improving by 120 basis points. Liquidity remained healthy with a loan to deposit ratio of 92.9%, reflecting the robustness of our funding profile and balance sheet resilience. Our return on equity (ROE) reached 6.9%, reflecting the bank's continued commitment to delivering improved profitability & shareholder value.

Throughout 2025, management focused on reinforcing the Bank's core pillars, capital strength, liquidity resilience, operational efficiency, and performance accountability. We streamlined decision-making frameworks, strengthened risk oversight mechanisms, improved cross-functional coordination, and advanced digitization initiatives to enhance productivity and client experience. The year served as a foundation-setting period, aimed at identifying and devising strategies to correct inefficiencies, strengthen internal controls, and embed a more disciplined performance culture across the institution.

Al Masraf continued to deepen its strategic partnerships and broaden its value proposition in 2025. We signed a key agreement with Finneva Information Technologies LLC to introduce innovative Supply Chain Finance solutions,improving cash flow and working capital access for SMEs.

To further strengthen operational eficiency, we entered a strategic partnership with Lexzur to adopt AI driven legal solutions, setting new benchmarks for automation and innovation in our processes.

We also formalized a Memorandum of Understanding with Etihad Credit Insurance (ECI) to expand trade credit insurance and risk mitigating solutions for exporters and corporate clients ,reinforcing our role in supporting UAE trade and export finance.

Our participation in global forums, including the "Commerzbank Emerging Markets Macro" Conference in Lisbon, demonstrated Al Masraf's commitment to thought leadership and engagement with international financialpartners.

We achieved key operational milestones in 2025, including full compliance with the National Electronic Security Authority (NESA) Information Assurance Assessment, with a 100% score a reflection of our steadfast commitment to cybersecurity and digital trust.

Our sustained focus on people development and Emiratisation was evident throughout the year. As of 2025, the Bank achieved an Emiratisation rate of 58.3%, reflecting our continued commitment to supporting the UAE's national workforce agenda. We also maintained a diverse and inclusive workplace, with 35% female and 65% male representation across the organisation. In line with this commitment, we convened a dedicated UAE National Gathering that brought together our local talent, strengthening dialogue, engagement, and a shared vision across the organisation.

Corporate Social Responsibility remained central to our ethos. In 2025, Al Masraf actively engaged in community initiatives such as the Ramadan Iftar program, where our teams collaborated with Dubai Customs and the Dubai Charity Association to support labourers with essential meals, reinforcing our commitment to social inclusivity and community wellbeing.

Going forward, our strategic ambition is unequivocal. We are transitioning from stabilization to acceleration. The coming years will focus on scaling high-quality, capital-efficient growth across both Wholesale and Retail Banking, supported by an integrated "one-bank" client coverage model.

We will deepen primary client relationships, expand fee-based and transaction-driven businesses, and strengthen our liability franchise to support sustainable balance sheet growth, while keeping our financial and risk discipline intact.

Digitization and empowering our people through a top to roots culture shift will be our key enablers . We will accelerate automation, enhance data analytics capabilities, and institutionalize end-to-end process optimization to improve turnaround times, cost efficiency, and customer experience. Focus on risk analytics, pricing discipline, and capital allocation frameworks, including the integration of risk-adjusted performance metrics, will further enhance return quality and support progressive improvement in return on equity. Our focus will remain on supporting the UAE's economic diversification agenda, deepening partnerships with strategic stakeholders and leveraging technology to enhance operational efficiency and customer experience.

I extend my sincere gratitude to our shareholders. Chairman, Board of Directors, management team, and every Al Masraf employee whose dedication and professionalism have been instrumental in our success. I also thank our customers, partners, and regulators for their invaluable trust and continued support.

Mr. Fuad Mohamed
Chief Executive Officer

Business **Overview**

In 2025, Al Masraf continued to advance its strategic transformation agenda while strengthening its core banking franchises across corporate banking, treasury, retail and business banking, and digital technology. Operating in an environment shaped by evolving global trade dynamics, rapid digital adoption, and sustained economic momentum in the United Arab Emirates, the Bank remained focused on disciplined balance sheet growth, enhanced client engagement, and operational resilience.

Corporate Banking

Across its Corporate Banking operations, the Bank supported the financing and trade requirements of businesses operating in key sectors of the UAE economy. Loans and advances expanded significantly during the year, reflecting strong demand for structured lending, working capital facilities, and cross-border trade solutions. Trade finance remained a core pillar of the Bank's corporate franchise, enabling international commerce through export letters of credit and other trade instruments while strengthening relationships with corporate clients across regional and global markets.

The Corporate Banking Group delivered a strong performance in 2025, reflecting continued momentum across the UAE's corporate and trade sectors. Against a backdrop of evolving global trade dynamics and regional economic expansion, the Group remained focused on supporting clients with financing solutions, trade facilitation, and cross-border banking capabilities.

Throughout the year, we maintained a disciplined approach to portfolio growth while strengthening relationships with corporates across key industries. This focus enabled the Group to expand its lending portfolio, with loans and advances reaching AED 15.6 billion, representing 26% growth compared to the previous year. The increase reflects both sustained client demand and the Bank's commitment to supporting businesses that contribute to the UAE's diversified economic landscape.

Trade finance continued to be a central pillar of the Group's activities. As global supply chains adapt to new economic realities, corporates increasingly require reliable banking partners to facilitate international transactions. During the year, Al Masraf supported this demand by processing over AED 23 billion in Export Letter of Credit transactions, strengthening its role in enabling trade flows between the UAE and international markets.

The Group also delivered improved income generation, with operating income increasing to AED 453 million, supported by higher lending activity and a strong contribution from fee-based services. In particular, trade-related income saw notable growth, with trade fee income increasing by 54%, reflecting both increased client activity and the Bank's focus on expanding its trade finance offerings.

Beyond financial performance, 2025 was also a year of strengthening partnerships and advancing digital capabilities. During GTR MENA 2025 in Dubai, the Bank signed an agreement with Finneva to introduce a supply chain financing platform that will enhance the efficiency and accessibility of trade finance solutions for our clients.

Our leadership team also participated in SIBOS 2025 in Frankfurt, engaging with global financial institutions on the future of cross-border payments, financial infrastructure, and the ongoing digital transformation of banking.

At the same time, we continued to strengthen institutional partnerships that support our clients' international growth. Agreements with Etihad Credit Insurance, Emirates Development Bank, and Commerzbank enhance our ability to support exporters, facilitate trade corridors, and provide tailored financing solutions to businesses operating across multiple markets.

Looking ahead, the Corporate Banking Group remains focused on building a resilient and diversified portfolio while expanding its trade finance capabilities and digital solutions. As the UAE continues to strengthen its position as a global hub for trade and investment, we remain committed to supporting our corporate clients with the financial expertise, partnerships, and platforms required to enable their continued growth.

Treasury and Investments

The Treasury & Investments function played a critical role in supporting balance sheet expansion and maintaining a stable funding structure. Through disciplined liquidity management, proactive funding strategies, and prudent regulatory oversight, the Bank reinforced its liquidity position while expanding access to institutional funding markets. Strategic initiatives, including the development of EMTN and Commercial Paper programmes, further strengthened Al Masraf's ability to diversify funding sources and enhance capital market engagement.

Institutional deposits approached AED 7 billion during the year, supported by disciplined liquidity management and proactive funding strategies. Treasury operations maintained tight intraday liquidity control, efficient term-laddering practices, and the effective deployment of surplus liquidity into high-quality liquid assets (HQLA) and short-dated investment instruments.

This disciplined approach supported the Bank's balance sheet expansion, with total assets increasing from AED 24.6 billion in 2024 to AED 26.7 billion in 2025. At the same time, the Bank maintained a diversified funding structure and prudent risk management framework. Strategically, Al Masraf continued to strengthen its market funding capabilities through the development of EMTN and Commercial Paper (CP) programmes, expanding access to both long-term and short-term institutional funding markets. The Treasury & Investments roadmap also progressed with initiatives focused on implementing a modern treasury management system, diversifying cross-border funding lines, and deploying a multi-product investment platform to enhance execution capacity and market visibility.

Retail Banking

Retail & Business Banking also delivered steady progress during the year, supported by improved customer acquisition, enhanced branch productivity, and targeted product innovation. The division continued to focus on strengthening relationships across consumer and SME segments, supported by digital onboarding capabilities, card ecosystem enhancements, and improvements in payments infrastructure. These initiatives were complemented by operational automation and regulatory integration programs designed to enhance service efficiency and customer experience.

Consumer deposits exceeded AED 2 billion, while Business Banking deposits surpassed AED 1.4 billion, reflecting improved branch productivity, stronger frontline engagement, and increased client acquisition across key market segments.

The division focused on enhancing customer journeys and operational efficiency through a series of product and technology upgrades. These initiatives included digital onboarding enhancements, card and digital wallet improvements, MoneySend capabilities, upgrades to the Wage Protection System (WPS), and the automation of service requests and customer documentation processes.



Operational frameworks such as PPG and RPPG standardization, supported by EIDA validation and EFR integrations, further strengthened operational consistency and regulatory compliance. These initiatives were complemented by targeted product and system training programs designed to enhance frontline advisory capabilities and improve overall customer service delivery.

Digital Transformation

Digital transformation remained a central component of the Bank's long-term strategy. Investments in technology infrastructure, cybersecurity, and digital platforms supported improved operational efficiency, stronger risk management capabilities, and enhanced customer convenience. Integration with national digital infrastructure, advanced fraud prevention mechanisms, and the adoption of emerging technologies such as generative AI further reinforced the Bank's commitment to innovation and responsible digital adoption.

In parallel, Al Masraf continued to strengthen strategic partnerships with financial institutions, technology providers, and development entities to expand its capabilities in areas such as trade finance, digital banking, and cross-border financial services.

In 2025, Al Masraf continued to advance its Digital and Information Technology agenda, reinforcing technology as a central pillar supporting the Bank's operational resilience, regulatory compliance, and long-term growth strategy.

The Bank maintained a disciplined and portfolio-led transformation approach, with structured governance, executive oversight, and close alignment between business priorities and regulatory expectations. Technology initiatives were designed not only to enhance operational efficiency but also to strengthen digital capabilities and support the Bank's evolving customer service model.

Several key initiatives identified within the Bank's transformation roadmap were successfully delivered during the year. These included digitized AML customer risk scoring, enhanced fraud prevention mechanisms during onboarding, improved authentication through UAE PASS, and integration with the NPSS AANI payment ecosystem.

Strategic partnerships also played an important role in the Bank's digital progress. Collaboration with Digideed supported lead generation initiatives, while the introduction of Generative AI solutions such as App4Legal improved internal automation and operational efficiency.

Technology resilience remained a priority throughout the year. Infrastructure modernization programs, including device refresh initiatives and infrastructure health monitoring systems, were implemented to ensure system stability, service availability, and performance reliability. Information Technology also continued to play a central role in business continuity planning and testing, reinforcing the Bank's operational resilience and readiness.

Cybersecurity & Technology Governance

As digital adoption increased, the Bank further strengthened its cybersecurity posture and technology risk governance framework. Information security risk assessments and control self-assessments were conducted in close collaboration with Risk Management and Information Security teams.

Technology-related audit observations were actively monitored through structured remediation plans, ensuring that digital transformation initiatives progressed alongside a strong and transparent control environment.

People & Innovation

Al Masraf also continued to invest in building internal digital capabilities. The Future Makers Digital Transformation Ambassador Programme was launched to enhance

internal expertise in Lean methodologies, Open Finance, Robotic Process Automation (RPA), and Generative AI. Innovation initiatives such as the Gen AI Hackathon further encouraged responsible experimentation and fostered a culture of digital innovation across the organization.

Building on this foundation, Al Masraf initiated several strategic programs that will continue into 2026. These include Supply Chain Financing solutions, enhanced mobile banking apabilities, Digital Trade Journeys, open finance initiatives, core banking modernization, and end-to-end corporate lending transformation.

These programs are designed to enable improved customer experiences, greater straight- through processing, and stronger integration with financial ecosystems, supporting the Bank's next phase of digital and business transformation.



Section 3: Corporate Governance

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Corporate Governance **Report**

Introduction

The Bank practices good governance with the belief to create long-term added value on a sustainable basis for all its shareholders and all interested parties through the commitment to the principles contained in the Governance Code. The Code builds good governance principles in all of the Bank's activities. Under governance, both the Board of Directors and the Bank's Management are committed to the principles set out in the Governance Code.

Both the Board of Directors and the Bank's Management act at the best interests of the Bank and its business. The Bank has a vision, mission and values of its own consistent with the principles and philosophy of governance. The Board of Directors adopted this and ensured that it is applied.

Al Masraf Corporate Governance Framework

Al Masraf has adopted a robust Corporate Governance Framework in line with Central Bank of the UAE Corporate Governance Regulations No. 83/2019 to support a resilient, high performing and accountable culture to enable achievement of long-term financial stability and sustainable growth. The governance framework is implemented across the Bank's entities to provide confidence to our stakeholders to continue investing in the institution. To promote collaboration and alignment, the governance framework is implemented by the Board, Board Committees, Executive Management, functional Internal Control and Compliance.

In line with our commitment to transparency and sound governance practices, the Bank's amended Articles of Association (AoA), approved during the 50th General Assembly Meeting held on 6 November 2025, were officially published in the UAE Official Gazette on 12 December 2025, completing all regulatory formalities related to their enactment.

The Corporate Governance framework of Al Masraf is built on the principles of fair treatment for all stakeholders, providing a basis for an inclusive relationship between the Bank, its Board of Directors, Shareholders, Customers, Regulators and Employees throughout systems, principles and processes by which the bank is directed and controlled for the long-term benefit of all Stakeholders.

Our key governance principles are underpinned by the Bank's Corporate Governance Code, which ensures accountability, transparency, integrity and a strong focus on the Bank's sustainable success. This Code serves as a guide for implementing and continually strengthening good corporate governance practices.

Both the Board of Directors and the Bank's management are committed to the principles set out in the Code. The Bank's management acts as the guardian of the interests of all other parties dealing with or affected by the Bank's operations.

Transparency and Disclosure

The delivery of accurate information to our stakeholders represents an important priority of the Bank. For the sake of transparency, numerous reports are submitted and published by the Bank including financial and nonfinancial reports. The Board Audit Committee play a vital role in helping Al Masraf in achieving its objectives by enhancing the transparency in financial reporting process rather than only providing reasonable assurance with regard to compliance with rules and regulations and adopting financial standards and forwarding it to the Board and recommending appointing external auditors.

Al Masraf's Board of Directors (BODs)

The Board of Directors have overall responsibility to manage and conduct the Bank's affairs, including adopting strategic objectives and overseeing the senior management under the corporate governance framework and Al Masraf Corporate Governance Code. Board of Directors primary responsibility is to provide effective governance over Al Masraf affairs for the benefit of its shareholders, and to balance the interests of its diverse constituencies, such as its customers, employees, suppliers under the framework of the work environment of Al Masraf. The Board of Directors define appropriate governance structures and suitable practices for its own work and puts in place the means and mechanism for such practices to be followed and periodically reviewed for its ongoing effectiveness. The Board consist of 8 members as follows:

1. H.E. Farhat Omar Ben Gadara (Chairman)

H.E. Farhat Omar Ben Gadara is a seasoned financial professional with a wealth of experience and a strong record of leadership and achievement. His career in the financial industry is highlighted by a number of influential positions, including Chairman of Libya's National Oil Corporation and Chairman of Arab Bank for Investment & Foreign Trade (Al Masraf).

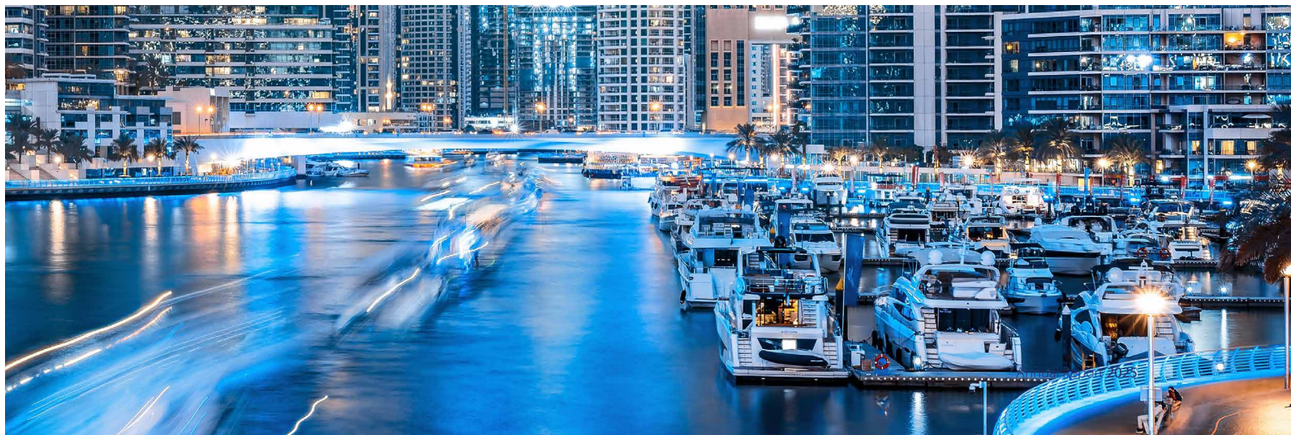
In addition, he is a Chairman of Arab Banking Corporation International Bank in London, Vice Chairman of UniCredit Group, and Deputy Chairman of Arab Banking Corporation in Bahrain. He has also served as an Advisory Board Member for Standard Chartered Bank, and as Founder and Chairman of the Investment and Development Fund.

In addition to his work in the private sector, H.E. Ben Gadara has also held several important public positions, including Governor of the Central Bank of Libya, Member of the Oil and Gas Supreme Council, Member of the Supreme Planning Council, and Chairman of the African Central Bank Governors Association. Currently, he holds a Master's degree in Money, Banking and Finance from Sheffield University in the UK, as well as a BA in Economics from Benghazi University.

2. H.E. Mohamed Saif Al Suwaidi (Vice Chairman)

H.E. Mohamed Saif Al Suwaidi is the Director General of Abu Dhabi Fund for Development (ADFD), as has been appointed since 2008, in addition, H.E. Al Suwaidi is the vice Chairman of the Arab Bank for Investment and Foreign Trade (Al Masraf). He serves as the Alternate Governor, representing the UAE, on the Board of Governors of the Asian Infrastructure Investment Bank (AIIB). Moreover, he also serves as a board member of many institutions such as the First Abu Dhabi Bank (post-merger), the Food Security Centre – Abu Dhabi, Al Jazira Sports and Cultural Club, UAE Red Crescent Authority, Agthia Group, Raysut Cement Company and Maroc Telecom, as well as many international institutions and entities.

H.E. Al Suwaidi holds a B.Sc. degree in Business Administration from California Baptist University, USA. He has also undertaken many intensive technical, administrative and leadership training programs.



3. Ms. Raja Al Mazrouei (Board Member)

A multi-award-winning digital transformation leader with over 20 years of experience accentuating the next-gen wave of digital innovation. Specializing heavily on the intricacies of the financial and technology sectors, Ms. Raja holds a strong history involving cross-functional leadership, nance, and all things progressive - collectively steered by her passion for pioneering large-scale industry and UAE community reform. Furthermore, she is highly acclaimed for instilling innovative advancements here in the present, as well as positioning stakeholders for sustainable success as they navigate deeper into the ever-transient, digital future.

Ms. Raja holds multiple membership positions in various organizations. She is currently the Managing Director of Etihad Credit Insurance (ECI) also a Board Member of ECI. She is also a Board Member of Zand and has been serving in this position on a full-time basis. Additionally, she is a Member of the Board of Trustees for the Mohammed Bin Rashid School of Government (MBRSG). In 2019 Ms. Raja appointed as a Board Member of Al Masraf. Furthermore, she is a Board Member of the MENA and Central Asia Advisory Board for the Harvard Business School. She worked as a senior executive, former EVP of DIFC FinTech Hive. Here, Ms. Raja proactively networked with financial institutions, government entities, technology partners, Venture Capital/Funds, and entrepreneurs to spearhead the UAE's national innovation agenda. In addition, Ms. Raja's technical/financial acumen led to FinTech becoming a leading contributor to the UAE digital economy, the formation of 500+ FinTech, RegTech, and InsurTech startups that opened new doors for societal opportunities, and FinTech ranking as one of the World's best financial innovation labs under Global Finance Magazine.

From building winning mindsets, implementing scaling accelerations to diversely improving life quality via cutting-edge integrations, Ms. Raja enjoys leveraging larger-picture technology to secure viable outcomes across the board. This, in conjunction with her history of harvesting new 'status quo challenged' opportunities, and reputation for positioning UAE as an innovation destination, is what shaped Raja into an internationally recognized digital change agent – one who values people and process bridging and addresses every project with an ambition to create solutions that solidity mutually beneficial outcomes.

4. Mr. Khalaf Sultan Al Dhaheri (Board Member)

Mr. Khalaf Sultan Al Dhaheri is a prominent business leader in the United Arab Emirates, known for his extensive experience in serving on numerous boards. He is a board member at Arab Bank for Investment & Foreign Trade (Al Masraf). Recently, in June 2022, he was appointed an Independent Non-Executive Director at Amanat Holdings PJSC, the largest healthcare and education investment company in the GCC. Additionally, he is the Chairman of Abu Dhabi National Islamic Finance and of Abu Dhabi National Properties Co. He also sits on the boards of Abu Dhabi National Hotels, Dar Al Takaful PJSC and Islamic Development Bank.

Mr. Al Dhaheri previously served as the Chairman of Massar Solutions PJSC, a Board Member of Emirates Institution for Banking and Financial Studies, and an Audit Committee Member of Abu Dhabi National Oil Company. Mr. Al Dhaheri also held numerous executive roles including Group Chief Operating Offi¬cer at National Bank of Abu Dhabi and General Manager & Chief Risk Offi¬cer of First Abu Dhabi Bank PJSC.

Mr. Al Dhaheri holds a bachelor's degree in accounting from U.A.E. University and holds an MBA from Zayed University. He is also a Certi ed Public Accountant from the California Board of Accountancy and the American Institute of Certi ed Public Accountants in the USA and has an accredited certification from Ashridge – Hertfordshire (UK) in advanced management programs.

With his strong background in nance and management, Al Dhaheri has established himself as a leader in the UAE's business community and has made significant contributions to the growth and development of the country's economy.

5. Mr. Mustapha Makhlouf (Board Member)

Mr. Mustapha Makhlouf is a seasoned financial professional with a wealth of experience in international banking and finance. He holds a Higher Certi cate of Education in Mathematics, a Bachelor of Economics Sciences from the University of Algiers, and a post-graduate degree in Economic Sciences with a focus on economics analysis. He also holds several accreditations and certifications in technical training, banking activities, and anti-money laundering.

Mustapha's professional journey began as a teacher of Physics and Natural Sciences, before he served his military service.

In 1988, he joined Banque Extérieure d'Algérie (BEA) as a project manager and went on to serve in various capacities, including Area Manager for Europe and North America, Head of Department for International Banking Relations, and Manager of International Banking.

Throughout his career, Mr. Mustapha has received extensive training in banking and finance, participating in technical trainings, workshops, and seminars on anti-money laundering, international guarantees, international nance, and foreign trade. He has also gained international exposure through his active participation in business forums and meetings, representing BEA and promoting Algerian exports and business. Some of his notable international experiences include participation in conferences and exhibitions in Libya, Malaysia, France, Jordan, and South Korea.

6. Mr. Lahouri Rahali (Board Member)

Mr. Rahali Lahouri brings over 33 years of extensive experience in banking and financial management, with a career spanning multiple leadership roles across prominent financial institutions in Algeria. He is currently the Director General of the External Bank of Algeria, a position he has held since April 2024.

Mr. Rahali has served as Chairman of the Board of Directors of the External Bank of Algeria (2021–2023) and as Chairman and CEO of the National Bank of Algeria (2019). Prior to this, he held various executive roles at the Local Development Bank (BDL), including Deputy General Director (2012–2019), Secretary General (2008–2012), Director of International Relations and Foreign Trade (2001–2003), and Director of the Operations Network (1999–2001). Throughout these roles, he managed teams, oversaw credit structures and commercial operations, and contributed significantly to the digital transformation of banking operations.

He holds a Third Cycle Diploma of Specialized Studies in Banking from the Tunis Development Finance Institute and a Bachelor's Degree in Financial Economics from the Institute of Economic Sciences of Oran. Fluent in Arabic, French, and English, Mr. Rahali

is recognized for his expertise in banking functions, operational management, and strategic leadership.

7. Mr. Mustafa El Manea (Board Member)

Mr. Mustafa El Manea is a highly accomplished corporate leader with an extensive experience in law, nance, and governance. He holds a Law degree from Garyounis University and has pursued advanced studies, obtaining an Arbitration certificate from Ain Shams University, a Communication certificate and a Certi cate of qualification for leaders and managers from the United Kingdom. Additionally, Mr. El Manea has acquired diverse expertise through numerous training programs in risks, project management, rule of law, and planning.

With over two decades of legal expertise, Mr. El Manea has served in pivotal advisory roles, including as Advisor to the Governor of the Central Bank of Libya and Secretary of the National Transitional Council. His leadership extends to board memberships, where he has contributed significantly to organizations such as the Libyan Investment Corporation and the Libyan Foreign Bank.

Mr. El Manea's influence transcends borders, with active participation in international engagements, representing Libya in meetings with prestigious institutions like the United Nations, the International Monetary Fund and the World Bank. Furthermore, his involvement in initiatives such as the founding committee of the African Investment Bank and his advisory position to the Omani Sovereign Fund underscores his commitment to global economic development.

His corporate acumen, coupled with his legal prowess and dedication to advancing financial frameworks, makes Mr. Mustafa El Manea an invaluable asset in any corporate setting.

Mr. El Manea has been appointed as a Board Member at Arab Bank for Investment and Foreign Trade (Al Masraf) since 2023.

8. Mr. Ahmed Al Sharkasi (Board Member)

The Board Member, Mr. Ahmed Al Sharkasi, has been appointed at Arab Bank for investment and Foreign Trade (Al Masraf) since January 2022. He serves as the Secretary of the Prime Minister of the Council of Ministers of the Libyan Government of National Unity since 2021. Additionally, he is the head of the Future Foundation and a political advisor for general staff affairs. Moreover, he holds the position of executive director of Musharakah and Atismo Charity.

Mr. Ahmed Al Sharkasi holds a Master of Science degree from Britain and holds a Bachelor of Science degree from the University of Misrata.

Role of Board of Directors

The Board of Directors are empowered, under Al Masraf's Article of Association (AoA) with the widest powers necessary to carry out the activities and functions required to fulfil the objectives of Al Masraf, which includes but not limited to:

1. Determining strategic goals of the Bank and guiding the Senior Management.
2. Supervising the Senior Management and follow up its performance and ensure the safety of the financial position of Al Masraf by adopting policies and adequate procedures to supervise and oversee the performance of Al Masraf.
3. Ensuring that the Bank manages risk effectively by approving Risk Appetite Statement and risk framework and monitor aggregate risk exposures that occurs to the Bank in its generality.
4. Ensuring implementation of disclosure policies and procedures that comply with regulatory requirements.
5. Appointing Chief Executive Officer of the Bank and his deputies and key members of Senior Management that includes organizing their selection process and their compensation, monitoring and overseeing succession planning.
6. Ensuring that the Bank has strong and well-articulated cyber security systems in place. The Board of Directors must learn about any related breaches or losses.
7. Establishing conflict of interest practices between the Board members and within Al Masraf in general.

Board of Directors Obligations and Duties

The Board of Directors are expected to exercise their business judgment in what they reasonably believe to be in the best interests of Al Masraf and to comply with relevant laws, regulations, rules, and best practices. In discharging that obligation, the directors may rely on the honesty and integrity of Al Masraf's senior executives and its advisors and auditors.

The Board of Directors shall be responsible to ensure that the Management balances the promotion of long-term growth with the delivery of short-term goals. The BODs are the main body for making decisions within Al Masraf.

Board of Directors Composition and Nomination

As per the Article of Association (AoA), the Bank shall be managed by a Board of Directors comprised of a minimum of eight Arab members, nominated by the Shareholders in accordance with the bank's Board Fit & Proper policy and appointed by the General Assembly after obtaining CB approval.

The term of membership in the Board is three years subject to renewal. The Board of directors shall elect from its members a Chairman and one or two deputies, one of whom shall substitute for the Chairman in his absence or incase of incapacity.

• Frequency of Board Meetings

The BODs shall meet at least 6 times yearly or whenever the need arises, and the agenda of the meeting with supporting documents shall be provided to the directors within sufficient time prior to the meeting date to provide ample time for review beforehand. Also, a director has the right to suggest items for inclusion on the agenda or to raise subjects that are not on the agenda for that meeting.

• Decision Making within the Board

Decisions of the Board shall be taken by vote of the majority of Board i.e. directors present. If votes are equal, the side, which the Chairman supports, shall prevail. The Board may take some decisions passing resolutions if all BODs agree that the case necessitates that due its urgency and the proposed resolutions are delivered to BODs in writing and accompanied by all necessary supporting information.

• Conflict of Interest

The BODs shall disclose any conflict of interest to the Board. Board members shall not use inside information to achieve personal gains for themselves or others. They shall also abstain from voting or even taking part in decision making process on any matter where they have an actual or potential conflict of interest. And it is not permitted for BODs to enter into any advisory relationship with Al Masraf.

• Confidentiality

The Board of Directors shall keep the entire Bank's information strictly confidential so as long as such information has not been made public. At the end of the term of their mandate, they must return all confidential documents to Al Masraf and destroy all electronic copies if directed to do so by Al Masraf and they remain legally responsible if any information is made public through them.

• Board Gender Diversity

In alignment with the expectations outlined in the CBUAE Corporate Governance Regulations, the Bank's Remuneration & Nomination Committee (RNC), through the Fit & Proper Policy approved by the Board of Directors, has acknowledged the importance of promoting gender diversity in Board nominations. Shareholders have been informed of the regulatory recommendation that atleast 20% of candidates considered for Board membership be female.

As of 31 December 2025, the Board consists of eight members, including one female, representing 12.5% of the total composition. While the Bank recognizes the significance of Gender Diversity in Board representation, future nominations will take into account various factors, including but not limited to diversity considerations.

• Difference between the Positions of the Chairman of the Board of Directors and the Chief Executive Officer

The Chairman of the Board of Directors and the Chief Executive Officer has different kind of responsibilities, therefore, to prevent any conflict of interest and to preserve an effective supervision over the management: the positions should be occupied by two different individuals in application to the valuable principles of the Governance Code.

Board Remuneration

The remuneration of the Chairman and members of the Board of Directors shall be a fixed remuneration, which is a fixed annual sum approved by the General Assembly. Any bonus or incentive payments based on the Bank's performance shall be excluded. In all cases, the remuneration shall not exceed 10% of the net profit for the fiscal year ending after deducting all depreciation and reserves.

Board Activities Meetings

The Board met 9 times in 2025 and received information in between meetings on regular basis from the Board and Management Committees in relation to the Bank's business developments.

Board Committees

The Board of Directors established Board Committees to assist the Board in carrying out its duties and obligations and offer a more detailed review of important areas of business control. The Board often delegate work to committees of directors to more effectively deal with complex or specialized issues and to use directors' time more efficiently. Committees make recommendations for action to Board of Directors, which retains collective responsibility for decision-making.

The Bank has 5 Board Committees as following:

1. Board Audit Committee (BAC)
2. Board Risk Committee (BRC)
3. Board Remuneration and Nomination Committee (RNC)
4. Board Steering Committee (BSC)
5. Board Compliance Committee (BCC)

The detailed scope and responsibility of the Bank's Board Committees as following:

1. Board Audit Committee (BAC)

The Board of Directors appoint the BAC for overseeing of the following:

The Board of Directors established the Audit Committee to assist in the oversight, monitoring and review of the following:

- The quality and integrity of financial statements and financial reporting process and the establishment or amendment of significant accounting policies and practices.
- Internal Audit activity, statutory audit process and external auditors, and other providers of assurance.
- The effectiveness of governance, risk management and internal control systems.
- Compliance with UAE Central Bank rules and Regulations
- Compliance with laws and regulations.
- Compliance with the Shari'ah in respect of Islamic Banking products and services.

The BAC approved Al Masraf's Risk-Based Annual Audit Plan, Internal Audit's Budget and Resource requirements, revision and updates of Internal Audit charter, Internal Audit performance & KPIs and the Internal Audit's policies and procedures aligning with International Standards and CBUAE Regulations related to Internal Audit.

The BAC met with the External Auditor periodically to discuss matters pertaining to Al Masraf's financial statements and financial reporting process including disclosures and the quantitative and qualitative aspects of Al Masraf's financial results. The BAC oversight the performance of the Statutory Auditors, their independence, materiality of issues and the re-appointment of the auditors.

2. Board Risk Committee (BRC)

The Board Risk Committee (BRC) is appointed by Board of Directors has the overall responsibility:

a. Ensure effective and comprehensive Risk Management Functions and Organization within Al Masraf.
b. Review and guide the Bank's Risk Appetite.
c. Review the effectiveness and appropriateness of the Bank's Risk Management Framework.
d. Ensure that Risk Management adopts best practices and follow regulatory stipulations.
e. Supervise and monitor management of Shari'ah non-compliance risk, in consultation with Internal Shari'ah Supervision Committee (ISSC) and through the internal Shari'ah division.
f. Establish the implementation of 3 Lines of Defense in line with Bank's objectives, and strategies.
g. Oversee functioning of Management Risk Committee and Internal Shari'ah Supervision Committee.

3. Board Remuneration and Nomination Committee (RNC)

The Board of Directors appoint the RNC for overseeing of the followings:

The RNC considers matters relating to appointing the Senior Management and review their remunerations and performance including policy for Executive Management remuneration and their annual individual remuneration awards. The RNC also reviews succession plans for the Chief Executive Officer and other key Senior Management positions. The RNC approves and reviews strategic HR issues including employee retention, motivation and commitment and succession planning for senior management positions.

The Bank's Board of Directors (Board) has established the Board Nomination and Remuneration Committee (RNC) that provides oversight and endorses principal remuneration policy and decisions.

The Board delegates to the (RNC) matters relating to the appointment of senior management, including policy for senior management remuneration and their annual individual remuneration awards. Employees reporting to the CEO permanently as functional heads are classified as senior management.

The RNC also reviews succession plans for the Chief Executive Officer and other key Senior Management positions and approves and reviews strategic Human Resource issues, including employee retention, motivation, and commitment for senior management positions.

From a governance perspective, the RNC oversees the Bank's remuneration policies, ensuring that the policies are consistent with and promote sound and effective risk management and do not encourage excessive risk-taking. Compensation is linked to corporate, business, and individual performance objectives, including performance against metrics set by control functions, including risk.

4. Board Steering Committee (BSC)

The Board of Directors appoint the BSC for overseeing of the following:

The main purpose of the BSC is to assist the Board to expedite making the necessary decisions in accordance with the applicable laws, regulations and Bank's policies. The BSC consists of five members of the Board of Directors in addition to the CEO as an invitee.

5. Board Compliance Committee (BCC)

The Board of Directors has appointed the BCC for overseeing of the following:

- Setting the tone for compliance
- Endorsement of Compliance policies and procedures
- Oversight of compliance function
- Oversight of Compliance risk Self-assessments
- Review of compliance reports
- Escalation of significant compliance issues to the Board
- Oversight of Compliance training and awareness programs
- Review Audit Findings on Compliance
- Appointment of Chief Compliance officer
- Appointment of Independent Advisor for BCC

The BCC comprises of 2 members of the Board and one independent advisor in addition to the Chief Compliance Officer who is the secretary of the BCC.

Board Committees Meetings

Committee	Member	Position	Frequency as per charter	Meetings held in 2025
Board Audit Committee (BAC)	Mustafa Almanea Ahmed Alsharkasi Abdulqader Obaid Ali	Chairperson Member Member, Independent Advisor	At least 6 times in a year	6
Board Risk Committee (BRC)	Khalaf AlDhaheri Rahali Lahouri	Chairperson Member Member	At least 4 times in a year	4
Board Remuneration and Nomination Committee (RNC)	Mohamed Al Suwaidi Mustapha Elmanea	Chairperson Member Member	At least 4 times in a year	4
Board Steering Committee (BSC)	Farhat Ben Gadara Raja Al Mazrouei Mohamed AlSuwaidi Khalaf AlDhaheri	Chairperson Member Member Member	Upon Request	3
Board Compliance Committee (BCC)	Raja Al Mazrouei Ahmed Al Sharkasi Muhammed Kaissi	Chairperson Member Member, Independent Advisor	At least 4 times in a year	4



Related Party Transactions

Al Masraf is following the requirements of relevant Central Bank Corporate Governance Regulation for Banks with respect to related party transactions. Related parties can include its Controlling Shareholders, Members of the Board and Senior Management (and their First-Degree Relatives) and person with control, joint control or significant influence over the Bank (and their First-Degree Relatives).

In the normal course of business, the Bank has various transactions with its related parties. Banking transactions are entered into with related parties on terms and conditions approved by either the Bank's management or the Board of Directors.

The volume of related party transactions, outstanding balances and related expenses and income for the year were as follows:

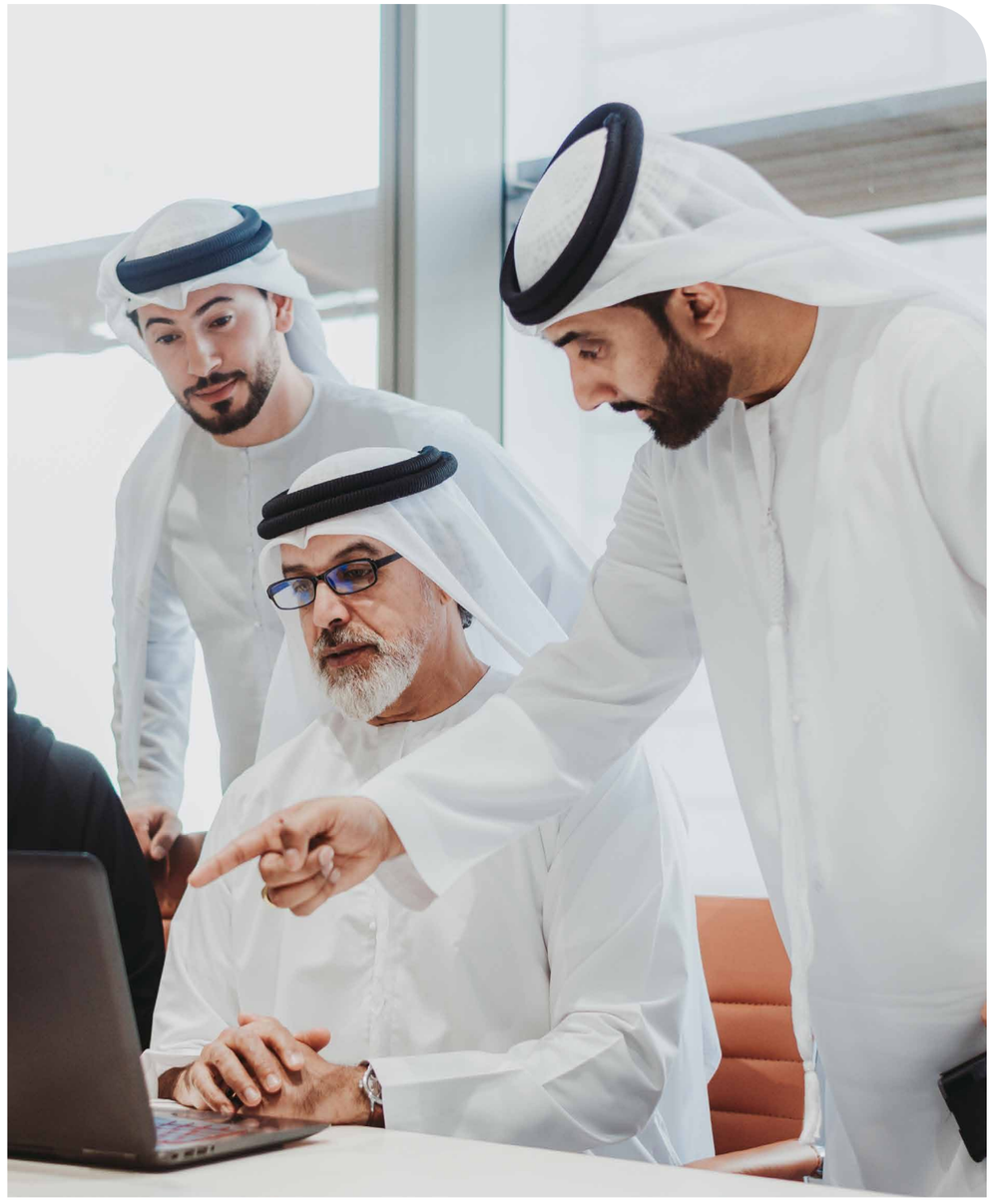
	Key management personnel		Others	
	31 December 2025 AED'000	31 December 2024 AED'000	**31 December 2025** AED'000	31 December 2024 AED'000
Balances				
Loans and advances	**5,101**	1,903	**1,956,125**	1,192,906
Due from banks	**-**	-	**168,405**	16,694
Deposits	**27,734**	7,960	**4,370,757**	5,807,453
Due to banks	**-**	-	**1,229,977**	855,681
Commitments and contingencies	**-**	-	**1,363,889**	620,883
Transactions				
Board of Directors' remuneration	**16,716**	16,731	**-**	-
Salaries and benefits	**16,257**	12,529	**-**	-
Post-employment benefits	**4,231**	1,037	**-**	-
Interest income	**170**	338	**30,044**	56,398
Interest expense	**(82)**	(458)	**(210,727)**	(231,561)
Fee and commission	**3**	1,882	**44,655**	7,098

Included within others above are balances and transactions with the Bank's shareholders and parties related to them.

Senior Management Compensation

For the year 2025, total remuneration for Senior Management amounted to AED 16.63 million. Total remuneration is comprised of fixed pay (including employer pension contributions and accrued post-employment benefits) and variable compensation awarded in the year 2025.

For further details of remuneration policy, and the design and structure of remuneration processes, please refer to the Pillar 3 report.



Management Committees

The Management Committees have ultimate responsibility for directing the activity of Al Masraf ensuring it is well run and delivering the outcomes for which it has been set up where the Bank has the following Committees:

1. Executive Committee
2. ALCO and Investment Committee
3. Management Credit Committee
4. Management Risk Committee
5. Model Oversight Committee
6. Compliance Committee

The scope and purpose of each of the Management Committees as follows:

1. Executive Committee

The Executive committee is the senior most management level committee playing a crucial role in guiding the bank towards its business objectives and strategic goals. These committee comprises of C-suite executives from various areas of the bank, each bringing their perspective and expertise to the table. The main responsibilities of the committee are to:

- Determine and implement the Bank's strategic direction and initiatives.
- Enhance customer experience and innovation.
- Review business plans, track performance against budget, and recommend initiatives to improve capabilities.
- Drive actions on corporate governance matters and human resources policies.
- Be abreast of competitive landscape, and identify external and internal opportunities and challenges.
- Oversee and ensure risk & governance that includes risk management frameworks, internal control, and ensuring compliance with Central Bank of the UAE regulations.

2. ALCO and Investment Committee (ALCO & IC)

The Asset/Liability Committee (ALCO) is a management committee that was established by the Board of Directors of Arab Bank for Investment & Foreign Trade (Al Masraf) to articulate the framework that the bank's ALCO will operate within its limits and will assist the Board of Directors by assessing the adequacy and monitoring the implementation, of the Bank's Asset / Liability Management Policy and related procedures to.

- Interest rate risk,
- Market/investment risk,
- Liquidity risk,
- Funds transfer pricing, and
- Contingency funding plan.

The purpose of Investment Committee (IC) is to:

- To make Investment Decisions as per the Board approved Risk Limits.
- To review the Investment Portfolio.
- To take BUY/SELL Decisions for Individual Investments.

3. Management Credit Committee (MCC)

The purpose of the Management Credit Committee (MCC) is to ensure that quality of financing meets the Bank's Risk-and-Return Strategy and Policies.

- Management of the Bank's credit exposures.
- Establish a collective Credit approval process at Management level.
- Competitive speed of decision-making.
- Timely response to urgent needs of the customers.
- Monitor performance and quality of Bank's Credit portfolio.
- Review overall credit portfolios through various Credit/Risk reports.
- Ensure compliance with Central Bank of the UAE (CBUAE) and other regulatory guidelines with regard to asset quality and classification.

4. Management Risk Committee (MRC)

The Management Risk Committee shall be formed to assist the Board Risk Committee (BRC) in its oversight of current and future risk exposures, review the Bank's Risk Appetite and risk profile in relation to capital, liquidity and other material risks, review the effectiveness of the Bank's risk management framework including risk governance, policies, models, systems, key process and controls, and other regulatory requirements.

It also includes assessing risks and making action plans related to:

a. Risks arising from businesses of the Bank and related control processes.
b. Comprehensive Risk Management and organization within the Bank.
c. Follow best practices in Risk Management and regulatory risk stipulations.

5. Model Oversight Committee (MOC)

The Model Oversight Committee (MOC) shall be formed to assist the Management/Board Level Committee and Board in its oversight of the model risk management and of the various decisions taken during the lifecycle of the models. The Model Oversight Committee shall ensure that the Bank meets the requirements articulated in the CBUAE's Model Management Standards.

The MOC's main objective is to optimize the ability of models to support decision-making throughout the Bank, covering all model types.

6. Compliance Committee

The Compliance Committee is responsible for overseeing the compliance program of the Bank and ensuring that the Bank is in compliance with applicable laws and regulations. The Committee is also responsible for reviewing and recommending changes to the compliance program to improve its effectiveness.

The purpose of the Compliance Committee is to provide oversight of the Bank's compliance program, which is designed to ensure that the Bank operates in accordance with applicable laws, regulations, and internal policies. The Committee is responsible for reviewing and monitoring the effectiveness of the compliance program, identifying areas for improvement, and recommending changes to senior management and the Board of Directors.

The scope of the Compliance Committee's responsibilities includes all aspects of the Bank's compliance program, such as:

1. **Regulatory Compliance:** The Committee is responsible for ensuring that the Bank complies with all applicable laws and regulations, including those related to financial reporting, data privacy, anti-corruption, and other areas of regulatory compliance.
2. **Internal Policies and Procedures:** The Committee is responsible for reviewing and approving the Bank's internal policies and procedures related to compliance, such as the Code of Conduct, whistleblowing policies, and other related policies.
3. **Compliance Training:** The Committee is responsible for ensuring that the Bank's employees receive appropriate compliance training, and for reviewing and approving the content of compliance training programs.
4. **Compliance/AML/Fraud Prevention Risk Self-Assessments:** The Committee is responsible for reviewing and approving Risk Self-assessments, which may be conducted by internal or external auditors, to assess the effectiveness of the Bank's compliance program.
5. **Compliance Incident Management:** The Committee is responsible for reviewing and approving the Bank's responses to compliance-related incidents and issues, such as potential violations of law or Bank policies, and for recommending appropriate disciplinary action.
6. **Reporting and Communication:** The Committee is responsible for reporting to senior management and the Board of Directors on compliance matters, and for ensuring that the Bank has effective communication channels in place to report and respond to compliance-related issues.

Overall, the purpose and scope of the Compliance Committee is to provide independent oversight and guidance on the Bank's compliance program, and to ensure that the Bank operates with integrity and in compliance with all applicable laws and regulations.

Internal Control

Al Masraf has implemented the Three Lines of Defense Model which is an important part of the internal control framework of the Bank, and it defines the relationship between a bank's business units, the control functions, the support functions and the internal audit function comprise the three lines of defense model.

The business units (front office, client-facing activity) are the first line of defense. The first line undertakes risks within assigned limits of risk exposure and are responsible for identifying, assessing and controlling the risks of their own business operations. They are also responsible for maintaining effective risk controls and internal systems within their operational processes and procedures.

The second line of defense includes the control functions, comprising of mainly Risk Management and Compliance functions. The second line of defense may include other support functions, such as legal, human resources, finance, operations, technology and credit. Each of the above functions provides different types of guidance and oversight, roles and responsibilities to support the first line of defense in managing and mitigating the Bank's risks.

The third line of defense is the Internal Audit function that independently assesses the effectiveness of the processes created in the first and second lines of defense and provides assurance on these processes.

Internal Audit

As the third line of defense, Internal Audit Department independently (i) Evaluates the effectiveness and efficiency of internal control, risk management, and compliance systems; (ii) Reliability and integrity of management information systems and processes; (iii) Compliance with laws, regulations, standards, and the instructions of the Central Bank; and (iv) Safeguarding of assets.

Internal Audit Department reports functionally to the Board Audit Committee & administratively to the CEO. Internal Audit charter is approved by Board Audit Committee and defines internal audit responsibilities, authority and reporting lines, and the Internal Audit has full, free and unrestricted access to all functions, records, property, and personnel.

Internal Audit Department provides independent, objective assurance and consulting services designed to add value and improve Al Masraf's operations. Internal Audit applies a comprehensive risk-based approach covering Al Masraf functions & processes in line with CBUAE regulations and the Global Internal Audit Standards by the Institute of Internal Auditors (IIA).

Compliance

The Compliance function at Al Masraf is independent and has unrestricted access to Senior Management, Board as well as all necessary information. Al Masraf has a comprehensive Compliance & AML policy in place. It has a well-defined process for performing ongoing and periodic due diligence on qualifying new and existing customers as per risk-based approach.

In line with international standards, Compliance department arranges periodic trainings, which is mandatory for all bank staff to attend. Internal and external examiners, as well as assessors have independently validated adequacy of Al Masraf's compliance function.

Risk Management

The risk governance framework aims at providing the guidance framework to identify, assess, monitor, mitigate or control key material risks. The framework includes policies, processes, procedures, systems, and controls to identify, measure, evaluate, monitor, report and control or mitigate material sources of risk on timely manner. The risk governance structure for the Bank is mainly driven from the CBUAE Risk Management Regulations and is approved by the Board.

Board and Management level Committees have directed certain functions to play a key role in the risk management, these are usually Risk Management, Compliance & Internal Audit Functions.

Chief Risk officer (CRO) is the head of the department, and reports to BRC, and administratively reports to CEO. RMD is a second Line of Defence function, independent of the management and decision-making of the Bank's risk-taking functions and primarily responsible to provide credible challenge and oversight on material risks in the Bank.

Legal Department

The Legal Department provides exemplary support to the Bank by mitigating legal risks that could impact the business and protect it from financial and reputational losses. It plays a key role in managing the Bank's legal affairs, addressing legal risks, and providing assistance both before and after disputes. Additionally, the department contributes to corporate governance by advising on relevant legal and regulatory complexities. Its responsibilities include, but are not limited to, offering legal advice, reviewing and drafting documents and contracts, and managing lawsuits both filed by and against the Bank, all while safeguarding the Bank's interests.

Shari'ah Compliance – Islamic Products and Services

Al Masraf shall strictly adhere to Shari'ah regulations and principles as set out in the decisions issued by Higher Shari'ah Authority (HSA) of the UAE of Central Bank and Shari'ah Standards issued by Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) and as interpreted of Internal Shari'ah Supervision Committee's (ISSC) fatwa, and its directions and advice, in respect of all products and services offered by Islamic window.

Contributions for the Community

Al Masraf Sponsors the 16th Fazza World Para Athletics Grand Prix 2025

The Para Olympics, a global platform for athletes with disabilities (people of determination), provides a crucial opportunity to showcase their remarkable talent and inspire the world.

unique and memorable experience for its staff. This initiative reflects Al Masraf's understanding that a healthy and engaged workforce is crucial to its continued success.



Al Masraf Partners with Dubai Customs to Distribute 1,000 Iftar Meals

Al Masraf, in its ongoing commitment to corporate social responsibility and community support, participated in a significant Ramadan initiative. the bank collaborated with Dubai Customs and the Dubai Charity Association to distribute 1,000 Iftar meals to laborers.



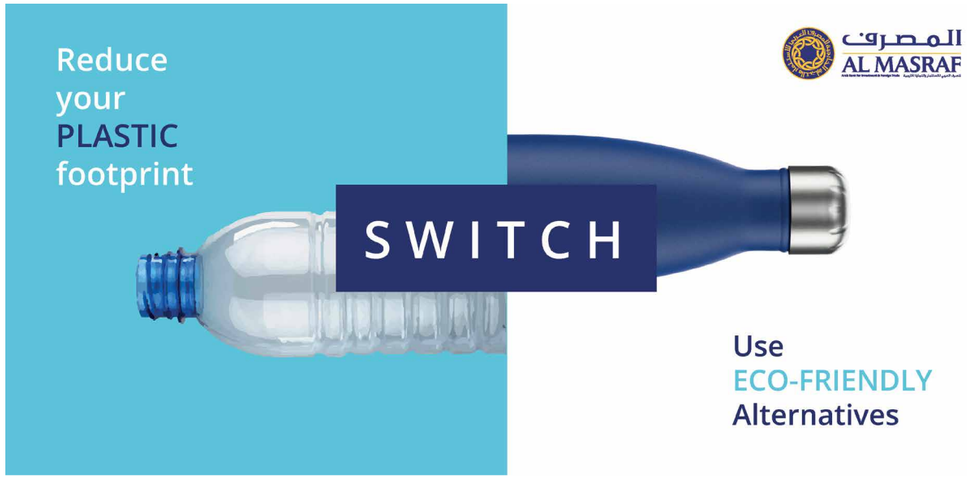
Al Masraf Supports The Farm Initiative with Dubai Club for People of Determination

Al Masraf, in its ongoing commitment to corporate social responsibility and empowering people of determination, sponsored farm spaces to provide (PODs) farming and business skills and empower their entrepreneurial spirit. The initiative promotes financial independence, entrepreneurial skills, personal growth, and commitment to environmental care.



Switch Campaign

Al Masraf has officially launched "Switch," a progressive Corporate Social Responsibility initiative designed to embed environmental consciousness into the organization's daily operations. This program mandates a transition from unsustainable, non-environmentally friendly products to greener alternatives while championing office-wide conservation habits. To kickstart this movement, the company distributed high-quality reusable water bottles to all staff members, directly targeting the reduction of single-use plastic waste. By integrating these sustainable practices into the corporate culture, Al Masraf is not only reducing its ecological footprint but also empowering its workforce to become active participants in global environmental stewardship.in need of blood transfusions but also raised awareness among employees about the importance of regular blood donation creating a healthier and more supportive community.



Emirati Women's Day

In 2025, Al Masraf celebrated Emirati Women's Day by aligning with the national theme, "Hand in Hand, We Celebrate 50 Years." This theme, launched under the directives of H.H. Sheikha Fatima bint Mubarak, coincided with the 50th anniversary of the General Women's Union and highlighted the collaborative journey of women in the UAE's progress.

On their LinkedIn and corporate channels, Al Masraf's messaging centered on:

- Honoring the "Ambassadors of Ambition": The bank celebrated the vital role of its Emirati female employees, recognizing them as key drivers of the bank's success and the nation's financial sector.
- Empowerment & Integration: Reflecting the "Year of Community," the content emphasized how Emirati women are equal partners in shaping the future, moving "hand in hand" toward the next 50 years of development.
- Leadership Recognition: The posts often featured tributes to the "Mother of the Nation" for her visionary leadership in establishing an integrated system for women's empowerment.

- Commitment to Growth: Al Masraf reaffirmed its dedication to nurturing local female talent, ensuring they have the tools to lead in both traditional and future-focused banking roles.





Breast Cancer Awareness

Al Masraf significantly expanded its commitment to Breast Cancer Awareness through high-profile partnerships and internal engagement. Their approach emphasizes both community support and employee health.

Here are the key highlights from their recent initiatives:

1. Partnership with Al Jalila Foundation

Al Masraf was recently honored at a special ceremony hosted by the Al Jalila Foundation (the philanthropic arm of Dubai Health). The bank was recognized for its outstanding contributions to health initiatives in the UAE, specifically its support for cancer research and patient care.

2. "Pink October" Internal Awareness

During Breast Cancer Awareness Month, Al Masraf typically runs internal campaigns aimed at its workforce:

- Educational Webinars: The bank hosts specialized webinars for employees to discuss the importance of early detection, screening methods, and healthy lifestyle choices.
- Supportive Culture: Similar to their "Switch" initiative, Al Masraf uses these campaigns to foster a culture of wellness, encouraging staff to prioritize regular check-ups.

The National Day

the 54th UAE National Day (Eid Al Etihad) in 2025, Al Masraf's celebrations focused on the national theme "United" and the "Year of Community," emphasizing the bank's role as a cornerstone of the nation's financial and social progress.

Drawing from their corporate announcements and community-focused activities, here is a summary of the 2025 National Day highlights:

1. "United" in Vision and Heritage

Following the official 2025 theme, Al Masraf's communications highlighted the "Spirit of the Union," celebrating the historic unification of the seven emirates. The bank organized internal events at its Abu Dhabi and Dubai headquarters, featuring:

- Traditional Performances: Live Al Ayala (folk dance) and traditional music to honor Emirati cultural roots.
- Heritage Corners: Interactive displays featuring Emirati crafts, calligraphy, and traditional cuisine for employees and visiting clients.

Environmental, Social, and Governance (ESG) Report

Al Masraf is dedicated to embedding Environmental, Social, and Governance (ESG) principles into its corporate framework as part of a long-term strategy to drive sustainable growth. Aligned with global best practices, the Global Reporting Initiative (GRI) standards, and the United Nations Sustainable Development Goals (SDGs), the bank has embarked on a structured ESG journey to enhance transparency, integrate responsible business practices, and strengthen its governance framework.

A key pillar of this transformation is the development of a structured ESG reporting framework, ensuring accountability and alignment with evolving regulatory requirements. This approach enables the bank to identify and implement key sustainability initiatives, reinforcing its commitment to ethical governance and responsible banking.

As part of this ongoing evolution, Al Masraf is actively evaluating opportunities to reduce its environmental footprint, optimize resource efficiency, and implement sustainable banking practices. The bank is committed to redefining operational processes and leveraging innovative sustainability solutions to integrate ESG considerations into business decision-making at every level.

By embedding ESG principles into its operations, Al Masraf seeks to strengthen its corporate governance framework, enhance stakeholder trust, and drive long-term value creation—ensuring that sustainability remains at the core of its business strategy.



Annual Report of the Internal Shari'ah Supervision Committee of Arab Bank for Investment and Foreign Trade (Islamic Banking Services)

Issued on: January 29, 2026

To: Shareholders of Arab Bank for Investment and Foreign Trade ("the Institution")

After greetings,

Pursuant to requirements stipulated in the relevant laws, regulations and standards ("the Regulatory Requirements"), the Internal Shari'ah Supervision Committee of the Institution ("ISSC") presents to you the ISSC's Annual Report regarding Shari'ah compliant businesses and operations of the Institution for the financial year ending on 31 December 2025 ("Financial Year").

1. Responsibility of the ISSC

In accordance with the Regulatory Requirements and the ISSC's charter, the ISSC's responsibility is stipulated as to:

a. undertake Shari'ah supervision of all businesses, activities, products, services, contracts, documents and business charters of the Institution; and the Institution's policies, accounting standards, operations and activities in general, memorandum of association, charter, financial statements, allocation of expenditures and costs, and distribution of profits between holders of investment accounts and shareholders ("Institution's Activities") and issue Shari'ah resolutions in this regard, and

b. determine Shari'ah parameters necessary for the Institution's Activities, and the Institution's compliance with Islamic Shari'ah within the framework of the rules, principles, and standards set by the Higher Shari'ah Authority ("HSA") to ascertain compliance of the Institution with Islamic Shari'ah.

The senior management is responsible for compliance of the Institution with Islamic Shari'ah in accordance with the HSA's resolutions, fatwas, and opinions, and the ISSC's resolutions within the framework of the rules, principles, and standards set by the HSA ("Compliance with Islamic Shari'ah") in all Institution's Activities, and the Board bears the ultimate responsibility in this regard.

2. Shari'ah Standards

In accordance with the HSA's resolution (No. 18/3/2018), and with effect from 01/09/2018, the ISSC has abided by the decisions, fatwas, regulations and standards issued by the Higher Shari'ah Authority (HSA) and the circulars and decisions issued by the Central Bank of the UAE as well as Shari'ah standards issued by the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) as minimum Shari'ah requirements, in all fatwas, approvals, endorsements and recommendations, relating to the Institution's Activities without exception.

3. Duties Fulfilled by the ISSC During the Financial Year

The ISSC conducted Shari'ah supervision of the Institution's activities by reviewing those activities, and monitoring them through the Internal Shari'ah Control Department, internal Shari'ah audit Department, in accordance with the ISSC's authorities and responsibilities, and pursuant to the Regulatory Requirements in this regard. The ISSC's activities included the following:

a. Convening (5) meetings during the year. In addition to (1) meeting with the Board of Director.

b. Issuing fatwas, resolutions and opinions on matters presented to the ISSC in relation to the Institution's Activities.

c. Monitoring compliance of policies, procedures, accounting standards, product structures, contracts, documentation, business charters, and other documentation submitted by the Institution to the ISSC for approval.

d. Ascertaining the level of compliance of allocation of expenditures and costs, and distribution of profits between investment accounts holders and shareholders with parameters set by the ISSC.

e. Supervision through the Internal Shari'ah Control Department, internal Shari'ah audit Department of the Institution's Activities including supervision of executed transactions and adopted procedures on the basis of samples selected from executed transactions, and reviewing reports submitted in this regard.

f. Providing guidance to relevant parties in the Institution – to rectify (where possible) incidents cited in the reports prepared by Internal Shari'ah Control Department, internal Shari'ah audit Department, and/or external Shari'ah audit.

g. Approving corrective and preventive measures related to identified incidents to preclude their reoccurrence in the future

h. Specifying the amount of Zakat due on each share of the Institution.

i. Communicating with the Board and its subcommittees, and the senior management of the Institution (as needed) concerning the Institution's compliance with Islamic Shari'ah.

The ISSC sought to obtain all information and interpretations deemed necessary in order to reach a reasonable degree of certainty that the Institution is compliant with Islamic Shari'ah.

4. Independence of the ISSC

The ISSC acknowledges that it has carried out all of its duties independently and with the support and cooperation of the senior management and the Board of the Institution. The ISSC received the required assistance to access all documents and data, and to discuss all amendments and Shari'ah requirements.

5. The ISSC's Opinion on the Shari'ah Compliance Status of the Institution

Premised on information and explanations that were provided to us with the aim of ascertaining compliance with Islamic Shari'ah, the ISSC has concluded with a reasonable level of confidence, that the Institution's Activities are in compliance with Islamic Shari'ah, except for the incidents of non-compliance observed, as highlighted in the relevant reports. The ISSC also provided directions to take appropriate measure in this regard.

The ISSC formed its opinion, as outlined above, exclusively on the basis of information perused by the ISSC during the financial year.

Signatures of members of the Internal Shari'ah Supervision Committee of the Institution:

Prof. Jassim Ali Salem Al Shamsi
Chairman of the Committee
Executive Member

Dr. Mohammed Ahmed Al Hamed
Deputy Chairman

Dr. Ali Husain Ali Al Junaidi
Member of the Committee

Section 4: Board of Directors' Report and Financial Statements

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Board of Directors' Report

For the year ended 31 December 2025

Respected shareholders,

The Board is pleased to present its report together with the audited financial statements for Arab Bank for Investment and Foreign Trade PJSC (the "Bank") for the year ended 31 December 2025. The audited financial statements have been prepared in accordance with UAE Federal Law 32 of 2021, as amended and IFRS Accounting Standards and the independent auditors have issued an unmodified audit opinion.

Financial highlights

The Bank's net profit for the year 2025 increased by 29% to AED 301.9 million compared to net profit of AED 234.3 million reported in previous year.

Growth in Loans and advances supported by growth in core trade finance income and forex income led to increase in operating income however the same was offset by reduction in the benchmark rates, and lower mark to market gains on investments securities and investment properties. This resulted in an overall reduction in the operating income.

Operating expenses increased by AED 29.8 million compared to the previous year. The increase in expenses was due to investment in staff, technology and marketing expenses to support Bank growth strategy.

Net impairments on financial assets improved by 46% compared to the previous year on the back of the strong collection and recovery strategy with lower cost of risk on new originations and existing loans and advances. Bank continued its prudent approach on impairments which is reflected in the strengthening of the coverage ratio from 93.0% as at 31 December 2024 to 106.2% as at 31 December 2025. Non-Performing Loans Ratio also improved from 13.8% as at 31 December 2024 to 8% as at 31 December 2025.

As of 31 December 2025, the total assets of the Bank stood at AED 26,665 million, an increase of 8% compared to 31 December 2024 driven mainly by an increase in the loans and advances portfolio.

The net loans and advances of AED 16,114 million as at 31 December 2025 increased by an impressive 24% as compared to AED 13,034 million as at 31 December 2024 due to banks strategic drive to increase the loans book and diversification in industry sectors. Customers' deposits increased marginally to AED 17,343 million as at 31 December 2025 from AED 16,960 million as at 31 December 2024.The Bank continued to be in compliance with the Central Bank of the UAE ("CBUAE") Regulatory norms on Liquidity.

The Capital Adequacy Ratio of 19.9% as at 31 December 2025 continues to be in the top quartile of the UAE Banks. The Bank achieved Return on Assets of 1.2% (2024: 1.0%) and Return on Equity of 6.9% (2024: 5.8%).

The Bank going forward strategy is anchored in our unique positioning as the UAE's Federal Commercial Bank. The focus over the next phase is decisive balance sheet expansion and sustainable profit growth, led by our corporate banking agenda that deepens our role in trade, government-linked entities, and priority sectors and strongly backed by our retail banking and SME growth plans.

Independent auditor's report to the shareholders of Arab Bank for Investment and Foreign Trade PJSC

Report on the audit of the financial statements

Our opinion

In our opinion, the financial statements present fairly, in all material respects, the financial position of Arab Bank for Investment and Foreign Trade PJSC (the "Bank") as at 31 December 2025 and its financial performance and its cash flows for the year then ended in accordance with IFRS Accounting Standards.

What we have audited

The Bank's financial statements comprise:

- the statement of financial position as at 31 December 2025;
- the statement of profit or loss for the year then ended
- the statement of other comprehensive income for the year then ended;
- the statement of changes in equity for the year then ended;
- the statement of cash flows for the year then ended; and
- the notes to the financial statements, comprising material accounting policy information and other explanatory information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Bank in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code) as applicable to audits of financial statements of public interest entities and the ethical requirements that are relevant to our audit of the financial statements in the United Arab Emirates. We have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code.

Our audit approach

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the financial statements. In particular, we considered where the Directors made subjective judgements; for example, in respect of significant accounting estimates that involved making assumptions and considering future events that are inherently uncertain. As in all of our audits, we also addressed the risk of management override of internal controls, including among other matters consideration of whether there was evidence of bias that represented a risk of material misstatement due to fraud.

We tailored the scope of our audit in order to perform sufficient work to enable us to provide an opinion on the financial statements as a whole, taking into account the structure of the Bank, the accounting processes and controls, and the industry in which the Bank operates.

Independent auditor's report to the shareholders of Arab Bank for Investment and Foreign Trade PJSC

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Measurement of Expected Credit Losses ("ECL") on Loans and advances	
The Directors recognise provision for expected credit losses ("ECL") in its financial statements on all its financial assets measured at amortised cost, debt instruments measured at fair value through other comprehensive income, financial guarantee contracts and loan commitments. The Directors exercise significant judgments and make a number of assumptions in developing its ECL models which is determined as a function of the assessment of the Probability of Default ("PD") separately for retail and non-retail portfolios, determination of Loss Given Default ("LGD"), adjusted for the forward-looking information and Exposure At Default ("EAD") associated with the underlying funded and unfunded exposures subject to ECL. ECL overrides including staging overrides and overlays / underlays may also be recorded by the Directors using credit risk judgments where the assumptions and modelling techniques do not capture all the relevant risk factors.	W e performed the following audit procedures on the measurement and the reasonableness of the ECL provision included in the Bank's financial statements for the year ended 31 December 2025: We obtained an understanding of the design and tested the operating effectiveness of the relevant controls established by the Bank for the estimation of ECL, calculation of days past due, application of the staging criteria and the process of overriding ECL modelling output. We tested on a sample basis the completeness and accuracy of data used in the calculation of ECL. For a sample of exposures, we checked the appropriateness of the Bank's application of the staging criteria, including the basis for movement between stages. We involved our internal experts to assess the following areas: • The conceptual framework used for developing the Bank's impairment policy in the context of its compliance with the requirements of IFRS 9. • The reasonableness and appropriateness of the methodology and assumptions used in ECL modelling, including the calculations of the probability of default (PD), loss given default (LGD), and exposure at default (EAD) for the Bank's classes of financial assets. • The reasonableness of the key assumptions and judgements made by Directors in assessing the definition of default, the application of Significant Increase in Credit Risk (SICR) and staging criteria, determining the historic and forward-looking information of macroeconomic data in estimating the ECL components and use of probability weighted scenarios.

Independent auditor's report to the shareholders of Arab Bank for Investment and Foreign Trade PJSC

The Bank's impairment policy under IFRS 9 is presented in Note 3 to the financial statements. We considered the measurement of ECL on loans and advances as a key audit matter considering the exercise of significant judgement, assumptions and estimates including use of forward-looking macroeconomic data and complex models, and as it has a material impact on the financial statements of the Bank as a whole.

- For a sample of exposures, recalculation of PD, LGD and EAD and test of mathematical accuracy and appropriateness of discounting used in the ECL calculation.

We assessed, on a sample basis, whether reported exceptions to policies and procedures as outlined in the Board risk appetite statement and corporate limit exceptions were approved by the Board and/or its approved delegate and the approval process was formally documented.

For a sample of Stage 3 corporate customers, we assessed the appropriateness of discounted cash flows, including the discount rates used and the probable scenario analysis; and the robustness of the Bank' processes and controls with respect to the valuation and enforceability of collateral, including the underlying assumptions.

We performed an independent credit assessment for a sample of corporate customers, by assessing the quantitative and qualitative factors including assessments of the financial performance of the customers, the source of repayments and its history, and other relevant risk factors.

We assessed the adequacy of the disclosures made in the financial statements around ECL as required by IFRS Accounting Standards.

Independent auditor's report to the shareholders of Arab Bank for Investment and Foreign Trade PJSC

Other information

The Directors are responsible for the other information. The other information comprises the Board of Directors' Report for the year ended 31 December 2025 (but does not include the financial statements and our auditor's report thereon) which we obtained prior to the date of this auditor's report, and the Bank's complete Annual Report, which is expected to be made available to us after that date.

Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the remaining information of the annual report of the Bank, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the Directors and those charged with governance for the financial statements

The Directors are responsible for the preparation and fair presentation of the financial statements in accordance with IFRS Accounting Standards and their preparation in compliance with the applicable provisions of the UAE Federal Decree-Law No. (32) of 2021, as amended, and the UAE Federal Decree-Law No. (6) of 2025 and for such internal control as the Directors determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Independent auditor's report to the shareholders of Arab Bank for Investment and Foreign Trade PJSC

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.

- Conclude on the appropriateness of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

Further, as required by the UAE Federal Decree-Law No. (32) of 2021, as amended, we report that:

(i) we have obtained all the information we considered necessary for the purposes of our audit;

(ii) the financial statements have been prepared and comply, in all material respects, with the applicable provisions of the UAE Federal Decree-Law No. (32) of 2021, as amended;

(iii) the Bank has maintained proper books of account;

(iv) the financial information included in the Board of Directors' Report is consistent with the books of account of the Bank;

(v) as disclosed in note 8 to the financial statements, the Bank has not purchased or invested in any shares during the year ended 31 December 2025;

(vi) note 38 to the financial statements discloses material related party transactions, and the terms under which they were conducted; and

(vii) based on the information that has been made available to us, nothing has come to our attention which causes us to believe that the Bank has contravened during the year ended 31 December 2025 any of the applicable provisions of the UAE Federal Decree-Law No. (32) of 2021, as amended, or in respect of the Bank, its Articles of Association which would materially affect its activities or its financial position as at 31 December 2025;

(viii) note 41 to the financial statements discloses the social contributions made during the year ended 31 December 2025.

Further, as required by the UAE Federal Decree-Law No. (6) of 2025, we report that we have obtained all the information and explanations we considered necessary for the purpose of our audit.

PricewaterhouseCoopers Limited Partnership - Abu Dhabi

9 March 2026



Jigesh Ashokkumar Shah
Registered Auditor Number 5621
Abu Dhabi, United Arab Emirates

Statement of Financial Position

As at 31 December

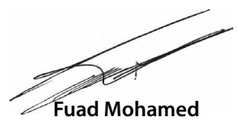
	Note	2025 AED'000	2024 AED'000 Restated *	2023 AED'000 Restated *
Assets				
Cash and balances with the Central Bank of the UAE	6	**2,608,710**	2,348,447	2,532,001
Due from banks	7	**502,421**	1,167,185	1,317,798
Acceptances		**490,446**	808,684	477,267
Investment securities	8	**6,227,841**	6,592,647	3,836,291
Loans and advances	9	**16,114,100**	13,033,697	12,900,588
Fair value of derivatives		**28,494**	552	-
Investment properties	10	**153,850**	162,820	178,400
Other assets	11	**222,522**	239,837	227,753
Deferred tax asset	43	**-**	7,535	-
Intangible assets	12	**72,964**	72,356	70,413
Property and equipment	13	**243,468**	219,264	223,874
		26,664,816	24,653,024	21,764,385
Asset held-for-sale	14	**-**	12,679	12,042
Total assets		**26,664,816**	24,665,703	21,776,427
Liabilities				
Customers' deposits	15	**17,343,483**	16,960,211	14,750,019
Due to banks	16	**3,431,007**	2,070,307	2,042,547
Acceptances		**490,446**	808,684	477,267
Deferred tax liability	43	**2,268**	-	-
Other liabilities	17	**813,588**	688,940	552,680
Total liabilities		**22,080,792**	20,528,142	17,822,513
Equity				
Share capital	18	**2,000,000**	2,000,000	2,000,000
Statutory reserve	19	**741,436**	711,244	688,113
Special reserve	20	**736,846**	706,654	683,523
Revaluation reserve	21	**181,523**	163,603	138,522
Fair value reserve	22	**(43,099)**	(142,215)	(66,029)
Cash flow hedge reserve	23	**28,494**	552	-
Retained earnings		**938,824**	697,723	509,785
Total equity		**4,584,024**	4,137,561	3,953,914
Total liabilities and equity		**26,664,816**	24,665,703	21,776,427

*Refer to Note 45 for details of restated comparative financial information.

These financial statements were authorised and approved for issue by the Board of Directors on 9 March 2026 and signed on their behalf by:



Farhat Omar Ben Gadara
Chairman



Fuad Mohamed
Chief Executive Officer

The notes on pages 80 to 171 form an integral part of these financial statements.
The independent auditor's report on these financial statements is set out on pages 69 to 74.

Statement of Profit or Loss

For the year ended 31 December

	Note	2025 AED'000	2024 AED'000 Restated *
Interest income	24	**1,028,846**	1,133,061
Interest expense	25	**(471,300)**	(460,293)
Net interest income		**557,546**	672,768
Income from Islamic financing contracts	26	**112,153**	115,704
Depositors' share of profit	27	**(44,371)**	(63,612)
Net income from Islamic financing		**67,782**	52,092
Net interest income and income from Islamic financ-ing		**625,328**	724,860
Fee and commission income	28	**176,393**	133,965
Fee and commission expense	28	**(16,875)**	(14,340)
Net fee and commission income		**159,518**	119,625
Net foreign exchange gain	29	**77,507**	44,991
Other operating income	30	**41,010**	82,510
Net other operating income		**118,517**	127,501
Operating income		**903,363**	971,986
General, administration and other operating expenses	31	**(356,598)**	(326,809)
Profit before net impairment charge		**546,765**	645,177
Net impairment charge on financial assets	32	**(210,595)**	(388,473)
Net impairment reversal on properties	33	**-**	637
Profit for the year before taxation		**336,170**	257,341
Income tax expense	43	**(34,249)**	(22,992)
Net profit for the year		**301,921**	234,349
Earnings per share – restated	40	**3.02**	2.34

*Refer to Note 45 for details of restated comparative financial information

The notes on pages 79 to 116 form an integral part of these financial statements.
The independent auditor's report on these financial statements is set out on pages 70 to 73.

Statement of other Comprehensive Income

For the year ended 31 December

	Note	2025 AED'000	2024 AED'000 Restated *
Net profit for the year		**301,921**	234,349
Other comprehensive income			
Items that will not be reclassified subsequently to prof-it or loss			
Revaluation gain on property and equipment	13	**17,920**	25,430
Amount transferred on disposal		**-**	(349)
Actuarial losses on defined benefit obligation		**450**	(149)
Item that may be reclassified subsequently to profit or loss			
Change in fair value of debt investments at FVOCI		**108,919**	(83,721)
Income tax effect of change in fair value of FVOCI in-struments	**43**	**(9,803)**	7,535
Cash flow hedge reserve		**27,942**	552
Other comprehensive gain for the year		**145,428**	(50,702)
Total comprehensive gain for the year attributable to shareholders		**447,349**	183,647

The notes on pages 79 to 116 form an integral part of these financial statements.
The independent auditor's report on these financial statements is set out on pages 70 to 73.

Statement of Changes in Equity

For the year ended 31 December

	Share capital AED'000	Statutory re-serve AED'000	Special Re-serve AED'000	Cash flow hedge reserve AED'000	Revaluation reserve AED'000	Fair value re-serve AED'000	Retained earn-ings AED'000 Restated*	Total equity AED'000 Restated*
Balance at 1 January 2024	**2,000,000**	**688,113**	**683,523**	**-**	**138,522**	**(66,029)**	**499,224**	**3,943,353**
Effect of restatement (Note 45)	-	-	-	-	-	-	10,561	10,561
As restated	2,000,000	688,113	683,523	-	138,522	(66,029)	509,785	3,953,914
Profit for the year (Restated*)	-	-	-	-	-	-	234,349	234,349
Other comprehensive income / (loss)	-	-	-	552	25,430	(76,186)	(149)	(50,353)
Amount transferred on disposal	-	-	-	-	(349)	-	-	(349)
Transfer to statutory reserve and special reserve (Note 19 and Note 20)	-	23,131	23,131	-	-	-	(46,262)	-
Total comprehensive income for the year (Restated*)	-	23,131	23,131	552	25,081	(76,186)	187,938	183,647
Zakat	-	-	-	-	-	-	-	-
Balance at 31 December 2024	**2,000,000**	**711,244**	**706,654**	**552**	**163,603**	**(142,215)**	**697,723**	**4,137,561**
Balance at 1 January 2025	2,000,000	711,244	706,654	552	163,603	(142,215)	697,723	4,137,561
Profit for the year	-	-	-	-	-	-	301,921	301,921
Other comprehensive profit	-	-	-	27,942	17,920	99,116	450	145,428
Transfer to statutory reserve and special reserve (Note 19 and Note 20)	-	30,192	30,192	-	-	-	(60,384)	-
Total comprehensive income for the year	-	30,192	30,192	27,942	17,920	99,116	241,987	447,349
Zakat	-	-	-	-		-	(886)	(886)
Balance at 31 December 2025	**2,000,000**	**741,436**	**736,846**	**28,494**	**181,523**	**(43,099)**	**938,824**	**4,584,024**

*Refer to Note 45 for details of restated comparative financial information

The notes on pages 79 to 116 form an integral part of these financial statements.
The independent auditor's report on these financial statements is set out on pages 70 to 73.

Statement of Cash Flows

For the year ended 31 December

	Note	2025 AED'000	2024 AED'000 Restated*
Operating activities			
Profit for the year		**301,921**	234,349
Adjustments for:			
Amortisation of intangible assets	12	**16,885**	14,850
Depreciation of property and equipment	13	**11,337**	12,216
Net impairment charge on financial assets	32	**210,595**	388,473
Amortisation of premium on bonds		**(9,751)**	(4,398)
Taxation charge		**34,249**	22,992
Fair value gain on asset held for sale		**(919)**	(637)
Fair value gain on properties	10	**(11,915)**	(25,885)
Gain on sale of FVOCI debt securities		**(9,853)**	(7,388)
MTM gain on Mutual Funds		**(7,244)**	(40,786)
Gain on sale of investment properties	10	**(5,673)**	(1,656)
Gain on sale of property and equipment		**-**	(5,163)
Provision for employees' end of service benefits	17	**6,108**	6,293
Operating cash flows before payment of employees' end of service benefits and changes in working capital		**535,740**	593,260
Payment of employees' end of service benefits	17	**(3,024)**	(4,936)
Changes in:			
Loans and advances		**(3,193,855)**	(528,974)
Acceptances – Assets		**318,238**	(331,416)
Other assets		**17,315**	(12,635)
Customers' deposits		**383,272**	2,210,192
Due to banks		**1,360,700**	27,760
Acceptances – Liabilities		**(318,238)**	331,416
Other liabilities		**10,043**	125,095
Net cash (outflow)/inflow from operating activities		**(889,809)**	2,409,762
Investing activities			
Purchases of property and equipment	12	**(17,493)**	(16,793)
Purchases of property and equipment	13	**(4,023)**	(2,934)
Proceeds from sale of property and equipment	13	**-**	25,920
Proceeds from sale of investment properties	10	**26,558**	43,120
Proceeds from sale/redemption of investments at FVOCI	8-1	**2,807,130**	1,902,910
Proceeds from redemption of investments at amortised cost	8-3	**1,742,457**	1,107,666
Proceeds from sale/redemption of investments at FVPL	8-2	**-**	178,129
Purchases of investments at FVOCI	8-1	**(2,007,530)**	(4,457,142)
Purchases of investments at amortised cost	8-3	**(2,056,071)**	(1,092,510)
Purchases of investments at FVPL	8-2	**-**	(426,068)
Net cash inflow/(outflow) from investing activities		**491,028**	(2,737,702)
Financing activities			
Payment of lease liabilities		**(4,444)**	(5,342)
Zakat paid		**(886)**	-
Net cash outflow from financing activities		**(5,330)**	(5,342)
Net decrease in cash and cash equivalents		**(404,111)**	(333,282)
Cash and cash equivalents at 1 January		**3,518,400**	3,851,682
Cash and cash equivalents at 31 December	34	**3,114,289**	3,518,400

*Refer to Note 45 for details of restated comparatives.
The notes on pages 79 to 116 form an integral part of these financial statements.
The independent auditor's report on these financial statements is set out on pages 70 to 73.

Notes to the Financial Statements
31 December 2025

1. Legal status and principal activities

Arab Bank for Investment and Foreign Trade PJSC (the "Bank") was incorporated in the Emirate of Abu Dhabi by Union Decree No. 50 of 1976. It is registered as a Public Joint Stock Company in accordance with Federal Decree Law No. 32 of 2021, as amended ("Companies Law") which was issued and came into effect on 2 January 2022 and repealed the UAE Federal Law No. 2 of 2015. The address of the Bank's registered office is P.O. Box 46733 Abu Dhabi, United Arab Emirates. The shareholders of the Bank are listed under Note 38 – Related Party.

The Bank is engaged in commercial and retail banking activities and carries out its operations solely in the United Arab Emirates through its five branches and two representative offices (31 December 2024: five branches and two representative offices).

The Bank is licensed by the Central Bank of the UAE to conduct Shari'ah-compliant financial activities, in accordance with Federal Decree-Law No. (6) of 2025 Regarding the Central Bank and the Regulation of Financial Institutions and Insurance Activities.

2. Basis of preparation

(a) Statement of compliance

These financial statements have been prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board ("IASB") and comply with the applicable requirements of the UAE Federal Decree Law No. 32 of 2021, as amended.

(b) Basis of measurement

These financial statements have been prepared on the historical cost convention except for the following:

- investments at fair value through profit or loss ("FVPL") which are measured at fair value;
- investments at fair value through other comprehensive income ("FVOCI") which are measured at fair value;
- derivative financial instruments which are measured at fair value;
- investment properties which are measured at fair value;
- freehold land and buildings classified as property and equipment which are measured based on the revaluation model; and
- defined benefit obligation included in employees' end of service benefits which is measured using the projected unit credit method.

(c) Functional and presentation currency

These financial statements are presented in United Arab Emirates Dirham ("AED"), which is the currency of the primary economic environment in which the Bank operates (the 'functional currency'). Except as indicated, information presented in AED has been rounded to the nearest thousand.

(d) Use of estimates and judgements

The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expense. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

Notes to the Financial Statements
31 December 2025

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are described in Note 5 to the financial statements.

3. Material accounting policies

(a) Financial assets and liabilities

(i) Recognition and initial measurement

All financial assets are recognised and derecognised on a settlement date basis (other than derivative contracts which are recognised and derecognised on a trade date basis) where the purchase or sale of a financial asset is under a contract whose terms require delivery of the financial asset within the timeframe established by the market concerned, and are initially measured at fair value, plus transaction costs, except for those financial assets classified as at FVPL. Settlement date is the date that the Bank physically receives or transfers the assets. Transaction costs directly attributable to the acquisition of financial assets classified as at FVPL are recognised immediately in profit or loss.

(ii) Classification of financial assets and financial liabilities

On initial recognition, a financial asset is classified as measured at: amortised cost, FVOCI or FVPL. A financial asset is measured at amortised cost if it meets both the following conditions and is not designated as at FVPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Bank may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an instrument by instrument basis.

All other financial assets are classified as measured at FVPL.

In addition, on initial recognition, the Bank may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

The Bank classifies its financial liabilities, other than financial guarantees and loan commitments at amortised cost.

Business model assessment

The Bank performs an assessment of the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(a) Financial assets and liabilities (continued)

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Bank's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed; and
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about the future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Bank's stated objective for managing the financial assets is achieved and how cash flows are realised

Assessment of whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin. In assessing whether the contractual cash flows are solely payments of principal and interest, the Bank considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition.

In making the assessment, the Bank considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the Bank's claim to cash flows from specified assets (e.g. non-recourse asset arrangements); and
- features that modify consideration of the time value of money - e.g. periodical reset of interest rate.

(iii) Reclassifications

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Bank changes its business model for managing financial assets.

(iv) De-recognition

Financial asset

The Bank derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Bank neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognised in OCI is recognised in profit or loss.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(a) Financial assets and liabilities (continued)

Any cumulative gain/loss recognised in OCI in respect of equity investment securities designated as at FVOCI is not recognised in profit or loss on derecognition of such securities. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Bank is recognised as a separate asset or liability.

In transactions in which the Bank neither retains nor transfers substantially all of the risks and rewards of ownership of a financial asset and it retains control over the asset, the Bank continues to recognise the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

Financial liability

The Bank derecognises a financial liability when its contractual obligations are discharged or cancelled, or expired.

(v) Modifications of financial assets and financial liabilities

Financial assets

If the terms of a financial asset are modified, then the Bank evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows:

- Fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the asset; and

- Other fees are included in profit or loss as part of the gain or loss on derecognition.

If cash flows are modified when the borrower is in financial difficulties, then the objective of the modification is usually to maximise recovery of the original contractual terms rather than to originate a new asset with substantially different terms. If the Bank plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place. This approach impacts the result of the quantitative evaluation and means that the derecognition criteria are not usually met in such cases.

If the modification of a financial asset measured at amortised cost or FVOCI does not result in derecognition of the financial asset, then the Bank first recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognises the resulting adjustment as a modification gain or loss in profit or loss. For floating-rate financial assets, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs or fees incurred and fees receivable as part of the modification adjust the gross carrying amount of the modified financial asset and are amortised over the remaining term of the modified financial asset.

If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income calculated using the effective interest method.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(a) Financial assets and liabilities (continued)

(vi) Subsequent measurement

The following accounting policies apply to the subsequent measurement of financial assets:

Category	Subsequent measurement
Financial assets at FVPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend in-come, are recognised in profit or loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on de-recognition is rec-ognised in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. In-terest income calculated using the effective interest meth-od, foreign exchange gains and losses are recognised in profit or loss. On de-recognition, gains and losses accumu-lated in OCI are reclassified to profit or loss. The allow-ance for impairment on debt instruments designated at FVOCI is recognised in profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Div-idends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are not reclassified to profit or loss on de-recognition.

(vii) Offsetting

As per IAS 32, financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Bank has a legal right to set off the recognised amounts and it intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under IFRS Accounting Standards, or for gains and losses arising from a Bank of similar transactions

(viii) Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment for financial assets.

(ix) Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(a) Financial assets and liabilities (continued)

When applicable, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

When there is no quoted price in an active market, the Bank uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received.

Portfolios of financial assets and financial liabilities that are exposed to market risk and credit risk that are managed by the Bank on the basis of the net exposure to either market or credit risk are measured on the basis of a price that would be received to sell a net long position (or paid to transfer a net short position) for a particular risk exposure. Those portfolio-level adjustments are allocated to the individual assets and liabilities on the basis of the relative risk adjustment of each of the individual instruments in the portfolio.

If an asset or a liability measured at fair value has a bid price and an ask price, the Bank measures assets and long positions at a bid price and liabilities and short positions at an ask price.

The Bank recognises transfers between levels of the fair value hierarchy as at the end of the reporting period during which the change has occurred.

(x) Impairment of financial assets

The Bank recognises loss allowances for expected credit losses (ECL) on the following financial instruments that are not measured at FVPL:

- Financial assets at amortised cost;
- Loan commitments issued; and
- Financial guarantee contracts issued.

No impairment loss is recognised on equity investments as these are measured at fair value.

The Expected Credit Loss (ECL) model contains a three-stage approach which is based on the change in credit quality of financial assets since initial recognition. Expected credit losses reflect the present value of all cash shortfalls related to default events either (i) over the following twelve months or (ii) over the expected life of a financial instrument depending on credit deterioration from inception.

- Under Stage 1, where there has not been a significant increase in credit risk since initial recognition, an amount equal to 12 months ECL will be recorded.

- Under Stage 2, where there has been a significant increase in credit risk since initial recognition but the financial instruments are not considered credit impaired, an amount equal to the default probability weighted lifetime ECL will be recorded.

- Under Stage 3, where there is objective evidence of impairment at the reporting date, these financial instruments will be classified as credit impaired and an amount equal to the lifetime ECL will be recorded for the financial assets.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(a) Financial assets and liabilities (continued)

Measurement of ECL

IFRS 9 considers the calculation of ECL by multiplying the Probability of Default (PD), Loss Given Default (LGD) and Exposure at Default (EAD). The Bank has developed methodologies and models taking into account the relative size, quality and complexity of the portfolios.

Details of these statistical parameters/inputs are as follows:

- The Probability of Default (PD) is an estimate of the likelihood of default over a given time horizon;
- The Exposure at Default (EAD) is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date; and
- The Loss Given Default (LGD) is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

Macroeconomic factors, forward looking information and multiple scenarios

IFRS 9 requires an unbiased and probability weighted estimate of credit losses by evaluating a range of possible outcomes that incorporates forecasts of future economic conditions. Macroeconomic factors and forward-looking information are required to be incorporated into the measurement of ECL as well as the determination of whether there has been a significant increase in credit risk since origination. Measurement of ECLs at each reporting period should reflect reasonable and supportable information at the reporting date about past events, current conditions and forecasts of future economic conditions.

Credit-impaired financial assets

At each reporting date, the Bank assesses whether financial assets carried at amortised cost and debt securities carried at FVOCI are credit-impaired. A financial asset is 'credit impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event;
- the restructuring of a loan or advance by the Bank on terms that the Bank would not consider otherwise;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Experienced credit judgment

The Bank's ECL allowance methodology requires the use of experienced credit judgment to incorporate the estimated impact of factors not captured in the modelled ECL results, in all reporting periods.

Default definition followed by the Bank for impairment assessment remains in line with the guidelines of IFRS 9, and consistent with regulatory requirements. The policy on the write-off of financing transactions remains unchanged.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(a) Financial assets and liabilities (continued)

Write-off

Loans and debt securities are written off (either partially or in full) when there is no realistic prospect of recovery. This is generally the case when the Bank has exhausted all legal and remedial efforts to recover from the customers. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Bank's procedures for recovery of amounts due.

Expected life

When measuring expected credit loss, the Bank considers the maximum contractual period over which the Bank is exposed to credit risk. All contractual terms are considered when determining the expected life, including prepayment, and extension and rollover options.

Central Bank of the UAE ("CBUAE") provision requirements

As per the CBUAE notice no. CBUAE/BSD/2018/458 dated 30 April 2018, if the specific provision and general/collective provision cumulatively is higher than the impairment allowance computed under IFRS 9, the differential should be transferred to an "Impairment reserve" as an appropriation from the retained earnings. This impairment reserve should be split to that which relates to difference in specific provision and general/collective provision. The Impairment reserve will not be available for payment of dividend.

The Bank also considers relevant regulatory requirements, in the context of the alignment of those requirements with IFRS, in the estimation of ECL in respect of Stage 3 exposures

(b) Cash and cash equivalents

For the purpose of presentation in the statement of cash flows, cash and cash equivalents include cash on hand, unrestricted balances held with central banks and due from banks with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

(c) Due from banks

Amounts due from banks are stated at amortised cost, less allowance for impairment, if any.

(d) Investments measured at fair value through other comprehensive income ("FVOCI")

For debt securities measured at FVOCI, gains and losses are recognised in OCI, except for the following, which are recognised in profit or loss in the same manner as for financial assets measured at amortised cost:

- Interest revenue using the effective interest method
- ECL and reversals, and
- Foreign exchange gains and lossess.

When a debt security measured at FVOCI is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss.

Gains and losses on equity instruments are never reclassified to profit or loss and no impairment is recognised in

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

profit or loss. Dividends are recognised in profit or loss unless they clearly represent a recovery of part of the cost of the investment, in which case they are recognised in OCI. Cumulative gains and losses recognised in OCI are transferred to retained earnings on disposal of an equity investment.

(e) Investments at fair value through profit or loss ("FVTPL")

These are securities that the Bank acquire principally for the purpose of selling in the near term or holding as a part of portfolio that is managed together for short-term profit or position taking. These assets are initially recognised and subsequently measured at fair value in the statement of financial position. All changes in fair values are recognised as part of profit or loss.

(f) Loans and advances

Loans and advances are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and that the Bank does not intend to sell immediately or in the near term.

Loans and advances presented in the statement of financial position include:

- • Loans and advances measured at amortised cost; they are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortised cost using the effective interest method;
- Loans and advances mandatorily measured at FVPL or designated at FVPL, these are measured at fair value with changes recognised immediately in the profit or loss account; and
- Lease receivables.

When the bank purchases a financial asset and simultaneously enters into an agreement to resell the asset (or a substantially similar asset) at a fixed price on a future date (reverse repo or stock borrowing), the consideration paid is accounted for as a loan and advance, and the underlying asset is not recognised in the Bank's financial statements.

(g) Islamic financing activities

i) Murabahah "the purchase orderer"

It is the sale of a commodity by an institution to its customer (the purchase orderer) as per the purchasing price/ cost with a defined and agreed profit mark-up (as set out in the promise/Wa'd), in which case it is called a banking Murabahah. The banking Murabahah involves deferred payment terms, but such deferred payment is not one of the essential conditions of such transaction, as there is also a Murabahah arranged with no deferral of payment. In this case, the seller only receives a mark-up that only includes the profit for a spot sale and not the extra charge it would, otherwise, receive for deferral of payment.

ii) Ijarah Muntahia Bittamleek & Forward Ijarah

An agreement whereby the Bank (the "Lessor") leases an asset to its customer (the "Lessee") (after purchasing / acquiring the specified asset, either from a third party seller or from the customer itself, according to the customer's request and based on his promise to lease), against certain rental payments for specific lease term / periods, payable on fixed or variable rental basis. The rental is made obligatory by the contract and the lessor's entitlement to the rental runs from the time when the lessee starts to benefit from the asset or once the lessor transfers the right to use the asset to the lessee, and the entitlement to the rental does not necessarily commence on the date of signing the Ijarah contract.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(g) Islamic financing activities (continued)

This leasing contract which includes a promise by the lessor to transfer the ownership in the leased property to the lessee, either at the end of the term of the Ijarah period or by stages during the term of the contract, upon fulfillment of all the obligations by the Lessee under the Ijarah agreement the Lessor will sell the leased asset to the Lessee at a nominal value based on a sale undertaking given by the Lessor.

An Ijarah contract may be executed for an asset undertaken by the lessor to be delivered to the lessee according to accurate specifications, even if the asset so described is not owned by the lessor. In this case, an agreement is reached to make the described asset available during the duration of the contract, giving the lessor the opportunity to acquire or to produce it.

iii) Wakala Investment

Wakala is a contract between the customer, a fund provider (the "Muwakkil"), who provides a certain amount of money (the "Wakala Capital") to the Bank (the "Wakeel"), who invests the Wakala Capital in a Sharia'a compliant manner and according to the feasibility study/ investment plan. The Wakeel is entitled to a fixed fee (the "Wakala Fee") as a lump sum amount or a percentage of the Wakala Capital. The Wakeel may be granted any excess over and above a certain pre-agreed rate of return as a performance incentive. In principle, Wakala profit is distributed on declaration / distribution by the Wakeel. However, since the Wakala profit is always reliably estimated it is internally accounted for on a time-apportioned basis over the Wakala tenure based on the Wakala Capital outstanding. The agent acts in a fiduciary capacity in relation to the investment and therefore is not liable for any loss in cases other than willful misconduct, negligence, or breach of contract unless the breach happens to be advantageous to the principal. In situations where the agent is held liable for loss of capital, such liability is limited to the capital amount and the agent is not liable for loss of expected profit whether the capital was invested immediately or delayed or not invested at all.

iv) Mudaraba

Mudaraba is a contract between the Customer, a fund provider (the "Rab Al Mal"), who would provide a certain amount of funds (the "Mudaraba Capital") to the Bank (the "Mudarib"). Mudarib would then invest the Mudaraba Capital in a specific enterprise or activity deploying its experience and expertise for a specific pre-agreed share in the resultant profit, if any. The Rab Al Mal is not involved in the management of the Mudaraba activity (unrestricted Mudaraba).

No profit can be recognised or claimed unless the capital of the Mudarabah is maintained intact. Whenever a Mudarabah operation incurs losses, such losses stand to be compensated by the profits of future operations of the Mudarabah. The losses brought forward should be set against the future profits.

All in all, the distribution of profit depends on the final result of the operations at the time of liquidation of the Mudarabah contract. If losses are greater than profits at the time of liquidation, the balance (net loss) must be deducted from the capital. In this case, the Mudarib is a trustee and is not liable for the amount of this loss, unless there is negligence or misconduct on his part

v) Monetisation "DMCC Murabahah"

Monetisation refers to the process where the Customer purchases a commodity for a deferred price determined through Murabahah (mark-up sale) from the Bank, and selling it to a third party for a spot price to obtain cash. It is one of the Shari'ah compliant financing solutions in collaboration with Dubai Multi-Commodities Centre, which provides the customer with the liquidity needed to meet its monetary requirements. The Monetisation beneficiary is a customer when he purchases the commodity from the Bank and sells it to a third party to obtain liquidity in accordance to Shari'ah compliance.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(g) Islamic financing activities (continued)

vi) Customers' accounts and Wakala deposits from banks

Customers' accounts and Wakala deposits from banks are initially recognised at fair value less transaction costs and are subsequently measured at amortised cost.

(h) Property and equipment

i) Recognition and measurement

IItems of property and equipment are initially measured at cost. Subsequently, all items except for freehold land and buildings are measured at cost less accumulated depreciation. Freehold land and buildings, which are measured using the revaluation model, are carried at a revalued amount, being their fair value at the date of revaluation, less any subsequent accumulated depreciation and subsequent impairment losses, if any. All other property and equipment is stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the group and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognised when replaced. All other repairs and maintenance are charged to profit or loss during the reporting period in which they are incurred.

Capital projects-in-progress are initially recorded at cost, and upon completion are transferred to the appropriate category of property and equipment and thereafter depreciated.

Increases in the carrying amounts arising on revaluation of land and buildings are recognised in other comprehensive income and accumulated in reserves in shareholders' equity. To the extent that the increase reverses a decrease previously recognised in profit or loss, the increase is first recognised in profit or loss. Decreases that reverse previous increases of the same asset are first recognised in other comprehensive income to the extent of the remaining surplus attributable to the asset; all other decreases are charged to profit or loss.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in profit or loss. When revalued assets are sold, any amounts included in other reserves in respect of those assets are transferred to retained earnings.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(h) Property and equipment (continued)

ii) Revaluation, depreciation methods and useful lives

Land and buildings are recognised at fair value based on annual valuations by external independent valuers, less subsequent depreciation for buildings. A revaluation surplus is credited to other reserves in shareholders' equity. All other property, plant and equipment is recognised at historical cost less depreciation.

Land and any asset situated on the land - e.g. a building or specialised plant - are separate assets.

When parts of an item of property or equipment have different useful lives, they are accounted for as separate items (major components) of property and equipment. Depreciation is calculated using the straight-line method to allocate the cost or revalued amounts of the assets, net of their residual values, over their estimated useful lives as follows:

Freehold premises	30 years
Freehold improvements	10 years
Leasehold improvements	7 years
Furniture and equipment	4 years
Computer hardware	4 years
Motor vehicles	4 years

Depreciation on additions is to be charged from the date on which the assets are available for use and ceases on the date on which they are disposed-off.

(i) Leases

The Bank assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Bank as a lessee

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Bank. As the right-of-use asset and lease liability at the reporting date was not material, the Bank has presented them in the statement of financial position under property and equipment and other liabilities respectively.

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable,
- variable lease payment that are based on an index or a rate,
- amounts expected to be payable by the lessee under residual value guarantees,
- the exercise price of a purchase option if the lessee is reasonably certain to exercise that option, and
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(i) Leases (continued)

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be determined, the lessee's incremental borrowing rate is used, being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

Each lease payment is allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The Bank assesses whether a contract is or contains a lease, at inception of the contract. The Bank applies a single recognition and measurement approach for all leases, except for short-term leases (defined as leases with a lease term of 12 months or less) and leases of low-value assets. The Bank recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Right-of-use assets are measured at cost comprising the following:
- the amount of the initial measurement of lease liability
- any lease payments made at or before the commencement date less any lease incentives received
- any initial direct costs, and
- restoration costs.

The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

Bank as a lessor

Leases in which the Bank does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms and is included in other operating income in the statement of profit or loss due to its operating nature. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

(j) Investment properties

Investment properties are properties held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the supply of services or for administrative purposes.

Towards the end of 2025, the Bank changed its accounting policy for Investment Properties from the cost model to the fair value model as the Bank believes that this will make the financial results more reliable and relevant by making the value of the investment properties reflect the market conditions prevailing at the reporting date. Gains or losses arising from changes in fair values of investment properties are included in the statement of profit or loss under "Other operating income" in the year in which they arise.

This voluntary change in accounting policy has been applied retrospectively in accordance with the requirements of IAS 8 – Accounting Policies, Changes in Accounting Estimates and Errors and, as such, the Bank has restated certain line items in the prior period financial statements for the year ended 31 December 2024. Further, the impact of this change has also been retrospectively adjusted in the Bank's opening equity for the earliest comparative period presented, i.e, at 1 January 2024. Refer to Note 45.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(k) Non-current asset held for sale

Non-current asset (or disposal group) classified as held for sale is measured at the lower of its carrying amount and fair value less costs to sell.

(l) Impairment of non-financial assets

The carrying amounts of the Bank's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount. The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell.

For impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that is largely independent of the cash in-flows of other assets or cash generating units. Goodwill arising from a business combina-tion is allocated to cash generating units or groups of cash generating units that are ex-pected to benefit from the synergies of the combination.

The 'recoverable amount' of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell. 'Value in use' is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash generating unit.

Impairment losses are recognised in profit or loss. Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation, if no impairment loss had been recognised

(m) Customers' deposits and due to banks

Customers' deposits and due to banks are initially recognised at cost, being the fair value of the consideration received and subsequently measured at their amortised cost using the effective interest method. Amortised cost is calculated by taking into account any discount or premium on settlement.

(n) Provisions

A provision is recognised if, as a result of a past event, the Bank has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(o) Employee benefits

(i) Employees terminal benefits

Defined contribution plan

UAE nationals employed by the Bank are registered in the scheme managed by the General Pension and Social Security Authority. Contributions to that scheme are charged as an expense and are included within staff costs in general, administration and other operating expenses.

Defined benefit plan

End of service benefits due to expatriate employees are accounted for on the basis of their accumulated service at the reporting date and in accordance with the Bank's internal regulations, which comply with the UAE Federal Labour Law. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related benefit obligation. The provision arising is disclosed as 'provision for employees' end of service benefits' under other liabilities in the statement of financial position.

(ii) Short term employee benefits

Short-term employee obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the Bank has a present legal or constructive obligation to pay this amount as a result of a past service provided by the employee and the obligation can be estimated reliably.

(p) Financial guarantees

Financial guarantees are contracts that require the Bank to make specified payments to reimburse the holder for a loss it incurs because a specified party fails to perform under the terms of the contract.

Loan commitments are firm commitments to provide credit under pre-specified terms and conditions.

Financial guarantee contracts are recognised as a financial liability at the time the guarantee is issued. The liability is initially measured at fair value and subsequently at the higher of:

- the amount determined in accordance with the expected credit loss model under IFRS 9 'Financial Instruments', and
- the amount initially recognised less, where appropriate, the cumulative amount of income recognised in accordance with the principles of IFRS 15 'Revenue from Contracts with Customers

The fair value of financial guarantees is determined based on the present value of the difference in cash flows between the contractual payments required under the debt instrument and the payments that would be required without the guarantee, or the estimated amount that would be payable to a third party for assuming the obligations.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(q) Acceptances

Acceptances arise when the Bank is under an obligation to make payments against documents drawn under letters of credit. Acceptances specify the amount of money, the date and the person to which the payment is due. After acceptance, the instrument becomes an unconditional liability (time draft) of the Bank and is therefore recognised as a financial liability in the statement of financial position with a corresponding contractual right of reimbursement from the customer recognised as a financial asset.

(r) Collateral pending sale

Real estate and other collaterals that were acquired as the result of settlement of certain loans and advances are reported in "Other assets". The asset acquired is recorded at the lower of its fair value less costs to sell and the carrying amount of the loan (net of impairment allowance) at the date of exchange.

(s) Earnings per share

The Bank presents basic earnings per share (EPS) information for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting the profit attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all potential dilutive ordinary shares, if any.

(t) Interest income and expense

Effective interest rate

Interest income and expense are recognised in profit or loss using the effective interest method. The 'effective interest rate' is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to

- he gross carrying amount of the financial asset; or
- the amortised cost of the financial liability

The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

When calculating the effective interest rate for financial instruments other than purchased or originated credit-impaired assets, the Bank estimates future cash flows considering all contractual terms of the financial instrument, but not ECL. For purchased or originated credit impaired financial assets, a credit-adjusted effective interest rate is calculated using estimated future cash flows including ECL.

Amortised cost and gross carrying amount

The 'amortised cost' of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance.

The 'gross carrying amount of a financial asset' is the amortised cost of a financial asset before adjusting for any

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(t) Interest income and expense (continued)

expected credit loss allowance.
Calculation of interest income and expense

The effective interest rate of a financial asset or financial liability is calculated on initial recognition of a financial asset or a financial liability. In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit impaired) or to the amortised cost of the liability. The effective interest rate is revised as a result of periodic re-estimation of cash flows of floating rate instruments to reflect movements in market rates of interest.

However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortised cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted effective interest rate to the amortised cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

(u) Profit distribution

Profit distribution is the amount accrued as an expense on the funds accepted from banks and customers in the form of Wakala deposits and Mudaraba contracts and recognised as depositors' share of profit in the statement of profit or loss. The amounts are calculated in accordance with agreed terms and conditions of the Wakala deposits and Sharia'a principles.

(v) Fee and commission income and expense

Fee and commission income and expense that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate.

Fees earned for the provision of services over a period of time are accrued over that period. These fees include loan processing fees, investment management fees, placement fees and syndication fees. If a loan commitment is not expected to result in the draw-down of a loan, then the related loan commitment fees are recognised on a straight-line basis over the commitment period.

Other fee and commission expense relate mainly to transaction and service fees, which are expensed as the services are received.

(w) Dividend income

Dividends are received from financial assets measured at FVPL and at FVOCI. Dividends are recognised as other income in profit or loss when the right to receive payment is established. This applies even if they are paid out of pre-acquisition profits, unless the dividend clearly represents a recovery of part of the cost of an investment. In this case, the dividend is recognised in OCI if it relates to an investment measured at FVOCI. Dividends are presented as dividend income in statement of profit or loss.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(x) Foreign currency

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions, and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates, are generally recognised in profit or loss. They are deferred in equity if they relate to qualifying cash flow hedges and qualifying net investment hedges or are attributable to part of the net investment in a foreign operation.

Foreign exchange gains and losses that relate to borrowings are presented in the statement of profit or loss, within finance costs. All other foreign exchange gains and losses are presented in the statement of profit or loss on a net basis within other gains/(losses).

Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined. Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at FVPL are recognised in profit or loss as part of the fair value gain or loss, and translation differences on non-monetary assets such as equities classified as at FVOCI are recognised in other comprehensive income.

(y) Fiduciary activities

Assets held in a fiduciary capacity are not treated as assets of the Bank as they are only held in trust where the Bank acts as a custodian on customers' behalf. The Bank has no liability or obligations towards the customer on these assets held in trust. Accordingly, these assets are not included in these financial statements..

(z) Value Added Tax ("VAT")

Expenses and assets are recognised net of the amount of VAT, except:

- When the VAT incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the VAT is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable; or
- When receivables and payables are stated with the amount of VAT included.

The net amount of VAT recoverable from, or payable to, the taxation authority is included as part of other assets or other liabilities in the statement of financial position.

(aa) Income tax

Income tax expense comprises of current and deferred tax. It is recognised in profit or loss except to the extent it relates to items recognised directly in equity or OCI.

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date and any adjustment to tax payable in respect of previous years. Taxable profit differs from profit as reported in the consolidated statement of profit or loss statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(aa) Income tax (continued)

Deferred tax is recognised in respect of temporary differences at the reporting date between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is recognised for all taxable differences, except for the following:

- temporary differences: the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss,
- temporary differences relating to investments in subsidiaries where the timing of the reversal of the temporary differences can be controlled and it is probable that temporary differences will not reverse in the foreseeable future.
- taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow for all or part of the deferred tax asset to be utilised.

The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Bank expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

In determining the amount of current and deferred tax, the Bank considers the impact of tax exposures, including whether additional taxes and interest maybe due. This assessment relies on estimates and assumptions and may involve a series of judgements about future events. New information may become available that causes the Bank to change its judgement regarding the adequacy of existing tax liabilities; such changes to tax liabilities would impact tax expense in the period in which such a determination is made.

(bb) Derivatives and hedging

Derivatives are initially recognised at fair value on the date when a derivative contract is entered into, and they are subsequently remeasured to their fair value at the end of each reporting period. The accounting for subsequent changes in fair value depends on whether the derivative is designated as a hedging instrument and, if so, the nature of the item being hedged. The group designates certain derivatives as either:

- hedges of a particular risk associated with the cash flows of recognised assets and liabilities and highly probable forecast transactions (cash flow hedges), or
- hedges of a net investment in a foreign operation (net investment hedges).

At inception of the hedge relationship, the group documents the economic relationship between hedging instruments and hedged items, including whether changes in the cash flows of the hedging instruments are expected to offset changes in the cash flows of hedged items. The group documents its risk management objective and strategy for undertaking its hedge transactions. Movements in the hedging reserve in shareholders' equity are shown in Note 23.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(bb) Derivatives and hedging (continued)

(i) Cash flow hedges that qualify for hedge accounting

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges is recognised in the cash flow hedge reserve within equity. The gain or loss relating to the ineffective portion is recognised immediately in profit or loss within 'other gains/(losses)'.

Where option contracts are used to hedge forecast transactions, the group designates only the intrinsic value of the options as the hedging instrument.

Gains or losses relating to the effective portion of the change in intrinsic value of the options are recognised in the cash flow hedge reserve within equity. The changes in the time value of the options that relate to the hedged item ('aligned time value') are recognised within OCI in the costs of hedging reserve within equity.

When forward contracts are used to hedge forecast transactions, the group generally designates only the change in fair value of the forward contract related to the spot component as the hedging instrument. Gains or losses relating to the effective portion of the change in the spot component of the forward contracts are recognised in the cash flow hedge reserve within equity. The change in the forward element of the contract that relates to the hedged item ('aligned forward element') is recognised within OCI in the costs of hedging reserve within equity. In some cases, the entity might designate the full change in fair value of the forward contract (including forward points) as the hedging instrument. In such cases, the gains or losses relating to the effective portion of the change in fair value of the entire forward contract are recognised in the cash flow hedge reserve within equity.

Amounts accumulated in equity are accounted for as follows:

- Where the hedged item subsequently results in the recognition of a non-financial asset (such as inventory), both the deferred hedging gains and losses and the deferred time value of the option contracts or deferred forward points, if any, are included within the initial cost of the asset. The deferred amounts are ultimately recognised in profit or loss, because the hedged item affects profit or loss (for example, through cost of goods sold).
- The gain or loss relating to the effective portion of the interest rate swaps hedging variable rate borrowings is recognised in profit or loss within finance cost at the same time as the interest expense on the hedged borrowings.

When a hedging instrument expires, or is sold or terminated, or when a hedge no longer meets the criteria for hedge accounting, any cumulative deferred gain or loss and deferred costs of hedging in equity at that time remains in equity until the forecast transaction occurs, resulting in the recognition of a non-financial asset such as inventory. When the forecast transaction is no longer expected to occur, the cumulative gain or loss and deferred costs of hedging that were reported in equity are immediately reclassified to profit or loss.

Notes to the Financial Statements
31 December 2025

3. Material accounting policies (continued)

(cc) Intangible assets

Software acquired by the Bank is measured at cost less accumulated amortisation and any accumulated impairment losses. Subsequent expenditure on intangible asset is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred. Software is amortised on a straight-line basis to the statement of profit or loss over its estimated useful life, from the date on which it is available for use. The estimated useful life of software for the current and comparative periods is four years, except for core banking software, which is amortised over ten years.

(dd) Segment Reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision-maker.

The Chief Operating Decision-maker is the person or group that allocates resources to and assesses the performance of the operating segments of an entity. All transactions between business segments are conducted on an arm´s length basis, with intra-segment revenue and costs being eliminated. Income and expenses directly associated with each segment are included in determining business segment performance.

In accordance with IFRS 8 Operating Segments, the Bank has the following business segments: Corporate Banking, Retail banking and SME, Treasury and Others.

4. Application of new and revised IFRS Accounting Standard

(a) New and amended standards adopted by the Bank

The following new and revised IFRS Accounting Standards, which became effective for annual periods beginning on or after 1 January 2025, have been adopted in these financial statements. The application of these revised IFRSs, except where stated, have not had any material impact on the amounts reported for the current and prior periods but may affect the accounting for future transactions or arrangements.

Title	Key requirements	Effective date
Lack of Ex-changeability – Amendments to IAS 21	In August 2023, the IASB amended IAS 21 to add re-quirements to help entities to determine whether a curren-cy is exchangeable into another currency, and the spot ex-change rate to use when it is not. Prior to these amend-ments, IAS 21 set out the exchange rate to use when ex-changeability is temporarily lacking, but not what to do when lack of exchangeability is not temporary	1 January 2025

Notes to the Financial Statements
31 December 2025

4. Application of new and revised IFRS Accounting Standard (continued)

(b) New standards and interpretations not yet adopted

The Bank has not yet applied the following new and revised IFRSs that have been issued but are not yet effective:

New and revised IFRSs	Effective for annual peri-ods beginning on or after
Classification and Measurement of Financial Instruments – Amendments to IFRS 9 and IFRS 7, On 30 May 2024, the IASB issued targeted amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures to respond to recent questions arising in practice, and to include new requirements not only for financial institutions but also for corporate entities. These amendments: (a) clarify the date of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system; (b) clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion; (c) add new disclosures for certain instruments with contractual terms that can change cash flows (such as some financial instruments with features linked to the achievement of environment, social and governance targets); and (d) update the disclosures for equity instruments designated at fair value through other comprehensive income (FVOCI).	January 1, 2026
Amendments to IFRS 9 and IFRS 7 – Contracts Referencing Nature-dependent Electricity, The IASB has issued targeted amendments to help companies better report the financial effects of nature-dependent electricity contracts, which are often structured as power purchase agreements (PPAs). The amendments include: • clarifying the application of the 'own-use' requirements; • permitting hedge accounting if these contracts are used as hedging instruments; and • adding new disclosure requirements to enable investors to understand the effect of these contracts on a company's financial performance and cash flows.	January 1, 2026 (early adoption is permitted)
Annual Improvements to IFRS Accounting Standards – Volume 11, a collection of minor, non-urgent amendments issued by the International Accounting Standards Board (IASB) to enhance clarity and consistency in financial reporting. The amendments, published in July 2024, affect five standards: IFRS 1, IFRS 7, IFRS 9, IFRS 10, and IAS 7.	January 1, 2026 (early adoption is permitted)

Notes to the Financial Statements
31 December 2025

4. Application of new and revised IFRS Accounting Standard (continued)

(b) New standards and interpretations not yet adopted (continued)

New and revised IFRSs	Effective for annual peri-ods beginning on or after
Presentation and Disclosure in Financial Statements - IFRS 18, This is the new standard on presentation and disclosure in financial statements, which replaces IAS 1, with a focus on updates to the statement of profit or loss. The key new concepts introduced in IFRS 18 relate to: the structure of the statement of profit or loss with defined subtotals; requirement to determine the most useful structure summary for presenting expenses in the statement of profit or loss required disclosures in a single note within the financial statements for certain profit or loss performance measures that are reported outside an entity's financial statements (that is, management-defined performance measures); and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general.	January 1, 2027 (early adoption is permitted)
Subsidiaries without Public Accountability: Disclosures - IFRS 19, This new standard works alongside other IFRS Accounting Standards. An eligible subsidiary applies the requirements in other IFRS Accounting Standards except for the disclosure requirements; and it applies instead the reduced disclosure requirements in IFRS 19. IFRS 19's reduced disclosure requirements balance the information needs of the users of eligible subsidiaries' financial statements with cost savings for preparers. IFRS 19 is a voluntary standard for eligible subsidiaries. A subsidiary is eligible if: • it does not have public accountability; and • it has an ultimate or intermediate parent that produces financial statements available for public use that comply with IFRS Accounting Standards.	January 1, 2027

Management anticipates that these new standards, interpretations and amendments will be adopted in the financial statements as and when they are mandatorily effective. The Bank is currently assessing the impact of these standards, interpretations and amendments on the future financial statements.

Notes to the Financial Statements
31 December 2025

5. Use of estimates and judgements

(a) Key sources of estimation uncertainty

(i) Allowances for credit losses

Impairment losses are evaluated as described in accounting policy 3(a)(x).

The Bank evaluates impairment on loans and advances and investments on an on-going basis and a comprehensive review is performed on a quarterly basis to assess whether an impairment charge should be recognised in the income statement. In particular, considerable judgement by management is required in the estimation of the amount and timing of future cash flows when determining the level of impairment charge required. In estimating these cash flows, management makes judgements about the counterparty's financial situation and other means of settlement and the net realisable value of any underlying collateral. Such estimates are based on assumptions about several factors involving varying degrees of judgement and uncertainty, and actual results may differ resulting in future changes to such impairment charges.

The measurement of impairment losses under IFRS 9 across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different levels of allowances.

The Bank's ECL calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL models that are considered accounting judgements and estimates include:

- The Bank's internal credit grading model, which assigns PDs to the individual grades;
- The Bank's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a lifetime ECL basis and the qualitative assessment;
- The segmentation of financial assets when their ECL is assessed on a collective basis;
- Development of ECL models, including the various formulas and the choice of inputs;
- Determination of associations between macroeconomic scenarios and, economic inputs, such as unemployment levels and collateral values, and the effect on PDs, EADs and LGDs; and
- Selection of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

(ii) Determining fair values

The determination of fair value for financial and non-financial assets and liabilities of which there is no observable market price requires the use of valuation techniques as described in Note 3(a)(ix) and Note 3(j). For financial instruments that trade infrequently and have little price transparency, fair value is less objective, and requires varying degree of judgement depending on liquidity, concentration, uncertainty of market factors, pricing assumptions and other risks affecting the specific instrument (Note 5(b)(iii)).

Notes to the Financial Statements
31 December 2025

5. Use of estimates and judgements (continued)

(b) Critical accounting judgements in applying the Bank's accounting policies

Critical accounting judgements made in applying the Bank's accounting policies include:

(i) Financial assets and liabilities classification

The Bank's accounting policies provide scope for financial assets and liabilities to be designated on inception into different accounting categories in certain circumstances, such as in classifying financial assets as at amortised cost, FVPL or FVOCI, the Bank has determined that it meets the description as set out in Note 3(a)(ii).

(ii) Contingent liability arising from litigation

Due to the nature of its operations, the Bank may be involved in litigation arising in the ordinary course of business. Provision for contingent liabilities arising from litigation is based on the probability of outflow of economic resources and reliability of estimating such outflow. Such matters are subject to many uncertainties and the outcome of individual matters is not predictable with assurance.

(iii) Valuation of financial instruments and other assets

The Bank's accounting policy on fair value measurements is discussed in Note 3(a)(ix).

Fair value hierarchy

Fair value measurements recognised in the statement of financial position

The Bank measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements:

- **Level 1**: Quoted market price (unadjusted) in an active market for an identical instrument. Such instruments are valued by reference to unadjusted quoted prices for identical assets or liabilities in active markets where the quoted price is readily available, and the price represents actual and regularly occurring market transactions.

- **Level 2:** Valuation techniques based on observable inputs, either directly (i.e., as prices) or indirectly (i.e., derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

- **Level 3:** Valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant impact on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

Fair values of assets and liabilities that are traded in active markets are based on quoted market prices or dealer priced quotations. For all other assets and liabilities the Bank determines fair values using valuation techniques.

Notes to the Financial Statements
31 December 2025

5. Use of estimates and judgements (continued)

(b) Critical accounting judgements in applying the Bank's accounting policies (continued)

Valuation techniques include net present value and discounted cash flow models. Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other inputs used in estimating discount rates. The objective of valuation techniques is to arrive at a fair value determination that reflects the price of the financial instrument and other assets at the reporting date that would have been determined by market participants acting at arm's length.

Observable prices and model inputs are usually available in the market for listed equity securities. Availability of observable market prices and model inputs reduces the need for management judgement and estimation and also reduces the uncertainty associated with determination of fair values. Availability of observable market prices and inputs varies depending on the products and markets and is prone to changes based on specific events and general conditions in the financial markets.

The table below analyses assets measured at fair value at the end of the reporting period, by the level in the fair value hierarchy into which the fair value measurement is categorised:

	Level 1	Level 2	Level 3	Total
	AED'000	AED'000	AED'000	AED'000
At 31 December 2025				
Investments at FVOCI (Note 8)	**4,850,358**	**-**	**4,827**	**4,855,185**
Investment at FVPL (Note 8)	**-**	**651,606**	**-**	**651,606**
Investment properties (Note 10)	**-**	**-**	**153,850**	**153,850**
Property and equipment (Note 13)	**-**	**-**	**228,076**	**228,076**
	4,850,358	**651,606**	**386,753**	**5,888,717**
At 31 December 2024				
Investments at FVOCI (Note 8)	5,536,704	-	4,789	5,541,493
Investment at FVPL (Note 8)	-	644,362	-	644,362
Investment properties (restated) (Note 10)	-	-	162,820	162,820
Property and equipment (Note 13)	-	-	196,558	196,558
Asset held for sale (Note 14)	-	-	12,679	12,679
	5,536,704	644,362	376,846	6,557,912

There have been no transfers of assets between Level 1 and Level 2 or any transfers into or out of Level 3 of the fair value hierarchy during the year ended 31 December 2025 (2024: Nil).

Although the Bank believes that its estimates of fair values are appropriate, the use of different methodologies or assumptions in the determination of fair value of assets and liabilities classified as Level 3 could lead to different measurements of fair values.

Notes to the Financial Statements
31 December 2025

5. Use of estimates and judgements (continued)

(b) Critical accounting judgements in applying the Bank's accounting policies (continued)

Level 3 reconciliation

The following table shows a reconciliation from the beginning balances to the ending balances for fair value measurements in Level 3 of the fair value hierarchy.

	Investments at FVOCI AED'000	Investment properties AED'000	Property & equipment AED'000	Asset held for sale AED'000	Total AED'000
At 1 January 2025	**4,789**	**162,820**	**196,558**	**12,679**	**376,846**
Changes in fair value	38	11,915	17,920	-	29,873
Additions	-	-	13,598	-	13,598
Disposals/ transfers	-	(20,885)	-	(12,679)	(33,564)
At 31 December 2025	**4,827**	**153,850**	**228,076**	**-**	**386,753**

The following table shows a reconciliation from the beginning balances to the ending balances for fair value measurements in Level 3 of the fair value hierarchy.

	Investments at FVOCI AED'000	Investment properties AED'000 Restated	Property & equipment AED'000	Asset held for sale AED'000	Total AED'000 Restated
At 1 January 2024	4,675	178,400	192,002	12,042	387,119
Changes in fair value	114	25,885	25,430	-	51,429
Disposals	-	(41,465)	(20,758)	-	(62,223)
Depreciation	-	-	(116)	-	(116)
Net reversal charge (Note 32)	-	-	-	637	637
At 31 December 2024	4,789	162,820	196,558	12,679	376,846

Accounting classifications and fair values

All financial assets and liabilities are measured at amortised cost except for financial assets at fair value through profit or loss and investments at FVOCI and other non-financial assets which are measured at fair value by reference to published price quotations in an active market or from prices quoted by counterparties or through use of valuation techniques.

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable willing parties in an arm's length transaction. Consequently, differences can arise between book values and the fair value estimates. Underlying the definition of fair value is the presumption that the Bank is a going concern without any intention or requirement to materially curtail the scale of its operation or to undertake a transaction on adverse terms.

Notes to the Financial Statements
31 December 2025

5. Use of estimates and judgements (continued)

(b) Critical accounting judgements in applying the Bank's accounting policies (continued)

The fair values of due from banks, customers' deposits and due to banks that are predominantly short-term in tenure and issued at market rates are considered to reasonably approximate their book value.

The Bank estimates that the fair value of its loans and advances portfolio is not materially different from its book value since the majority of loans and advances carry floating market rates of interest and are frequently re-priced. For loans considered impaired, expected cash flows, including anticipated realisation of collateral, were discounted using an appropriate rate and considering the time of collection, the net result of which is not materially different from the carrying value

6. Cash and balances with the Central Bank of the UAE

	2025 AED'000	2024 AED'000
Cash in hand	**113,846**	128,257
Balances with the Central Bank of the UAE	**1,576,278**	1,181,499
Cash reserve with Central Bank of the UAE	**918,590**	1,038,696
Gross balance	**2,608,714**	2,348,452
Allowance for expected credit losses	**(4)**	(5)
	2,608,710	2,348,447

Cash reserve deposits are available for the Bank's day-to-day operations under certain specified conditions.

The movement in the allowance for expected credit losses during the year is shown below:

	2025 AED'000	2024 AED'000
Opening balance	**5**	6
Impairment reversal for the year, net (Note 32)	**(1)**	(1)
	4	5

Notes to the Financial Statements
31 December 2025

7. Due from banks

	2025 AED'000	2024 AED'000
Current, call and nostro balances	**303,560**	257,803
Fixed deposits	**202,015**	912,145
Gross balance	**505,575**	1,169,948
Allowance for expected credit losses	**(3,154)**	(2,763)
Net balance	**502,421**	1,167,185
By location:		
Within the UAE	**15,588**	316,785
Outside the UAE	**489,987**	853,163
	505,575	1,169,948

The movement in the allowance for expected credit losses during the year is shown below:

	2025 AED'000	2024 AED'000
Opening balance	**2,763**	1,877
Impairment charge for the year, net (Note 32)	**391**	886
	3,154	2,763

8. Investment securities

	2025 AED'000	2024 AED'000
Investment in quoted debt securities (UAE)	**1,792,832**	2,580,982
Investment in quoted debt securities (outside UAE / others)	**3,057,526**	2,955,722
Total debt securities at FVOCI	**4,850,358**	5,536,704
Investment in unquoted equity securities (outside UAE)	**3,406**	3,406
Investment in unquoted equity securities (UAE)	**1,080**	1,080
Investment in overseas funds	**341**	303
Total equities at FVOCI	**4,827**	4,789
Total investments at FVOCI (Note 8.1)	**4,855,185**	5,541,493

The above investments at FVOCI are denominated in UAE Dirhams and US Dollar. Unquoted securities are measured at fair value based on the investee company's net asset value as of the year end.

Notes to the Financial Statements
31 December 2025

8. Investment securities (continued)

	2025 AED'000	2024 AED'000
Investment in mutual funds	**651,606**	644,362
Total investments at FVPL (Note 8.2)	**651,606**	644,362

	2025 AED'000	2024 AED'000
Investment in quoted debt security (UAE)	**11,213**	15,566
Central Bank of the UAE M-Bills	**710,071**	391,933
Less: Allowance for expected credit losses	**(234)**	(707)
Total investments at amortised cost (Note 8.3)	**721,050**	406,792
Total Investment Securities (Note 8.1, 8.2 & 8.3)	**6,227,841**	6,592,647

8.1 Movements during the year in investment designated at FVOCI were as follows:

	2025 AED'000	2024 AED'000
Fair value at 1 January	**5,541,493**	3,075,277
Purchases during the year	**2,007,530**	4,457,142
Sales / redemptions during the year	**(2,807,130)**	(1,902,910)
Change in fair value	**108,919**	(83,721)
Impairment reversal for the year (Note 32)	**2,328**	8,547
Amortisation of premium on debt securities	**1,122**	(13,138)
Translation loss	**923**	296
Fair value at 31 December	**4,855,185**	5,541,493

As at 31 December 2025, the allowance for expected credit losses on debt instruments designated at FVOCI amounting to AED 9,602 thousand (2024: AED 11,930 thousand) is included in revaluation reserve of investments carried at FVTOCI and recognised in other comprehensive income.

8.2 Movements during the year in investments at FVPL were as follows:

	2025 AED'000	2024 AED'000
As at 1 January	**644,362**	355,638
Purchases during the year	**-**	426,067
Sales / redemptions during the year	**-**	(178,129)
MTM gain	**7,244**	40,786
As at 31 December	**651,606**	644,362

Notes to the Financial Statements
31 December 2025

8. Investment securities (continued)

8.3 Movements in investments at amortised cost were as follows:

	2025 AED'000	2024 AED'000
As at 1 January	**406,792**	405,376
Purchases during the year	**2,056,071**	1,092,510
Redemptions during the year	**(1,742,457)**	(1,107,666)
Impairment reversal for the year (Note 32)	**472**	(669)
Amortisation of premium on debt securities	**172**	17,241
As at 31 December	**721,050**	406,792

As at 31 December 2024 and 1 January 2024, 'Investments at fair value through other comprehensive income' amounting to AED 5,541 million and AED 3,075 million respectively, 'Investments at fair value through profit or loss (FVPL)' amounting to AED 644 million and AED 356 million respectively and 'Investments at amortised cost' amounting to AED 407 million and AED 405 million respectively were separately presented on the face of the statements of financial position but have now been aggregated into the line item 'Investments' amounting to AED 6,592 million and AED 3,836 million respectively to enhance the comparability of the presentation of the Bank's financial statements with those of other similar banks. This change in presentation has been reflected in the statement of financial position as at 31 December 2025 and the comparative information has been represented accordingly.

The Bank has not purchased/invested in shares during the year.

Notes to the Financial Statements
31 December 2025

9. Loans and advances

	2025 AED'000	2024 AED'000
Loans and advances	**15,014,401**	13,421,968
Islamic financing	**2,603,206**	1,535,013
Gross loans and Islamic financing	**17,617,607**	14,956,981
Allowance for expected credit losses	**(1,503,507)**	(1,923,284)
Net loans and advances	**16,114,100**	13,033,697

Islamic finance breakdown

	2025 AED'000	2024 AED'000
By type:		
Ijarah	**1,090,812**	881,225
Murabaha	**1,512,394**	653,788
Gross Islamic financing	**2,603,206**	1,535,013
Allowance for expected credit losses	**(129,907)**	(129,101)
Net Islamic financing	**2,473,299**	1,405,912

The maturities of minimum Ijara payments

	2025 AED'000	2024 AED'000
Less than one year	**37,147**	31,498
Between one year and five years	**891,239**	688,210
More than five years	**162,426**	161,517
Gross Ijarah financing	**1,090,812**	881,225

Notes to the Financial Statements
31 December 2025

9. Loans and advances (continued)

An analysis of gross loans and advances and Islamic financing by segment at the reporting date is shown below:

	2025 AED'000	2024 AED'000
Corporate segment	**17,075,190**	14,300,756
Consumer segment	**542,417**	656,225
Gross loans and Islamic financing	**17,617,607**	14,956,981

The movement in the allowance for expected credit losses during the year is shown below:

	2025 AED'000	2024 AED'000
Opening balance	**1,923,284**	2,514,780
Net charge for the year (Note 32)	**128,215**	401,185
Net amounts written off	**(547,992)**	(992,681)
	1,503,507	1,923,284

10. Investment properties

	Freehold land and building AED'000
At 1 January 2024 – restated*	178,400
Disposals	(41,465)
Fair value gain	25,885
At 31 December 2024 – restated*	**162,820**
Disposals	**(20,885)**
Fair value gain	**11,915**
At 31 December 2025	**153,850**

*Refer to Note 45 for details of restated comparative financial information.

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10. Investment properties (continued)

Towards the end of 2025, the Bank carried out an evaluation exercise of the investment properties through independent valuers who hold recognised and relevant professional qualifications and have recent experience in the location and category of the investment properties being valued. The valuation methodologies used by the external valuators in-clude:

- Direct Comparable method: This method seeks to determine the value of the property from transactions and asking prices of comparable properties within the same and comparable communities applying adjustments to reflect differences to the subject property.
- Investment method (Income Capitalisation & DCF): The Income Capitalisation Method has been used to assess the value of the property by capitalising the net operating income of the property at an appropriate yield after allowing for ap-propriate maintenance and vacancies. A net yield range of 8% to 9% has been applied which reflects what an investor would expect for an investment of the duration of the interest being valued for the respective properties.

All investment properties of the Bank are located in the United Arab Emirates.

Details of rental income and direct operating expenses relating to investment properties are as follows:

	2025 AED'000	2024 AED'000
Rental income	**21,167**	19,292
Direct operating expenses	**(9,156)**	(8,940)
	12,011	10,352

11. Other assets

	2025 AED'000	2024 AED'000
Interest receivable	**194,307**	211,873
Sundry debtors and other assets	**28,215**	27,964
	222,522	239,837

Notes to the Financial Statements
31 December 2025

12. Intangible assets

	Capital Work in - progress AED'000 Restated*	Intangible Assets AED'000	Total AED'000
Cost			
At 1 January 2024 (as previously reported)	-	113,218	113,218
Effect of restatement*	17,689	-	17,689
At 1 January 2024 (Restated*)	17,689	113,218	130,907
Additions	16,793	-	16,793
Transfers	(7,706)	7,706	-
At 31 December 2024 (Restated*)	26,776	120,924	147,700
At 1 January 2025	**26,776**	**120,924**	**147,700**
Additions	**17,493**	**-**	**17,493**
Transfers	**(24,845)**	**24,845**	**-**
At 31 December 2025	**19,424**	**145,769**	**165,193**
Accumulated amortisation			
At 1 January 2024	-	60,494	60,494
Charge for the year	-	14,850	14,850
At 31 December 2024	-	75,344	75,344
At 1 January 2025	-	**75,344**	**75,344**
Charge for the year	-	**16,885**	**16,885**
At 31 December 2025	-	**92,229**	**92,229**
Carrying amount as at 31 December 2024 (*restated)	26,776	45,580	72,356
Carrying amount as at 31 December 2025	**19,424**	**53,540**	**72,964**

*Refer to Note 45 for details of restated comparative financial information.

Notes to the Financial Statements
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13. Property and equipment

	Freehold land and Building AED'000	Furniture equipment & vehicles AED'000	Capital Work in - progress AED'000 Restated*	Right of use Assets AED'000	Total AED'000
Cost					
At 1 January 2024 (as previously reported)	373,649	117,037	19,397	24,788	534,871
Effect of restatement*	-	-	(17,689)	-	(17.689)
At 1 January 2024 (Restated*)	373,649	117,037	1,708	24,788	517,182
Additions	-	-	2,934	-	2,934
Transfers	-	2,744	(2,744)	-	-
Disposals	(24,279)	-	-	-	(24,279)
Gain on revaluation	25,430	-	-	-	25,430
At 31 December 2024 (Restated*)	374,800	119,781	1,898	24,788	521,267
At 1 January 2025	**374,800**	**119,781**	**1,898**	**24,788**	**521,267**
Additions	**-**	**-**	**4,023**	**-**	**4,023**
Transfer from asset held for sale (Note 14)	**13,598**	**-**	**-**	**-**	**13,598**
Transfers	**-**	**3,584**	**(3,584)**	**-**	**-**
Disposals	**-**	**-**	**-**	**-**	**-**
Gain on revaluation	**17,920**	**-**	**-**	**-**	**17,920**
At 31 December 2025	**406,318**	**123,365**	**2,337**	**24,788**	**556,808**

*Refer to Note 45 for details of restated comparative financial information.

Notes to the Financial Statements
31 December 2025

13. Property and equipment (continued)

	Freehold land and Building AED'000	Furniture equipment & vehicles AED'000	Capital Work in - progress AED'000	Right of use Assets AED'000	Total AED'000
			Restated*		
Accumulated depreciation					
At 1 January 2024	181,647	102,315	-	9,346	293,308
Charge for the year	116	6,488	-	-	6,604
Right of use assets	-	-	-	5,612	5,612
Disposals	(3,521)	-	-	-	(3,521)
At 31 December 2024	178,242	108,803	-	14,958	302,003
At 1 January 2025	**178,242**	**108,803**	**-**	**14,958**	**302,003**
Charge for the year	**-**	**6,831**	**-**	**-**	**6,831**
Right of use assets	**-**	**-**	**-**	**4,506**	**4,506**
Disposals	**-**	**-**	**-**	**-**	**-**
At 31 December 2025	**178,242**	**115,634**	**-**	**19,464**	**313,340**
Net carrying amount					
At 31 December 2024 (Restated*)	196,558	10,978	1,898	9,830	219,264
At 31 December 2025	228,076	7,731	2,337	5,324	243,468

*Refer to Note 45 for details of restated comparative financial information.

Towards the end of 2025, the Bank carried out an evaluation exercise of the freehold land and buildings through independent valuers who hold recognised and relevant professional qualifications and have recent experience in the location and category of the investment properties being valued. The valuation methodologies used by the external valuators include:

- Direct Comparable method: This method seeks to determine the value of the property from transactions and asking prices of comparable properties within the same and comparable communities applying adjustments to reflect differences to the subject property.

- Investment method (Income Capitalisation & DCF): The Income Capitalisation Method has been used to assess the value of the property by capitalising the net operating income of the property at an appropriate yield after allowing for appropriate maintenance and vacancies. A net yield range of 8% to 9% has been applied which reflects what an investor would expect for an investment of the duration of the interest being valued for the respective properties

The fair value of the buildings as at 31 December 2025, as provided by the valuers was AED 228.1 million (2024: AED 196.6 million), resulting in an increase in the revaluation reserve by AED 17.9 million (2024: increase by AED 25.4 million). The table below represents the movement in the revaluation reserve of the freehold land and building:

Notes to the Financial Statements
31 December 2025

13. Property and equipment (continued)

	2025 AED'000	2024 AED'000
Revaluation reserve – freehold land and buildings		
At 1 January	**163,603**	138,522
Fair value gain	**17,920**	25,430
Disposals	**-**	(349)
At 31 December	**181,523**	163,603

At 31 December 2025, total cost of AED 178.2 million (2024: AED 178.2 million) of fully depreciated assets was included in freehold land and buildings.

14. Asset held-for-sale

	2025 AED'000	2024 AED'000
Building	**-**	12,679

During 2022, the Bank decided to sell a building which was originally being constructed for use in the Bank's operations and presented under project-in-progress under Property and equipment. The building was reclassified as held for sale during 2022 and was measured at the lower of its carrying amount and fair value less costs to sell at the time of the reclassification.

On 31 December 2025 (the "Transfer Date"), the Bank has reassessed the intended use of the asset and decided not to go forward with its sale. As the asset no longer meets the held-for-sale classification criteria of IFRS 5, the asset was reclassified to Freehold land and buildings (Note 13) within Property and Equipment at the Transfer Date, and the Bank has assessed the Transfer Value of the asset to be the lower of its carrying amount that would have been determined had the asset never been classified as held for sale, and its recoverable amount at the Transfer Date. The Transfer Value was determined to be the recoverable amount at the Transfer Date, amounting to AED 13.6 million and the resulting gain on remeasurement is AED 0.9 million recognised in the statement of profit or loss. Post the Transfer Date, the building will be subsequently measured in accordance with the Bank's accounting policy for land and buildings.

Notes to the Financial Statements
31 December 2025

15. Customers' deposits

	2025 AED'000	2024 AED'000
By type:		
Time deposits	**10,216,437**	8,435,228
Call accounts	**104,518**	595,771
Current accounts	**4,832,329**	5,499,819
Savings accounts	**300,750**	1,038,887
	15,454,034	15,569,705
Islamic deposits		
By type:		
Current accounts	**369,256**	420,510
Mudaraba term and savings deposits	**6,977**	9,832
Wakala deposits	**1,513,216**	960,164
	1,889,449	1,390,506
Total deposits	**17,343,483**	16,960,211
By sector:		
Private sector	**7,629,635**	8,958,667
Government sector	**7,486,678**	6,059,459
Individuals	**2,227,170**	1,942,085
	17,343,483	16,960,211

16. Due to banks

	2025 AED'000	2024 AED'000
Current, call and vostro balances	**1,506,076**	391,752
Fixed deposits	**1,924,931**	1,678,555
	3,431,007	2,070,307
By location:		
Within the UAE	**1,545,081**	608,838
Outside the UAE	**1,885,926**	1,461,469
	3,431,007	2,070,307

Notes to the Financial Statements
31 December 2025

17. Other liabilities

	2025 AED'000	2024 AED'000
Allowance for expected credit loss on contingent assets	**373,155**	273,602
Interest payable	**142,667**	156,186
Corporate tax liability (Note 43)	**31,995**	22,992
Provision for employees' end of service benefits	**22,281**	19,562
Others	**243,490**	216,598
	813,588	688,940

The movement in the provision for employees' end of service benefits was as follows:

	2025 AED'000	2024 AED'000
At 1 January	**19,562**	18,668
Provided during the year (Note 31)	**6,108**	6,293
Actuarial losses on defined benefit obligation	**(365)**	(463)
Paid during the year	**(3,024)**	(4,936)
	22,281	19,562

The Bank provides end of service benefits for its eligible employees. An actuarial valuation has been carried out as at 31 December 2025 to ascertain present value of the defined benefit obligation. A registered actuary was appointed to evaluate the same. The liabilities were measured using the projected unit credit method. For valuing liability as at 31 December 2025, a discount rate of 5.11% (2024: 5.10%) and salary escalation rate of 3% (2024: 3%) were used.

The liability would be higher by AED 958 thousand had the discount rate used in the assumption been lower by 0.5% and the liability would be lower by AED 891 thousand had the discount rate used in the assumption been higher by 0.5%. Similarly, the liability would be higher by AED 980 thousand had the salary increment rate used in the assumption been higher by 0.5% and the liability would be lower by AED 914 thousand had the salary increment rate used in the assumption been lower by 0.5%.

18. Share capital

The authorized, issued and paid-up share capital as at 31 December 2025 is comprised of 100,000 ordinary shares of AED 20,000 each (31 December 2024: 100,000 ordinary shares of AED 20,000 each).

For the year ended 31 December 2025, the Board of Directors has proposed to pay a cash dividend of AED 600 per ordinary share (2024: AED Nil per ordinary share). This is subject to the approval of the shareholders in the Annual General Meeting.

19. Statutory reserve

As required by Article 241 of the UAE Federal Decree Law No 32 of 2021, as amended, and the Bank's Articles of Association, 10% of the net profit for each year is transferred to a statutory reserve until this reserve equals 50% of the share capital. There has been a transfer of AED 30.2 million to the reserve during the year (2024: AED 23.1 million).

Notes to the Financial Statements
31 December 2025

20. Special reserve

In accordance with UAE Federal Law No. 6 of 2025 Regarding the Central Bank & Organisation of Financial Institutions and Insurance Activities, 10% of the net profit for each year is transferred to a special reserve until this reserve equals 50% of the share capital. There has been a transfer of AED 30.2 million to the reserve during the year (2024: AED 23.1 million).

21. Revaluation reserve

The revaluation reserve includes gains on revaluation of freehold land and buildings, amounting to AED 181.5 million (2024: AED 163.6 million). During the year 2025 a revaluation gain of AED 17.9 million (2024: gain of AED 25.4 million) was adjusted in the reserves, resulting from the revaluation exercise performed over freehold land and buildings (Note 13).

22. Fair value reserve

The fair value reserve includes the cumulative net change in the fair value of Investments at fair value through other comprehensive income (FVOCI), until the investments are derecognised..

	2025 AED'000	2024 AED'000
Fair value reserve – Investments designated at FVOCI		
At 1 January	**(142,215)**	(66,029)
Fair value changes – net	**108,919**	(83,721)
Deferred tax related to above	**(9,803)**	7,535
At 31 December	**(43,099)**	(142,215)

23. Cash flow hedge reserve

During 2024, the Bank strategically entered into two interest rate swap agreements with local banks. Each contract was designed to hedge the interest rate variability on an open portfolio of performing loans. There were no reclassifications from the cash flow hedge reserve to profit or loss during the period as the Hedge was effective.

24. Interest income

	2025 AED'000	2024 AED'000
Loans and advances to customers	**696,672**	785,557
Investment securities	**243,036**	233,936
Due from banks	**89,138**	113,568
	1,028,846	1,133,061

Notes to the Financial Statements
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25. Interest expense

	2025 AED'000	2024 AED'000
Customers' deposits	**375,582**	368,332
Due to banks	**95,718**	91,961
	471,300	460,293

26. Income from Islamic financing contracts

	2025 AED'000	2024 AED'000
Murabaha	**56,900**	40,514
Ijarah	**55,253**	75,190
	112,153	115,704

27. Depositors' share of profit

	2025 AED'000	2024 AED'000
Wakala	**44,067**	63,405
Mudaraba deposits and saving accounts	**304**	207
	44,371	63,612

28. Net fee and commission income

	2025 AED'000	2024 AED'000
Fee and commission income		
Letters of credit	**90,123**	53,892
Retail and corporate lending fees	**20,892**	22,422
Letters of guarantee	**23,039**	20,586
Transfers and other fees	**17,173**	12,769
Others	**25,166**	24,296
Total fee and commission income	**176,393**	133,965
Fee and commission expense		
Brokerage fees	**(1,097)**	(1,116)
Handling charges	**(2,096)**	(1,665)
Others	**(13,682)**	(11,559)
Total fee and commission expense	**(16,875)**	(14,340)
Net fee and commission income	**159,518**	119,625

Notes to the Financial Statements
31 December 2025

28. Net fee and commission income (continued)

Performance obligations and revenue recognition policies

The following table provides information about the nature and timing of the satisfaction of performance obligations in contracts with customers, including significant payment terms, and the related revenue recognition policies.

Type of service	Nature and timing of satisfaction of performance obligations, including significant payment terms	Revenue recognition under IFRS 15
Retail and corporate banking service	The Bank provides banking services to retail and corporate customers, including account management, provision of overdraft facilities, foreign currency transactions, letters of credit, letters of guarantees, credit card and servicing fees. Fees for ongoing account management are charged to the customer's account on a monthly basis. The Bank sets the rates separately for retail and corporate banking customers in each jurisdiction on an annual basis. Transaction-based fees for interchange, foreign currency transactions and overdrafts are charged to the customer's account when the transaction takes place. Servicing fees are charged on a monthly basis and are based on fixed rates reviewed annually by the Bank.	Revenue from account service and servicing fees is recognized over time as the services are provided. Revenue related to transactions is recognized at the point in time when the transaction takes place.

29. Net foreign currency exchange gain

	2025 AED'000	2024 AED'000
Dealing with customers	**83,274**	47,072
Trading and retranslation loss	**(5,767)**	(2,081)
	77,507	44,991

30. Other operating income

	2025 AED'000	2024 AED'000 Restated*
Rental income, net	**12,011**	10,352
Fair value gain on investment properties (note 10)	**11,915**	25,885
Net income on mutual funds	**(1,054)**	25,873
Gain on sale of investment securities	**10,155**	8,539
Others	**7,983**	11,861
	41,010	82,510

*For the year ended 31 December 2024, 'net investment income' amounting to AED 39,440 thousands (represented by 'Net income on mutual funds' of AED 25,873 thousands, net investment income on bonds of AED 7,388 thousands and Others of AED 6,179 thousands) and 'other operating income (restated)' amounting to AED 43,070 thousands

Notes to the Financial Statements
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30. Other operating income (continued)

(represented by Fair value gain on investment properties of AED 25,885 thousands, rental income net of AED 10,352 thousands and Others of AED 6,833 thousands) respectively were separately presented on the face of the statements of profit or loss, but have now been aggregated into the line item 'other operating income' amounting to AED 82,510 thousands to give prominence to core banking activities of the Bank. This change in presentation has been reflected in the statement of profit or loss for the year ended 31 December 2025 and the restated comparative information has been represented accordingly. Refer to Note 45 for further details on restated comparative financial information.

31. General, administration and other operating expenses

	2025 AED'000	2024 AED'000 Restated*
Staff costs (i)	**224,348**	216,751
Depreciation and amortisation (ii)	**28,222**	27,066
Board of Directors expenses	**16,716**	16,731
Repairs and maintenance	**32,877**	20,053
Communication expenses	**13,014**	11,601
Others (iii)	**41,421**	34,607
	356,598	326,809

(i) Staff costs are divided as follows:

	2025 AED'000	2024 AED'000
Salaries and wages	**103,521**	100,820
End of service benefits (note 17)	**6,109**	6,293
Other benefits (iv)	**114,718**	109,638
	224,348	216,751

(ii) Depreciation and amortisation comprises of charge for the year on property and equipment, intangible assets and right of use assets amounting to AED 28.2 million (2024: AED 27.1 million).

(iii) Others include audit fees of AED 0.9 million (2024: AED 0.7 million).

(iv) (iv) Other benefits include defined contribution expenses (pension) for UAE nationals of AED 11.1 million (2024: AED 7.6 million)29. Net impairment charge on financial assets.

*Refer to Note 45 for details of restated comparative financial information.

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32. Net impairment charge on financial assets

	2025 AED'000	2024 AED'000
Net impairment charge on loans and advances	**128,215**	401,185
Net impairment charge/ (release) on unfunded xposures	**99,553**	(399)
Net impairment charge on due from banks	**391**	886
Net impairment release on balances with CBUAE	**(1)**	(1)
Net impairment release on investment securities	**(2,800)**	(7,878)
Write-off of impaired financial assets	**17,889**	21,640
Recovery of loans previously written – off	**(32,652)**	(26,960)
	210,595	388,473

The balance of recoveries includes write back of written off loans and advances including the related suspended interest.

33. Net impairment reversal on properties

	2025 AED'000	2024 AED'000 Restated*
Fair value gain on asset held-for-sale	**-**	(637)
Net fair value gain on properties	**-**	(637)

*Refer to Note 45 for details of restated comparative financial information.

34. Cash and cash equivalents

Cash and cash equivalents included in the statement of cash flows comprise the following amounts maturing within three months of the date of the acquisition / placement:

	2025 AED'000	2024 AED'000 Restated*
Cash and balances with the Central Bank of the UAE	**2,608,714**	2,348,452
Due from banks	**505,575**	1,169,948
Cash and cash equivalents	**3,114,289**	3,518,400

*Refer to Note 45 for details of restated comparative financial information.

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35. Financial risk management

Overview

The Bank has exposure to the following risks from its business activities:

- Credit risk
- Liquidity risk
- Market risk
- Operational risk

This note presents information about the Bank's exposure to each of the above risks, the Bank's objectives, policies and processes for measuring and managing risk, and the Bank's management of capital.

Risk management framework

The Board of Directors (the "Board") has overall responsibility for the establishment and oversight of the Bank's Risk Management Framework. The Board has entrusted a number of managers with the risk management function along with setting up and monitoring the Bank's credit, liquidity, operational and market risks, taking credit decisions above management's discretionary powers and setting market risk limits under which the Bank's management operates.

The Bank has further set up from within management, the Asset and Liability ("ALCO"), Management Credit Committee ("MCC") and Management Risk Management Committee ("MRC") which are responsible for developing and monitoring the Bank's risk management policies in their specified areas.

The Bank has risk appetite / tolerance limits which is revised annually and monitored regularly.

The Bank's risk management policies are established to identify and analyse the risks faced by the Bank, to set appropriate risk limits, implement controls, monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Bank, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees understand their roles and obligations.

The Board Compliance Committee oversees how management monitors compliance with the Bank's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Bank. The Board Audit Committee provides oversight on significant risk exposures and control issues, including fraud risks, governance issues, and other matters needed or requested by senior management and the Board. The Board Audit Committee is assisted in its oversight role by Internal Audit. Internal Audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the Board Audit Committee.

(a) Credit risk

Credit risk is the risk of a financial loss to the Bank if a customer or counterparty to a financial instrument fails to meet its contractual obligations; and arises principally from the Bank's loans and advances, due from banks, non-trading debt instruments and certain other assets.

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

Management of credit risk

The Bank's credit risk management framework includes:

- Formulating credit policies in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures and compliance with regulatory and statutory requirements.
- Establishing the authorisation structure for the approval and renewal of credit facilities. Authorisation limits are allocated to the Credit Committee, Board Steering Committee or the Board of Directors as deemed appropriate.
- Reviewing and assessing all credit exposures of designated limits, prior to facilities being committed to customers. Renewals and reviews of facilities are subject to the same review process.
- Limiting concentrations of exposure to counterparties, segments, geographies and industries (for loans and advances), and by issuer, credit rating band, market liquidity and country (for Investments designated at FVOCI)
- Developing and maintaining the Bank's risk grading in order to categorise exposures according to the degree of risk of financial loss faced and to focus management on the attendant risks. The risk grading system is used in determining where impairment provisions may be required against specific credit exposures. The current risk ratings system consist of 19 normal and 3 non-performing categories. The responsibility for setting risk grades lies with the final approving executive / committee as appropriate. Risk grades are subject to regular reviews.
- Reviewing compliance, on an ongoing basis, with agreed exposure limits relating to counterparties, industries and countries and reviewing limits in accordance with risk management strategy and market trends

The risk management team is responsible for the formulation of credit policies and processes in line with growth, risk management and strategic objectives.

In addition, the Bank manages the credit exposure by obtaining collateral where appropriate and limiting the duration of exposure.

The Bank acknowledges that the Central Bank of the UAE has issued the Credit Risk Management Standards in October 2024. The Bank is committed to meet all the requirements by the stipulated timelines.

Credit quality analysis

The table below provides the mapping of the Bank's internal credit risk grades.

Grouping	Rating Category
Investment Risk	Grades 1 to 4
Non-Investment Grade	Grades 4- to 7-
Stage 3 a (Substandard)	Grade 8
Stage 3 b (Doubtful)	Grade 9
Stage 3 c (Loss)	Grade 10

Notes to the Financial Statements
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35. Financial risk management (continued)

(a) Credit risk (continued)

The following table sets out information about the credit quality of financial assets measured at amortised cost and FVOCI debt investments. Unless specifically indicated, for financial assets, the amounts in the table represent gross carrying amounts. For loan commitments and financial guarantee contracts, the amounts in the table represent the amounts committed or guaranteed, respectively.

	31 December 2025				31 December 2024			
	Stage 1	**Stage 2**	**Stage 3**	**Total**	Stage 1	Stage 2	Stage 3	Total
Due from banks								
Low-fair risk	**505,575**	**-**	**-**	**505,575**	1,169,948	-	-	1,169,948
Total gross carrying amount	**505,575**	**-**	**-**	**505,575**	1,169,948	-	-	1,169,948
Loss allowance	**(3,154)**	**-**	**-**	**(3,154)**	(2,763)	-	-	(2,763)
Carrying amount	**502,421**	**-**	**-**	**502,421**	1,167,185	-	-	1,167,185
Loans and advances to custom-ers								
	11,194,673	**42,071**	**-**	**11,236,744**	7,822,032	69,056	-	7,891,088
Marginal risk	**3,182,108**	**790,848**	**-**	**3,972,956**	3,284,608	755,795	-	4,040,403
Higher risk	**31,055**	**1,052,794**	**-**	**1,083,849**	19,644	956,222	-	975,866
3 (a)	**-**	**-**	**163,942**	**163,942**	-	-	156,355	156,355
3 (b)	**-**	**-**	**171,929**	**171,929**	-	-	257,209	257,209
3 (c)	**-**	**-**	**1,370,638**	**1,370,638**	-	-	1,995,819	1,995,819
Interest in suspense	**-**	**-**	**(290,348)**	**(290,348)**	-	-	(341,524)	(341,524)
Deferred profit	**(92,103)**	**-**	**-**	**(92,103)**	(18,235)	-	-	(18,235)
Total gross carrying amount	**14,315,733**	**1,885,713**	**1,416,161**	**17,617,607**	11,108,049	1,781,073	2,067,859	14,956,981
Loss allowance	**(286,547)**	**(334,970)**	**(881,990)**	**(1,503,507)**	(203,727)	(413,506)	(1,306,051)	(1,923,284)
Carrying amount	**14,029,186**	**1,550,743**	**534,171**	**16,114,100**	10,904,322	1,367,567	761,808	13,033,697

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

	31 December 2025				31 December 2024			
	Stage 1	**Stage 2**	**Stage 3**	**Total**	Stage 1	Stage 2	Stage 3	Total
Debt Securities – investments at FVOCI								
Low-fair risk	**4,850,358**	**-**	**-**	**4,850,358**	5,536,704	-	-	5,536,704
Total gross carrying amount	**4,850,358**	**-**	**-**	**4,850,358**	5,536,704	-	-	5,536,704

	31 December 2025				31 December 2024			
	Stage 1	**Stage 2**	**Stage 3**	**Total**	Stage 1	Stage 2	Stage 3	Total
Debt Securities – Amortised Cost								
Low-fair risk	**721,284**	**-**	**-**	**721,284**	407,499	-	-	407,499
Total gross carrying amount	**721,284**	**-**	**-**	**721,284**	407,499	-	-	407,499
Loss allowance	**(234)**	**-**	**-**	**(234)**	(707)	-	-	(707)
Carrying amount	**721,050**	**-**	**-**	**721,050**	406,792	-	-	406,792

Loans and advances to customers

The general creditworthiness of a corporate customer tends to be the most relevant indicator of credit quality of a loan extended to it. However, collateral provides additional security, and the Bank generally requests that corporate borrowers provide it. The Bank may take collateral in the form of a first charge over real estate, floating charges over all corporate assets and other liens and guarantees.

Security and collaterals are bifurcated into following categories:

- Tangible: This includes cash margins, fixed deposits under lien, mortgages over immovable assets, pledges of shares, commercial pledges over movable assets.
- Non-Tangible: Guarantees and all other collaterals not having any tangible worth/ value

Collateralisation of exposure is supported by proper documentation, charge (registered where required) etc. to ensure its enforceability/reliability.

The Bank has collateral valuation guidelines which detail the principles and frequency of valuation of securities. The Bank monitors the market value of collateral and requests additional collateral in accordance with the underlying agreements. It also monitors the market value of collateral obtained during its review of the adequacy of the provision for credit losses.

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

When valuations are obtained from Banks' approved evaluators, the lowest value is taken thereafter for the purpose of collateral / LTV computation. Refreshed valuations are obtained for properties with more frequency in cases where there are difficulties and hence reliance on the security is increasingly high. Where the Bank accepts fixed assets e.g. property as collateral, these are adequately insured with the Bank as loss payee, wherever applicable. If corporate guarantees are accepted, their tangible net worth are re-evaluated annually along with the annual review of facilities, where-ever applicable. All securities are held under the custody of an independent credit administration function.

At 31 December 2025, the net carrying amount of credit-impaired loans and advances to customers amounted to AED 534,171 thousands (2024: AED 761,808 thousands) and the value of identifiable collateral (mainly commercial properties) held against those loans and advances amounted to AED 1,222,983 thousands (2024: AED 1,453,837 thousands). For each loan, the value of disclosed collateral is capped at the nominal amount of the loan that it is held against.

Amounts arising from ECL

Inputs, assumptions and techniques used for estimating impairment

Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Bank considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Bank's historical experience and expert credit assessment and including forward-looking information.

The objective of the assessment is to identify whether a significant increase in credit risk has occurred for an exposure by comparing:

- the remaining lifetime probability of default (PD) as at the reporting date; with
- the remaining lifetime PD for this point in time that was estimated at the time of initial recognition of the exposure (adjusted where relevant for changes in prepayment expectations).

For the retail portfolio, historical payment behaviour of the exposure is evaluated to determine significant increase in credit risk.

In addition to the quantitative test based on movement of PD, the Bank also applies experienced credit judgement to incorporate the estimated impact of factors not captured in the modelled ECL results..

Credit risk grades

The Bank allocates each corporate exposure to a credit risk grade based on a variety of data that is determined to be predictive of the risk of default and applying experienced credit judgment. Credit risk grades are defined using qualitative and quantitative factors that are indicative of risk of default. These factors vary depending on the nature of the exposure and the type of borrower.

Credit risk grades are defined and calibrated using the bank's historical data and deploying scientific methods.

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

Each borrower is assigned a credit risk grade on initial recognition based on available information about the borrower's financial information, securities provided to banks and other relevant qualitative information. Exposures are subject to ongoing monitoring, which may result in an exposure being moved to a different credit risk grade.

The monitoring typically involves use of the following information.

Corporate exposures	Retail exposures	All exposures
Financial and non-financial Information obtained during periodic review of customer files – e.g. audited financial statements, management accounts, budgets and projections. Examples of areas of particular focus are: gross profit margins, financial leverage ratios, debt service coverage, compliance with covenants, quality of management, senior management changes etc. Data from credit reference agencies, press articles, changes in external credit ratings, market references. Quoted bond and credit default swap (CDS) prices for the borrower where available. Actual and expected significant changes in the political, regulatory and technological environment of the borrower or in its business activities.	Internally collected data on customer behaviour – e.g. utilisation of credit card facilities.	Payment record – this includes overdue status as well as a range of variables about payment ratios. Utilisation of the granted limit. Requests for and granting of forbearance. Existing and forecast changes in business, financial and economic conditions.

Determining whether credit risk has increased significantly

The Bank assesses whether credit risk has increased significantly since initial recognition at each reporting date. Determining whether an increase in credit risk is significant depends on the characteristics of the financial instrument and the borrower, and the geographical region. What is considered significant differs for different types of lending, in particular between corporate and retail.

If there is evidence that there is no longer a significant increase in credit risk relative to initial recognition, then the loss allowance on an instrument returns to being measured as 12-month ECL, after the passage of the probation period prescribed by CBUAE. Some qualitative indicators of an increase in credit risk, such as delinquency or forbearance, may be indicative of an increased risk of default that persists after the indicator itself has ceased to exist. In these cases, the Bank determines a probation period during which the financial asset is required to demonstrate good behaviour to provide evidence that its credit risk has declined sufficiently. Such probation is mandated by CBUAE

When contractual terms of a loan have been modified, evidence that the criteria for recognising lifetime ECL are no longer met includes a history of up-to-date payment performance against the modified contractual terms.

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

Definition of default

The Bank considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Bank in full, without recourse by the Bank to actions such as realising security (if any is held);
- the borrower is more than 90 days past due on any material credit obligation to the Bank. Overdrafts are considered as being past due once the customer has breached an advised limit or been advised of a limit smaller than the current amount outstanding; , and in such case (of overdrafts), the default happens when the customer has more than 90 days (connected or unconnected) past-due in the previous 6 months or
- it is becoming probable that the borrower will restructure the asset as a result of bankruptcy due to the borrower's inability to pay its credit obligations.

In assessing whether a borrower is in default, the Bank considers indicators that are:

- qualitative: e.g. breaches of covenant;
- quantitative: e.g. overdue status and non-payment on another obligation of the same issuer to the Bank; and
- based on data developed internally and obtained from external sources.

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances.

Incorporation of forward-looking information

The Bank incorporates forward-looking information into both the assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and the measurement of ECL.

The Bank formulates three economic scenarios: a base case, which is the median scenario assigned a 40% probability of occurring, and two less likely scenarios, one upside and one downside, each assigned a 30% probability of occurring.

The Bank has applied the following Macro Economic Variables/Shocks for the Corporate portfolio in conditional IFRS 9 analysis with forecast scenarios:

- Equity (ADX Equity Index)
- Oil price

Modified financial assets

The contractual terms of a loan may be modified for a number of reasons, including changing market conditions, customer retention and other factors not related to a current or potential credit deterioration of the customer. An existing loan whose terms have been modified may be derecognised and the renegotiated loan recognised as a new loan at fair value in accordance with the Bank's accounting policies.

When the terms of a financial asset are modified and the modification does not result in derecognition, the determination of whether the asset's credit risk has increased significantly reflects comparison of:

35. Financial risk management (continued)

(a) Credit risk (continued)

- its remaining lifetime PD at the reporting date based on the modified terms; with
- the remaining lifetime PD estimated based on data on initial recognition and the original contractual terms.

The Bank renegotiates loans to customers in financial difficulties to maximise collection opportunities and minimise the risk of default. Under the Bank's Restructuring Policy, restructuring is granted on a selective basis if the debtor is currently in default on its debt or if there is a high risk of default, there is evidence that the debtor made all reasonable efforts to pay under the original contractual terms and the debtor is expected to be able to meet the revised terms. . Restructuring of loans can, also, be undertaken for business reasons, other than a significant increase in credit risk, including allowing the client to spare its cash flow for further expansions, or other reasons.

The revised terms usually include extending the maturity, changing the timing of interest payments and amending the terms of loan covenants. The Bank's Credit Committee and Credit Monitoring Committee regularly reviews reports with regards to restructured accounts.

For financial assets modified as part of the Bank's Restructuring Policy, the estimate of PD reflects whether the modification has improved or restored the Bank's ability to collect interest and principal and the Bank's previous experience of similar restructuring actions. As part of this process, the Bank evaluates the borrower's payment performance against the modified contractual terms and considers various behavioural indicators.

Restructuring accompanied with significant increase in credit risk or an event of default constitutes evidence that an exposure is credit-impaired. A customer needs to demonstrate consistently good payment behaviour over a period of time before the exposure is no longer considered to be credit-impaired/in default or the PD is considered to have decreased such that the loss allowance reverts to being measured at an amount equal to Stage 1 ECL provision.

Measurement of ECL

The key inputs into the measurement of ECL are the term structure of the following variables:

- probability of default (PD);
- loss given default (LGD); and
- exposure at default (EAD)

ECL for exposures in Stage 1 is calculated by multiplying the 12-month PD by LGD and EAD. Lifetime ECL is calculated by multiplying the lifetime PD by LGD and EAD.

LGD is the magnitude of the likely loss if there is a default. For loans secured by retail property, LTV ratios are a key parameter in determining LGD. They are calculated based on the market value, after applying haircuts prescribed by CBUAE.

EAD represents the expected exposure in the event of a default. The Bank derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract and arising from amortisation. The EAD of a financial asset is its gross carrying amount at the time of default. For lending commitments, the EADs are potential future amounts that may be drawn under the contract. For financial guarantees, the EAD represents the amount of the guaranteed exposure when the financial guarantee becomes payable.

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

As described above, and subject to using a maximum of a 12-month PD for Stage 1 financial assets, the Bank measures ECL considering the risk of default over the maximum contractual period (including any borrower's extension options) over which it is exposed to credit risk, even if, for credit risk management purposes, the Bank considers a longer period. The maximum contractual period extends to the date at which the Bank has the right to require repayment of an advance or terminate a loan commitment or guarantee.

However, for retail overdrafts and credit card facilities that include both a loan and an undrawn commitment component, the Bank measures ECL over a period longer than the maximum contractual period if the Bank's contractual ability to demand repayment and cancel the undrawn commitment does not limit the Bank's exposure to credit losses to the contractual notice period. These facilities do not have a fixed term or repayment structure and are managed on a collective basis. The Bank can cancel them with immediate effect but this contractual right is not enforced in the normal day-to-day management, but only when the Bank becomes aware of an increase in credit risk at the facility level. This longer period is estimated taking into account the credit risk management actions that the Bank expects to take, and that serve to mitigate ECL. These include a reduction in limits, cancellation of the facility and/or turning the outstanding balance into a loan with fixed repayment terms.

Where modelling of a parameter is carried out on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics that include:

- instrument type;
- credit risk gradings;
- collateral type;
- LTV ratio for retail mortgages;
- date of initial recognition;
- remaining term to maturity;
- industry; and
- geographic location of the borrower

The groupings are subject to regular review to ensure that exposures within a particular group remain appropriately homogeneous.

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

Carrying value

The following table further explains the changes in the gross carrying amount of due from banks for the year ended 31 December 2025 to help explain their significance to the changes in the loss allowance.

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	Total AED'000
Beginning of the period	**1,169,948**	**-**	**-**	**1,169,948**
Transfers:				
Transfer from Stage 1 to Stage 2	**-**	**-**	**-**	**-**
Transfer from Stage 1 to Stage 3	**-**	**-**	**-**	**-**
Transfer from Stage 2 to Stage 1	**-**	**-**	**-**	**-**
Transfer from Stage 2 to Stage 3	**-**	**-**	**-**	**-**
Transfer from Stage 3 to Stage 2	**-**	**-**	**-**	**-**
New financial assets net of re-payments/ adjustments	**(664,373)**	**-**	**-**	**(664,373)**
	505,575	**-**	**-**	**505,575**

The following table further explains the changes in the gross carrying amount of due from banks for the year ended 31 December 2024 to help explain their significance to the changes in the loss allowance.

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	Total AED'000
Beginning of the period	1,319,675	-	-	1,319,675
Transfers:				
Transfer from Stage 1 to Stage 2	-	-	-	-
Transfer from Stage 1 to Stage 3	-	-	-	-
Transfer from Stage 2 to Stage 1	-	-	-	-
Transfer from Stage 2 to Stage 3	-	-	-	-
Transfer from Stage 3 to Stage 2	-	-	-	-
New financial assets net of re-payments/ adjustments	(149,727)	-	-	(149,727)
	1,169,948	-	-	1,169,948

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

The following table further explains the changes in the gross carrying amount of debt securities at FVOCI for the year ended 31 December 2025 to help explain their significance to the changes in the loss allowance.

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	Total AED'000
Beginning of the period	**5,548,634**	**-**	**-**	**5,548,634**
Transfers:				
Transfer from Stage 1 to Stage 2	**-**	**-**	**-**	**-**
Transfer from Stage 1 to Stage 3	**-**	**-**	**-**	**-**
Transfer from Stage 2 to Stage 1	**-**	**-**	**-**	**-**
Transfer from Stage 2 to Stage 3	**-**	**-**	**-**	**-**
Transfer from Stage 3 to Stage 2	**-**	**-**	**-**	**-**
New financial assets net of repay-ments/ adjustments	**(688,674)**	**-**	**-**	**(688,674)**
	4,859,960	**-**	**-**	**4,859,960**

The following table further explains the changes in the gross carrying amount of debt securities at FVOCI for the year ended 31 December 2024 to help explain their significance to the changes in the loss allowance.

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	Total AED'000
Beginning of the period	3,091,079	-	-	3,091,079
Transfers:				
Transfer from Stage 1 to Stage 2	-	-	-	-
Transfer from Stage 1 to Stage 3	-	-	-	-
Transfer from Stage 2 to Stage 1	-	-	-	-
Transfer from Stage 2 to Stage 3	-	-	-	-
Transfer from Stage 3 to Stage 2	-	-	-	-
New financial assets net of repay-ments/ adjustments	2,457,555	-	-	2,457,555
	5,548,634	-	-	5,548,634

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

The following table further explains the changes in the gross carrying amount of loans and advances for the year ended 31 December 2025 to help explain their significance to the changes in the loss allowance.

	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Beginning of the period	**11,108,049**	**1,781,073**	**2,067,859**	**14,956,981**
Transfers:				
Transfer from Stage 1 to Stage 2	**(560,321)**	**560,321**	**-**	**-**
Transfer from Stage 1 to Stage 3	**(3,377)**	**-**	**3,377**	**-**
Transfer from Stage 2 to Stage 1	**142,160**	**(142,160)**	**-**	**-**
Transfer from Stage 2 to Stage 3	**-**	**(178,813)**	**178,813**	**-**
Transfer from Stage 3 to Stage 2	**-**	**109,202**	**(109,202)**	**-**
New financial assets net of repay-ments/ adjustments	**3,629,222**	**(223,132)**	**4,368**	**3,410,458**
Write-Offs	**-**	**(20,778)**	**(729,054)**	**(749,832)**
	14,315,733	**1,885,713**	**1,416,161**	**17,617,607**

The following table further explains the changes in the gross carrying amount of loans and advances for the year ended 31 December 2024 to help explain their significance to the changes in the loss allowance.

	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Beginning of the period	10,419,377	1,939,435	3,056,556	15,415,368
Transfers:				
Transfer from Stage 1 to Stage 2	(1,099,310)	1,099,310	-	-
Transfer from Stage 1 to Stage 3	(13,948)	-	13,948	-
Transfer from Stage 2 to Stage 1	639,226	(639,226)	-	-
Transfer from Stage 2 to Stage 3	-	(519,357)	519,357	-
Transfer from Stage 3 to Stage 2	-	36,556	(36,556)	-
New financial assets net of repay-ments/ adjustments	1,162,704	(135,645)	(35,577)	991,482
Write-Offs	-	-	(1,449,869)	(1,449,869)
	11,108,049	1,781,073	2,067,859	14,956,981

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

The following table further explains the changes in the gross carrying amount of letters of credit and guarantee for the year ended 31 December 2025 to help explain their significance to the changes in the loss allowance.

	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Beginning of the period	**4,217,658**	**173,322**	**236,507**	**4,627,487**
Transfers:				
Transfer from Stage 1 to Stage 2	**(7,018)**	**7,018**	**-**	**-**
Transfer from Stage 1 to Stage 3	**(3,000)**	**-**	**3,000**	**-**
Transfer from Stage 2 to Stage 1	**2,337**	**(2,337)**	**-**	**-**
Transfer from Stage 2 to Stage 3		**(142,661)**	**142,661**	**-**
Transfer from Stage 3 to Stage 2	**-**	**-**	**-**	**-**
New financial assets net of repay-ments/ adjustments	**1,196,431**	**(12,614)**	**(9,894)**	**1,173,925**
	5,406,408	**22,728**	**372,274**	**5,801,410**

The following table further explains the changes in the gross carrying amount of letters of credit and guarantee for the year ended 31 December 2024 to help explain their significance to the changes in the loss allowance.

	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Beginning of the period	4,000,175	367,486	233,489	4,601,150
Transfers:				
Transfer from Stage 1 to Stage 2	(211)	211	-	-
Transfer from Stage 1 to Stage 3	(32,134)	-	32,134	-
Transfer from Stage 2 to Stage 1	34,887	(34,887)	-	-
Transfer from Stage 2 to Stage 3	-	(29,032)	29,032	-
Transfer from Stage 3 to Stage 2	-	-	-	-
New financial assets net of repay-ments/ adjustments	214,941	(130,456)	(58,148)	26,337
	4,217,658	173,322	236,507	4,627,487

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

Loss allowance

The following tables show reconciliations from the opening to the closing balance of the loss allowance for due from banks for the year ended 31 December 2025.

	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Beginning of the period	**2,763**	**-**	**-**	**2,763**
Transfers:				
Transfer from Stage 1 to Stage 2	**-**	**-**	**-**	**-**
Transfer from Stage 1 to Stage 3	**-**	**-**	**-**	**-**
Transfer from Stage 2 to Stage 1	**-**	**-**	**-**	**-**
Transfer from Stage 2 to Stage 3	**-**	**-**	**-**	**-**
Transfer from Stage 3 to Stage 2	**-**	**-**	**-**	**-**
Impact of change in provision	**391**	**-**	**-**	**391**
	3,154	**-**	**-**	**3,154**

The following tables show reconciliations from the opening to the closing balance of the loss allowance for due from banks for the year ended 31 December 2024.

	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Beginning of the period	1,877	-	-	1,877
Transfers:				
Transfer from Stage 1 to Stage 2	-	-	-	-
Transfer from Stage 1 to Stage 3	-	-	-	-
Transfer from Stage 2 to Stage 1	-	-	-	-
Transfer from Stage 2 to Stage 3	-	-	-	-
Transfer from Stage 3 to Stage 2	-	-	-	-
Impact of change in provision	886	-	-	886
	2,763	-	-	2,763

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

The following tables show reconciliations from the opening to the closing balance of the loss allowance for investments at FVOCI for the year ended 31 December 2025.

	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Beginning of the period	**11,930**	**`-**	**-**	**11,930**
Transfers:				
Transfer from Stage 1 to Stage 2	**-**	**-**	**-**	**-**
Transfer from Stage 1 to Stage 3	**-**	**-**	**-**	**-**
Transfer from Stage 2 to Stage 1	**-**	**-**	**-**	**-**
Transfer from Stage 2 to Stage 3	**-**	**-**	**-**	**-**
Transfer from Stage 3 to Stage 2	**-**	**-**	**-**	**-**
Impact of change in provision	**(2,328)**	**-**	**-**	**(2,328)**
	9,602	**-**	**-**	**9,602**

The following tables show reconciliations from the opening to the closing balance of the loss allowance for investments at FVOCI for the year ended 31 December 2024.

	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Beginning of the period	20,477	-	-	20,477
Transfers:				
Transfer from Stage 1 to Stage 2	-	-	-	-
Transfer from Stage 1 to Stage 3	-	-	-	-
Transfer from Stage 2 to Stage 1	-	-	-	-
Transfer from Stage 2 to Stage 3	-	-	-	-
Transfer from Stage 3 to Stage 2	-	-	-	-
Impact of change in provision	(8,547)	-	-	(8,547)
	11,930	`-	-	11,930

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

The following tables show reconciliations from the opening to the closing balance of the loss allowance for loans and advances for the year ended 31 December 2025.

	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Beginning of the period	**203,727**	**413,506**	**1,306,051**	**1,923,284**
Transfers:				
Transfer from Stage 1 to Stage 2	**(23,678)**	**23,678**	**-**	**-**
Transfer from Stage 1 to Stage 3	**(6)**	**-**	**6**	**-**
Transfer from Stage 2 to Stage 1	**17,589**	**(17,589)**	**-**	**-**
Transfer from Stage 2 to Stage 3	**-**	**(7,007)**	**7,007**	**-**
Transfer from Stage 3 to Stage 2		**37,286**	**(37,286)**	**-**
Impact of change in provision	**88,915**	**(112,795)**	**152,095**	**128,215**
Write-offs		**(2,109)**	**(545,883)**	**(547,992)**
	286,547	**334,970**	**881,990**	**1,503,507**

The following tables show reconciliations from the opening to the closing balance of the loss allowance for loans and advances for the year ended 31 December 2024.

	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Beginning of the period	158,955	362,869	1,992,956	2,514,780
Transfers:				
Transfer from Stage 1 to Stage 2	(42,607)	42,607	-	-
Transfer from Stage 1 to Stage 3	(1,960)	-	1,960	-
Transfer from Stage 2 to Stage 1	110,142	(110,142)	-	-
Transfer from Stage 2 to Stage 3	-	(151,780)	151,780	-
Transfer from Stage 3 to Stage 2	-	11,770	(11,770)	-
Impact of change in provision	(20,803)	258,182	163,806	401,185
Write-offs	-	-	(992,681)	(992,681)
	203,727	413,506	1,306,051	1,923,284

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

The following tables show reconciliations from the opening to the closing balance of the loss allowance for letters of credit and guarantee for the year ended 31 December 2025.

	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Beginning of the period	**3,600**	**23,762**	**246,240**	**273,602**
Transfers:				
Transfer from Stage 1 to Stage 2	**(190)**	**190**	**-**	**-**
Transfer from Stage 1 to Stage 3	**(50)**	**-**	**50**	**-**
Transfer from Stage 2 to Stage 1	**37**	**(37)**	**-**	**-**
Transfer from Stage 2 to Stage 3	**-**	**(13,156)**	**13,156**	**-**
Transfer from Stage 3 to Stage 2	**-**	**-**	**-**	**-**
Impact of change in provision	**3,072**	**(7,138)**	**103,619**	**99,553**
	6,469	**3,621**	**363,065**	**373,155**

The following tables show reconciliations from the opening to the closing balance of the loss allowance for letters of credit and guarantee for the year ended 31 December 2024.

	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Beginning of the period	37,847	29,978	206,176	274,001
Transfers:				
Transfer from Stage 1 to Stage 2	(116)	116	-	-
Transfer from Stage 1 to Stage 3	(17)	-	17	-
Transfer from Stage 2 to Stage 1	1,278	(1,278)	-	-
Transfer from Stage 2 to Stage 3	-	(3,914)	3,914	-
Transfer from Stage 3 to Stage 2	-	-	-	-
Impact of change in provision	(35,392)	(1,140)	36,133	(399)
	3,600	23,762	246,240	273,602

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

Impairment Reserve – general

As per the new credit risk management standards (CRMS) issued by CBUAE, Banks must ensure that the total provision corresponding to all Stage 1 and Stage 2 exposures is not less than 1.50% of the Credit Risk weighted assets as computed under the CBUAE capital regulations.

Where the collective provisions held are lower, the shortfall may be held in a dedicated nondistributable balance sheet reserve called the 'impairment reserve-general'. The amount held in the impairment reserve-general must be deducted from the capital base (Tier 1 capital for Banks) when computing the regulatory capital.

In the case where provisions under IFRS 9 exceed provisions under CBUAE, no amount shall be transferred to the impairment reserve.

	2025 AED'000	2024 AED'000
Non distributable Impairment reserve: General		
Minimum provision for Stage 1 and 2 as per CBUAE requirements	**312,287**	287,889
Less: Stage 1 and Stage 2 provisions under IFRS 9	**644,601**	660,000
Shortfall/(Excess) in stage 1 & 2 provision to meet minimum CBUAE requirements	**(332,314)**	(372,111)
Balance of impairment reserve - general as at January 1, 2025	**-**	-
Add: Non-distributable reserve during the year (Impairment reserve-general)	**-**	-
Balance of impairment reserve - general as at December 31, 2025	**-**	-

Maximum exposure to credit risk without taking account of any collateral and other credit enhancements

The table below shows the maximum exposure to credit risk for the components of the statement of financial position. The maximum exposure is shown gross, before the effect of mitigation through the use of master netting and collateral agreements.

Maximum exposure to credit risk	**2025** AED'000	2024 AED'000
Balances with Central Bank of the UAE	**2,608,710**	2,348,447
Due from banks	**502,421**	1,167,185
Acceptances	**490,446**	808,684
Investments at FVOCI – Debt securities	**4,850,358**	5,536,704
Investments at amortised cost	**721,050**	406,792
Loans and advances	**16,114,100**	13,033,697
Other assets	**204,796**	220,925
Contingent liabilities	**5,428,255**	4,353,885
Commitments	**5,465,313**	5,169,303
	36,385,449	33,045,662

Where financial instruments are recorded at fair value, the amounts shown above represent the current credit risk exposure but not the maximum risk exposure that could arise in the future as a result of changes in values.

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

Loans with renegotiated terms

Loans with renegotiated terms are loans that have been restructured with material concessions due to deterioration in the borrower's financial position even if these accounts were under normal classification at the time of restructuring. Any case of payment holiday or any credit that show weaknesses in its conduct, will not be removed from said disclosure until a satisfactory track record is evidenced and after the elapse of the probation period prescribed by CBUAE.

Loans with renegotiated terms	**2025** AED'000	2024 AED'000
Non impaired loans	**2,175,428**	1,111,012
Impaired loans	**688,320**	1,357,767
Allowance for impairment	**(287,010)**	(669,722)
Net loans with renegotiated terms	**2,576,738**	1,799,057

Collateral

Collateral is used to mitigate credit risk, as the secondary source of repayment in case the counterparty cannot meet its contractual repayment obligations. Credit policies and procedures set out the acceptable types of collateral, as well as a process by which additional instruments and / or asset types can be considered for approval.

As at 31 December 2025, the Bank held credit risk mitigants with an estimated value of AED 10,513,697 thousands (2024: AED 10,610,344 thousands) against loans and advances in the form of real estate collateral, other securities over assets, cash deposits and guarantees. The Bank accepts sovereign guarantees and guarantees from well reputed local or international banks, well established local or multinational large corporate and high net-worth private individuals.

The table below stratifies credit exposures from mortgage loans and advances to retail customers by ranges of loan-to-value (LTV) ratio:

LTV ratio	**2025** AED'000	2024 AED'000
Less than 50%	**188,967**	211,219
51 – 70%	**96,990**	99,494
71 – 90%	**67,630**	73,130
	353,587	383,843

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

The Bank holds collateral against loans and advances in the form of mortgage interests over property, other registered securities over assets, and guarantees. Estimates of fair value are based on the value of collateral assessed at the time of the borrowing and generally updated periodically as per the Bank's policy.

An estimate of the fair value of collateral and other security enhancements held against loans and advances is shown below:

	2025 AED'000	2024 AED'000
Stage 3		
Properties	**1,660,568**	1,815,176
Equities	**-**	13,068
Others	**30,816**	-
	1,691,384	1,828,244
Against past due but not impaired		
Properties	**391,218**	1,342,828
Equities	**-**	-
Others	**183,816**	33,660
	575,034	1,376,488
Against neither past due nor impaired		
Properties	**5,791,275**	5,085,333
Equities	**1,289,146**	1,070,757
Others	**1,166,858**	1,249,522
	8,247,279	7,405,612
	10,513,697	10,610,344

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

Concentrations of credit risk

The Bank monitors concentrations of credit risk by industry sector and by geographic location. An analysis of concentrations of credit risk from loans and advances, due from banks and investments at FVOCI and amortised cost at the reporting date is shown below:

	Loans and advances	
	2025 AED'000	2024 AED'000
Concentration by industry		
Real estate	**2,928,130**	3,519,596
Services	**3,067,154**	3,065,023
Financial institutions	**4,239,725**	2,670,746
Trading	**1,560,034**	1,363,358
Manufacturing	**2,022,399**	1,700,196
Construction	**294,491**	499,894
Individuals	**680,623**	650,955
Transport	**834,766**	451,565
Personal loans for business (HNI)	**397,214**	389,910
Electricity, gas and water	**829,952**	334,660
Government	**633,799**	250,000
Others	**129,320**	61,078
Gross loans and Islamic financing	**17,617,607**	14,956,981
Less: allowance for impairment	**(1,503,507)**	(1,923,284)
	16,114,100	13,033,697

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

	Letters of credit and guarantees	
	2025 AED'000	2024 AED'000
Concentration by industry		
Financial institutions	**2,916,182**	2,107,549
Construction	**1,302,395**	905,134
Trading	**334,015**	446,118
Government	**374,132**	414,135
Services	**323,637**	314,546
Manufacturing	**268,420**	229,492
Electricity, gas and water	**5,580**	86,415
Transport	**220,309**	72,727
Others	**56,740**	51,371
	5,801,410	4,627,487
Less: allowance for impairment	**(373,155)**	(273,602)
Carrying amount	**5,428,255**	4,353,885

	Due from banks	
	2025 AED'000	2024 AED'000
Concentration by sector:		
Financial institutions	**505,575**	1,169,948
Less: allowance for impairment	**(3,154)**	(2,763)
Carrying amount	**502,421**	1,167,185

	Investment at FVOCI- Debt securities		Investment at amortised cost	
	2025 AED'000	2024 AED'000	**2025** AED'000	2024 AED'000
Concentration by sec-tor:				
Public sector	**2,431,457**	3,430,401	**721,284**	407,499
Private sector	**1,571,504**	1,406,190	**-**	-
Financial institutions	**856,999**	712,043	**-**	-
	4,859,960	5,548,634	**721,284**	407,499
Less: allowance for impairment	**(9,602)**	(11,930)	**(234)**	(707)
Carrying amount	**4,850,358**	5,536,704	**721,050**	406,792

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

	Letters of credit and guarantees	
	2025 AED'000	2024 AED'000
Concentration by sector:		
Public sector	**391,076**	441,597
Private sector	**2,518,189**	2,107,658
Financial institutions	**2,892,145**	2,078,232
	5,801,410	4,627,487
Less: allowance for impairment	**(373,155)**	(273,602)
Carrying amount	**5,428,255**	4,353,885

	Due from banks		Loans and advances	
	2025 AED'000	2024 AED'000	**2025** AED'000	2024 AED'000
Concentration by location:				
UAE	**15,588**	316,785	**12,979,183**	12,782,264
Europe	**260,662**	345,638	**33,057**	15,918
GCC	**151,424**	206,150	**3,007,168**	1,929,619
Arab world	**3,070**	1,580	**757,456**	228,073
North America	**74,370**	114,835	**-**	-
Asia	**461**	184,960	**740,743**	-
Others	**-**	-	**100,000**	1,107
	505,575	1,169,948	**17,617,607**	14,956,981
Less: allowance for impair-ment	**(3,154)**	(2,763)	**(1,503,507)**	(1,923,284)
Carrying amount	**502,421**	1,167,185	**16,114,100**	13,033,697

	Investment at FVOCI- Debt securities		Investment at amortised cost	
	2025 AED'000	2024 AED'000	**2025** AED'000	2024 AED'000
Concentration by location:				
UAE	**1,796,053**	3,112,724	**721,284**	407,499
Europe	**238,865**	187,233	**-**	-
GCC	**2,182,301**	1,877,007	**-**	-
Asia	**604,766**	335,411	**-**	-
Others	**37,975**	36,259	**-**	-
	4,859,960	5,548,634	**721,284**	407,499
Less: allowance for impair-ment	**(9,602)**	(11,930)	**(234)**	(707)
Carrying amount	**4,850,358**	5,536,704	**721,050**	406,792

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

	Letters of credit and guarantees	
	2025	2024
	AED'000	AED'000
Concentration by location:		
UAE	**3,144,060**	2,751,274
Europe	**1,033,491**	553,926
GCC	**350**	19,133
Arab world	**1,615,921**	1,281,930
Asia	**7,588**	21,224
	5,801,410	4,627,487
Less: allowance for impairment	**(373,155)**	(273,602)
Carrying amount	**5,428,255**	4,353,885

	Investment at FVOCI- Debt securities		Investment at amortised cost	
	2025	2024	**2025**	2024
	AED'000	AED'000	AED'000	AED'000
Rating distribution:				
AA- or higher	**1,417,871**	1,534,449	**710,071**	391,933
A+ to A-	**1,491,117**	2,232,105	**11,213**	15,566
BBB+ to BBB-	**1,297,596**	816,380	**-**	-
BB+ or lower	**653,376**	965,700	**-**	-
	4,859,960	5,548,634	**721,284**	407,499
Less: allowance for impairment	**(9,602)**	(11,930)	**(234)**	(707)
Carrying amount	**4,850,358**	5,536,704	**721,050**	406,792

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(a) Credit risk (continued)

Concentration by location for loans and advances, due from banks and investments at FVOCI, investment at FVPL and investment at amortised cost is measured based on the residential status of the borrower.

As at 31 December 2025, the top twelve customers comprised 30.86% of the total balance of loans and advances (2024: 32.52%).

Settlement risk

The Bank's activities may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of an entity to honour its obligations to deliver cash, securities or other assets as contractually agreed.

For certain types of transactions, the Bank mitigates this risk by conducting settlements through a settlement / clearing agent to ensure that a trade is settled only when both parties have fulfilled their contractual settlement obligations. Settlement limits form part of the credit approval / limit monitoring process described earlier.

Commitments and contingencies related credit risk

Credit risk arising from commitments and contingencies is disclosed in Note 36 to the financial statements.

Expected credit loss (ECL) - Forward Looking Information

The Bank incorporates forward-looking information into both the assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and the measurement of ECL.

The Bank formulates three economic scenarios: a base case, which is the median scenario assigned a 40% probability of occurring (2024: 40%), and two less likely scenarios, one upside and one downside, each assigned a 30% probability of occurring (2024: 30%). External information considered includes economic data and forecasts published by governmental bodies and monetary authorities, and the International Monetary Fund, and selected private-sector and academic forecasters. Periodically, the Bank carries out stress testing of more extreme shocks to calibrate its determination of the upside and downside representative scenarios. The Bank has applied the following Macro Economic Variables for the Corporate portfolio in conditional IFRS 9 analysis with forecast scenarios: Equity (ADX Equity Index) and Oil Price. Had the weightage to the adverse scenario been increased by another 10% with a corresponding decrease of 10% in upside scenario, the impairment loss allowance would increase by AED 12.1 million at 31 December 2025 (31 December 2024: AED 13.4 million).

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(b) Liquidity risk

Liquidity risk is the risk that the Bank will encounter difficulty in meeting obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

Management of liquidity risk

TThe Bank's Board of Directors sets the Bank's strategy for managing liquidity risk and delegates responsibility for oversight of the implementation of this policy to the Assets and Liability Committee ("ALCO"). The Board approves the Bank's liquidity policies and procedures. The Treasury department manages the Bank's liquidity position on a day-to-day basis and reviews daily reports covering the liquidity position of the Bank. A summary report, including any exceptions and remedial action taken, is submitted regularly to the ALCO.

The Bank's approach to managing liquidity risk is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Bank's reputation.

The Bank actively diversified its funding sources and closely monitors liquidity to ensure adequate funding. Furthermore the Bank maintains a portfolio of liquid assets, largely made up of short-term liquid financial assets, and inter-bank placements to ensure that sufficient liquidity is maintained within the Bank as a whole.

The Bank relies on deposits from customers and banks as its primary sources of funding. Deposits from customers and banks generally have shorter maturities and a proportion of them are repayable on demand. The short-term nature of these deposits increases the Bank's liquidity risk and the Bank actively manages this risk through maintaining competitive pricing and constant monitoring of market trends.

The Bank ensures that it is in compliance with UAE Central Bank liquidity regulation on Eligible Liquid Assets Ratio ("ELAR") and Available Stable Resources Ratio ("ASRR") at all times. The ASRR as at 31 December 2025, stood at 87.7% (December 2024: 73.4%) and the ELAR stood at 19.1% (December 2024: 17.1%) reflecting a healthy liquidity position.

Exposure to liquidity risk

The key measure used by the Bank for managing liquidity risk is ELAR. ELAR is a ratio of the stock of eligible liquid assets to total liabilities (excluding liabilities allowed in the regulatory capital base). It is a measure that aims to ensure that banks hold minimum buffers of liquid assets. For this purpose, high quality liquid assets ("HQLA") includes cash and cash equivalents and investment-grade debt securities for which there is an active and liquid market.

Furthermore, the bank uses liquidity gap to manage it exposure to liquidity risk. The table below by the maturity profile of the Bank's assets and liabilities based on the contractual repayment arrangements and does not take account of the effective maturities as indicated by the Bank's deposit retention history. The contractual maturities of assets and liabilities have been determined on the basis of the remaining period at the reporting date to the contractual maturity date. The maturity profile is monitored by management to ensure adequate liquidity is maintained.

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(b) Liquidity risk (continued)

The maturity profile of financial assets and liabilities at 31 December 2024 was as follows:

	Carrying Amount	Up to 3 months	3 months to 1 year	1 to 3 years	3 to 5 years	Over 5 years
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Assets						
Cash and balances with the Central Bank of the UAE	**2,608,710**	**2,608,710**	**-**	**-**	**-**	**-**
Due from banks	**502,421**	**502,421**	**-**	**-**	**-**	**-**
Acceptances	**490,446**	**482,840**	**7,606**	**-**	**-**	**-**
Investment securities	**6,227,841**	**184,453**	**984,508**	**1,038,451**	**1,931,201**	**2,089,228**
Loans and advances	**16,114,100**	**2,933,848**	**2,247,789**	**3,067,015**	**4,173,538**	**3,691,910**
Fair value of derivatives	**28,494**	**-**	**-**	**-**	**28,494**	**-**
Investment properties	**153,850**	**-**	**-**	**-**	**-**	**153,850**
Other assets	**222,522**	**222,522**	**-**	**-**	**-**	**-**
Intangible assets	**72,964**	**-**	**-**	**-**	**-**	**72,964**
Property and equipment	**243,468**	**-**	**-**	**-**	**-**	**243,468**
Total assets	**26,664,816**	**6,934,794**	**3,239,903**	**4,105,466**	**6,133,233**	**6,251,420**
Liabilities						
Customers' deposits	**17,343,483**	**13,151,596**	**3,811,888**	**6,716**	**-**	**373,283**
Due to banks	**3,431,007**	**3,394,277**	**36,730**	**-**	**-**	**-**
Acceptances	**490,446**	**482,840**	**7,606**	**-**	**-**	**-**
Deferred tax liability	**2,268**	**2,268**	**-**	**-**	**-**	**-**
Other liabilities	**813,588**	**813,588**	**-**	**-**	**-**	**-**
Total equity	**4,584,024**	**-**	**-**	**-**	**-**	**4,584,024**
Total liabilities	**26,664,816**	**17,844,569**	**3,856,224**	**6,716**	**-**	**4,957,307**
Statement of financial position gap	**-**	**(10,909,775)**	**(616,321)**	**4,098,750**	**6,133,233**	**1,294,113**

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(b) Liquidity risk (continued)

The maturity profile of assets and liabilities at 31 December 2024 was as follows:

	Carrying Amount	Up to 3 months	3 months to 1 year	1 to 3 years	3 to 5 years	Over 5 years
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Assets						
Cash and balances with the Central Bank of the UAE	2,348,447	2,348,447	-	-	-	-
Due from banks	1,167,185	1,167,185	-	-	-	-
Acceptances	808,684	783,084	25,600	-	-	-
Investment securities	6,592,647	610,559	1,032,615	986,817	1,078,725	2,883,931
Loans and advances	13,033,697	3,491,833	1,462,131	1,288,481	2,853,293	3,937,959
Fair value of derivatives	552	-	-	-	552	-
Investment properties	162,820	-	-	-	-	162,820
Other assets	239,837	239,837	-	-	-	-
Deferred tax asset	7,535	7,535	-	-	-	-
Intangible assets	72,356	-	-	-	-	72,356
Property and equipment	219,264	-	-	-	-	219,264
Asset held-for-sale	12,679	-	12,679	-	-	-
Total assets	24,665,703	8,648,480	2,533,025	2,275,298	3,932,570	7,289,009
Liabilities						
Customers' deposits	16,960,211	14,502,985	2,039,740	23,547	-	393,939
Due to banks	2,070,307	2,070,307	-	-	-	-
Acceptances	808,684	783,084	25,600	-	-	-
Other liabilities	688,940	688,940	-	-	-	-
Total equity	4,137,561	-	-	-	-	4,137,561
Total liabilities	24,665,703	18,045,316	2,065,340	23,547	-	4,531,500
Statement of financial position gap	-	(9,396,836)	467,685	2,251,751	3,932,570	2,757,509

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(c) Market risk

Market risk is the risk that changes in market prices, such as interest rates, equity prices, foreign exchange rates and credit spreads (not relating to changes in the obligor's / issuer's credit standing) will affect the Bank's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

Management of market risk

The Bank separates its exposure to market risks between trading and non-trading portfolios. Trading portfolios are mainly held by Treasury, and include positions arising from market making and proprietary position taking, together with financial assets and financial liabilities that are managed on a fair value basis.

The Board of Directors has set risk limits based on sensitivity analysis and notional limits which are closely monitored by the Risk Management Division, reported weekly to Senior Management and discussed in the ALCO/ Investment committee.

Interest rate risk

Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Bank manages this risk principally through monitoring interest rate gaps and by matching the re-pricing profile of assets and liabilities. Repricing gaps is a measure of the structural or repricing risk of the Bank's balance sheet. A repricing gap report shall be prepared based on the repricing characteristics of assets and liabilities. Based on the bucketing framework, asset and liability cashflows are presented at first opportunity to reset the relevant interest rate. Gap reports should be used to identify concentration of repricing events and to identify opportunities for interest rate risk management strategies.

The effective interest rate of a monetary financial instrument is the rate that, when used in a present value calculation, results in the carrying amount of the instrument. The rate is an original effective interest rate for a fixed rate instrument carried at amortised cost and a current market rate for a floating instrument or an instrument carried at fair value.

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(c) Market risk (continued)

A summary of the Bank's interest rate gap position based on contractual re-pricing arrangements at 31 December 2024 is as follows:

		Re-pricing in					
	Total	Up to 3 months	3 months to 1 year	1 to 3 years	3 to 5 years	Over 5 years	Non-interest bearing
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Assets							
Cash and balances with the Central Bank of the UAE	2,608,710	1,550,000	-	-	-	-	1,058,710
Due from banks	502,421	502,421	-	-	-	-	-
Acceptances	490,446	-	-	-	-	-	490,446
Investment securities	6,227,841	184,453	984,508	1,038,451	1,931,201	1,432,795	656,433
Loans and advances	16,114,100	8,645,162	1,756,511	2,276,729	2,762,213	673,485	-
Other assets	222,522	-	-	-	-	-	222,522
Total assets	26,166,040	10,882,036	2,741,019	3,315,180	4,693,414	2,106,280	2,428,111
Liabilities							
Customers' deposits	17,343,483	8,327,596	3,811,888	6,716	-	-	5,197,283
Due to banks	3,431,007	3,394,277	36,730	-	-	-	-
Acceptances	490,446	-	-	-	-	-	490,446
Other liabilities	341,724	-	-	-	-	-	341,724
Total liabilities	21,606,660	11,721,873	3,848,618	6,716	-	-	6,029,453
Statement of financial position gap	4,559,380	(839,837)	(1,107,599)	3,308,464	4,693,414	2,106,280	(3,601,342)

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(c) Market risk (continued)

A summary of the Bank's interest rate gap position based on contractual re-pricing arrangements at 31 December 2024 is as follows:

		Re-pricing in					
	Total	Up to 3 months	3 months to 1 year	1 to 3 years	3 to 5 years	Over 5 years	Non-interest bearing
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Assets							
Cash and balances with the Central Bank of the UAE	2,348,447	1,100,000	-	-	-	-	1,248,447
Due from banks	1,167,185	1,167,185	-	-	-	-	-
Acceptances	808,684	-	-	-	-	-	808,684
Investment securities	6,592,647	610,559	1,032,615	986,817	1,078,725	2,234,780	649,151
Loans and advances	13,033,697	9,693,646	709,825	646,017	1,691,626	292,583	-
Other assets	220,925	-	-	-	-	-	220,925
Total assets	24,171,585	12,571,390	1,742,440	1,632,834	2,770,351	2,527,363	2,927,207
Liabilities							
Customers' deposits	16,960,211	8,308,045	2,039,740	23,547	-	-	6,588,879
Due to banks	2,070,307	2,070,307	-	-	-	-	-
Acceptances	808,684	-	-	-	-	-	808,684
Other liabilities	345,625	-	-	-	-	-	345,625
Total liabilities	20,184,827	10,378,352	2,039,740	23,547	-	-	7,743,188
Statement of financial position gap	3,986,758	2,193,038	(297,300)	1,609,287	2,770,351	2,527,363	(4,815,981)

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(c) Market risk (continued)

The management of interest rate risk against interest rate gap limits is supplemented by monitoring the sensitivity of the Bank's financial assets and liabilities to various interest rate scenarios.

	2025 AED'000	2024 AED'000
Rates up 200 bps	**117**	28,544
Rates down 200 bps	**(5,883)**	(29,598)

The interest rate sensitivities set out in the table above are based on a set scenario i.e. the projections above assume that interest rates of all maturities move by the same amount and, therefore, do not reflect the potential effect on net interest income of some rates changing while others remain unchanged. The projections are based on constant balance scenario, consider behavioural assumptions on non-maturity products and also make the assumption that all positions run to maturity. This effect on the net interest income does not incorporate actions that would be taken by Treasury or the business units to mitigate the impact of this interest rate risk. In practice, Treasury seeks proactively to change the interest rate risk profile to minimise losses and optimise net revenues.

Currency risk

Currency risk arises from the potential for fluctuations in foreign exchange rates to affect the value of financial instruments denominated in currencies other than the Bank's functional currency, which is the UAE Dirham (AED). As at 31 December 2025, the Bank had the following significant net exposures denominated in foreign currencies:

	Net spot position AED'000	Forward position AED'000	**Net exposure 2025** AED'000	Net exposure 2024 AED'000
Currency				
Euro	(165,333)	169,386	**4,053**	(61)
GBP	(10,081)	10,118	**37**	342
Libyan Dinar	1,228	-	**1,228**	1,228
Saudi Riyal	13,940	-	**13,940**	11,848
US Dollar	5,922,098	(326,438)	**5,595,660**	3,269,743

The Bank's most significant foreign currency exposure is to the US Dollar (USD). However, the AED and other GCC currencies are pegged to the USD at fixed exchange rates, and this peg has been maintained by the Central Bank for several decades. As a result, the Bank does not consider these denominated exposures to be subject to material currency risk.

For exposures in other foreign currencies, the Bank actively monitors exchange rate movements and position through net open position.

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(c) Market risk (continued)

Other market price risk

Equity price risk arises from the change in fair values of equity investments. The Bank manages this risk through diversification of investments in terms of geographical distribution and industry concentration. The effect on equity as a result of a change in the fair value of equity instruments due to a reasonably possible change in equity indices by 5%, with all other variables held constant as at 31 December 2025 is AED Nil (2024: Nil).

(d) Operational risk and Business Continuity Management

Operational risk is inherent in all dimensions of the Bank. It can arise from all business processes, banking products, systems, external events and any business activity carried out by the Bank and that can expose it to financial losses, legal suits, regulatory penalties and/or reputational damage.

Business Continuity Management (BCM) enables the Bank to proactively minimize customers impact, enrich various capabilities and manage response to unplanned incidents or events; continue to conduct critical business operations and return to normal operations in a timely manner.

Effective management of operational risk and business continuity is a fundamental element of the Bank's overall risk management program.

The Board assumes overall responsibility for operational risk and business continuity management. This includes defining risk appetite, approval of the related policies and frameworks.

Key components of the operational risk management framework include governance committees, incident reporting, risk assessment, issues and action plans management, key indicators, training and awareness, policies, guidelines, and processes.

Key components of the business continuity management framework include governance Committees, business impact analysis, business continuity plan, exercising and testing, emergency response, ORM Tools etc.

Senior management of the bank has the responsibility to oversee the implementation and ensure that strategies, policies and processes are effectively implemented at all levels.

The Bank has adopted the Three Lines of Defence (3 LoD) model for the management of operational risk and business continuity whereby:

- First line (business line management) owns the risks and are responsible for the implementation of the operational risk and business continuity frameworks.
- Second line is responsible for developing the related operational risk and business continuity policies, frameworks and the associated tools to support first line in fulfilling their responsibilities.
- Internal audit (third line of defence) provides independent assurance to Board

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(e) Strategic Risk

The bank defines strategic risk as the potential threat to its earnings and long-term sustainability, arising from a range of internal and external factors. These factors include adverse shifts in the business environment, such as changes in the economy, political landscape, regulatory framework, technological advancements, and competitive dynamics. Strategic risk can also emerge from suboptimal business decisions, poor execution of those decisions, or a failure to respond effectively to changes in the market or industry. Due to the interconnected nature of these elements, strategic risks often arise when the bank fails to address multiple, interdependent risks simultaneously. These risks are typically characterized by their low frequency but high potential severity, making them especially challenging to anticipate and mitigate.

To assess the impact of strategic risk on its operations, the bank considers a variety of risk drivers, including the alignment and ambition of strategic goals and objectives, the potential impact of key strategic decisions, and the organization's responsiveness to shifts in the operating environment. In addition, as part of its Internal Capital Adequacy Assessment Process (ICAAP), the bank allocates dedicated capital to address strategic risk, ensuring that it is adequately prepared for potential adverse impacts that could affect its long-term viability.

(f) Reputational Risk

Reputational risk is an indirect risk of potential loss in earnings and capital, primarily arising from an adverse perception of the bank's image. This risk can stem from the views held by customers, counterparties, shareholders, investors, and regulators, and is manifested when the external perception of the bank is less favorable than desired.

To assess reputational risk, the bank has identified a range of factors and sub-factors. The key factors considered in the assessment include, but are not limited to, market and public perception (such as the bank's financial position, CSR initiatives, and ethical standards), customer complaints and perceptions, new business development, litigation or legal risks, negative publicity, compliance with regulations (including AML and anti-terrorism financing), business continuity practices, workplace environment, staff competence and loyalty, contagion risk, and transparency both internally and externally. The bank sets aside additional capital as part of its ICAAP to address reputational risk.

(g) Compliance Risk

Compliance risk refers to the potential threat to a company's earnings, capital, or reputation arising from violations or non-compliance with laws, regulations, established Shari'ah principles and standards or industry standards. The bank is fully committed to ensuring compliance with all local statutory and regulatory requirements, as well as international regulations, with particular emphasis on sanctions compliance. Additionally, the bank has consistently implemented measures to strengthen its compliance framework, aligning with global developments in the fight against financial crimes. The bank sets aside additional capital as part of its ICAAP to address Compliance risk.

(h) Capital management

TThe Bank's regulator, the Central Bank of the UAE, sets and monitors regulatory capital requirements.

The Bank's objectives when managing capital are

- safeguarding the Bank's ability to continue as a going concern and increase the returns for the shareholders; and
- complying with regulatory capital requirements set by the Central Bank of the UAE

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(h) Capital management (continued)

During 2025, the Bank's strategy, which was unchanged from 2024, was to:

- maintain capital adequacy ratios above the minimum specified by the Central Bank of the UAE and Basel Accord guidelines; and
- allocate capital to various businesses in an efficient manner.

Capital adequacy and the use of regulatory capital are monitored on a regular basis by the Bank's management, employing techniques based on the guidelines developed by the Basel Committee and the Central Bank of the UAE. The required information is filed with the Central Bank of the UAE on a quarterly basis.

CBUAE issued an update on Capital Adequacy Standards on November 12, 2020 vide notice number CBUAE/BSD/N/2020/4980 replacing the earlier issued standards. The updated standards include new requirements on internal and external review, additional guidelines on credit, market and operational risk and details for Pillar 2 requirements. The regulations ensure compliance with Basel III Capital Standards set out by the Basel Committee on Banking Supervision (BCBS).

For credit and market risk, CBUAE has issued guidelines for implementation of standardised approach and banks are required to comply and report under Pillar 2 – Internal Capital Adequacy Assessment Process (ICAAP) requirements since March 2010. For operational risk, the CBUAE has given banks the option to use the Basic Indicators approach or the standardised approach and the Bank has chosen to use the Basic Indicators approach.

The Bank has complied with all externally imposed capital requirements throughout the years presented.

The Bank seeks to optimise returns on capital and it has always been the objective to maintain a strong capital base to support business development and to meet regulatory capital requirements at all times.

As per Basel III requirement, capital should comprise of the following:

Tier 1 capital - Tier 1 capital, split into Common equity tier 1 (CET 1) which includes issued and paid-up share capital, retained earnings, statutory and legal reserves, accumulated other comprehensive income and Additional tier 1 (AT 1) comprising of instruments issued by banks which are eligible for inclusion in AT 1 and are not included in CET 1.

Tier 2 capital Tier 2 capital includes general provisions (Collective allowance for impairment subject to a limit of 1.25% of Credit Risk Weighted Assets).

Regulatory adjustment is applied in CET 1, AT 1 and Tier 2 capital consisting mainly of goodwill and other intangibles, deferred tax assets and cash flow hedge reserve. Additionally, threshold deduction is applied in case of exceeding the threshold limit specified by the Central Bank regulations for Basel III.

As per Central Bank regulation for Basel III, the capital requirements is 13% inclusive of capital conservation buffer.

The Bank must comply with following minimum requirement

i.) CET1 must be at least 7% of risk weighted assets (RWA);
ii) Tier 1 capital must be at least 8.5% of risk weighted assets (RWA);
iii) Total capital, calculated as sum of Tier 1 capital and Tier 2 capital must be at least 10.5% of risk weighted assets (RWA)

Notes to the Financial Statements
31 December 2025

35. Financial risk management (continued)

(h) Capital management (continued)

Additionally, capital conservation buffer ("CCB") is to be maintained at 2.5%.

Capital allocation

Although maximisation of the return on risk-adjusted capital is the principal basis used in determining how capital is allocated within the Bank to particular activities, it is not the sole basis used for decision making. Account is also taken of synergies with other activities, the availability of management and other resources, and the fit of the activity with the Bank's longer-term strategic objectives. The Bank's policies in respect of capital management and allocation are reviewed regularly by the Board of Directors as part of Internal Capital Adequacy assessment program ("ICAAP").

The Bank's regulatory capital positions as 31 December 2025 and 2024 is as follows:

	2025 AED'000	2024 AED'000
Tier 1 capital		
Share capital	**2,000,000**	2,000,000
Statutory reserve	**741,436**	711,244
Special reserve	**736,846**	706,654
Fair value reserve	**(43,099)**	(142,215)
Retained earnings	**938,824**	684,126
IFRS transitional arrangement: Partial addback of ECL	**-**	45,622
Proposed dividend	**(60,000)**	-
Other deductions	**(72,964)**	(53,115)
Eligible Tier 1 capital (a)	**4,241,043**	3,952,316
Tier 2 capital		
Eligible general provisions	**260,239**	239,907
Eligible Tier 2 capital (b)	**260,239**	239,907
Total capital base (a+b)	**4,501,282**	**4,192,223**
Risk weighted assets:		
Credit risk	**20,819,112**	19,192,594
Market risk	**30,356**	23,814
Operational risk	**1,723,046**	1,617,241
Total risk weighted assets	**22,572,514**	20,833,649
CET 1 ratio	**18.8%**	19.0%
Tier 1 ratio	**18.8%**	19.0%
Capital adequacy ratio	**19.9%**	20.1%

Notes to the Financial Statements
31 December 2025

36. Commitments and contingencies

	2025 AED'000	2024 AED'000
Letters of guarantee	**3,904,017**	2,887,652
Letters of credit	**1,897,393**	1,739,835
	5,801,410	4,627,487

	2025 AED'000	2024 AED'000
Un-drawn commitments to extend credit	**5,465,313**	5,169,303
Commitment for future capital expenditure	**15,222**	12,482
	5,480,535	5,181,785
Total commitments and contingencies	**11,281,945**	9,809,272

Letters of credit and guarantee commit the Bank to make payments on behalf of customers contingent upon the production of documents or the failure of the customer to perform under the terms of the contract.

Commitments to extend credit represent contractual commitments to extend loans and revolving credits. They generally have fixed expiration dates or other termination clauses and may require a payment of a fee. Since commitments may expire without being drawn upon, the total contracted amounts do not necessarily represent future cash requirements.

As at 31 December 2025, the ECL on unfunded exposures amounted to AED 373.2 million (2024: AED 273.6 million).

37. Segmental analysis

The Bank is organised into the following business segments:

Corporate Banking offers a range of product and services including loans and other credit facilities, customer deposits (including Current and Savings accounts) and Islamic products to corporate, government entities, public bodies & institutional clients.

Retail banking and SME offer a range of product and services including consumer loans and mortgages, credit cards and debit cards, commercial loans and other credit facilities, customer deposits (including Current and Savings accounts) and Islamic products to Individuals & SME customers.

Treasury activities comprise of managing the Bank's portfolio of investments, funds management, interbank treasury operations, foreign exchange transactions and hedging strategies.

Other operations of the Bank include the central Funding Centre, property management, technology, operations and support functions.

Notes to the Financial Statements

31 December 2025

37. Segmental analysis (continued)

The Bank's operations are confined mainly in the UAE.

The segment analysis based on business segments is as follows:

	Corporate Banking	Retail Banking & SME	Treasury	Others	Total
	AED'000	AED'000	AED'000	AED'000	AED'000
Statement of profit or loss for the year ended 31 December 2025					
Net interest income and income from islamic financing	235,843	134,781	65,852	188,852	625,328
Net fee and commission and other operating income	216,957	29,521	84,242	(52,685)	278,035
Operating income	**452,800**	**164,302**	**150,094**	**136,167**	**903,363**
General, administration and other operating expenses	(100,140)	(35,470)	(18,828)	(202,160)	(356,598)
Profit before net impairment charge	**352,660**	**128,832**	**131,266**	**(65,993)**	**546,765**
Net impairment charge on financial assets	(225,976)	12,579	2,802	-	(210,595)
Net impairment reversal on properties	-	-	-	-	-
Profit for the year before taxation	**126,684**	**141,411**	**134,068**	**(65,993)**	**336,170**
Statement of financial position as at 31 December 2025					
Segment Assets	15,569,615	544,485	9,338,972	1,211,744	26,664,816
Segment Liabilities	7,051,397	3,494,521	10,228,573	1,306,301	22,080,792

Notes to the Financial Statements

31 December 2025

37. Segmental analysis (continued)

	Corporate Banking	Retail Banking & SME	Treasury	Others	Total
	AED'000	AED'000	AED'000	AED'000	AED'000
Statement of profit or loss for the year ended 31 December 2024					
Net interest income and income from islamic financing	253,890	128,307	63,539	279,124	724,860
Net fee and commission and other operating income	143,168	25,149	82,768	(3,959)	247,126
Operating income	**397,058**	**153,456**	**146,307**	**275,165**	**971,986**
General, administration and other operating expenses	(100,312)	(38,987)	(16,092)	(171,418)	(326,809)
Profit before net impairment charge	**296,746**	**114,469**	**130,215**	**103,747**	**645,177**
Net impairment charge on financial assets	(389,673)	(6,679)	7,879	-	(388,473)
Net impairment reversal on properties	-	-	-	637	637
Profit for the year before taxation	**(92,927)**	**107,790**	**138,094**	**104,384**	**257,341**
Statement of financial position as at 31 December 2024					
Segment Assets	12,400,123	633,574	10,108,279	1,523,727	24,665,703
Segment Liabilities	13,461,961	3,498,250	2,070,307	1,497,624	20,528,142

38. Related parties

Identity of related parties

The parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial and operational decisions. The Bank's shareholding pattern is as follows:

	Shareholding percentage(%)	
	2025	2024
Emirates Investment Authority	**60.00**	42.28
Libyan Foreign Bank	**29.30**	42.28
Banque Exterieure d'Algerie	**10.70**	15.44

On 6 November 2025, Emirates Investment Authority acquired an additional 12.98 per cent. shareholding from Libyan Foreign Bank and an additional 4.74 per cent. from Banque Exterieure d'Algerie. The change in shareholding pattern has been approved by the CBUAE and at the Annual General Meeting, the Articles of Association of the Bank have also been amended to reflect this change.

In the normal course of business, the Bank has various transactions with its related parties.

Notes to the Financial Statements
31 December 2025

38. Related parties (continued)

Banking transactions are entered into with related parties on terms and conditions approved by either the Bank's management or the Board of Directors.

The volume of related party transactions, outstanding balances and related expenses and income for the year were as follows:

	Key management personnel		Others	
	31 December 2025 AED'000	31 December 2024 AED'000	**31 December 2025** AED'000	31 December 2024 AED'000
Balances				
Loans and advances	**5,101**	1,903	**1,956,125**	1,192,906
Due from banks	**-**	-	**168,405**	16,694
Deposits	**27,734**	7,960	**4,370,757**	5,807,453
Due to banks	**-**	-	**1,229,977**	855,681
Commitments and contingencies	**-**	-	**1,363,889**	620,883
Transactions				
Board of Directors' remuneration	**16,716**	16,731	**-**	-
Salaries and benefits	**16,257**	12,529	**-**	-
Post-employment benefits	**4,231**	1,037	**-**	-
Interest income	**170**	338	**30,044**	56,398
Interest expense	**(82)**	(458)	**(210,727)**	(231,561)
Fee and commission	**3**	1,882	**44,655**	7,098

Included within others above are balances and transactions with the Bank's shareholders and parties related to them.

Loans and advances issued to related parties are repayable over one year and bear interest rates ranging between 0% and 17% (2024 0% and 17%). There were no loans and advances to related parties that were classified as Stage 3 as of 31 December 2025 (2024: Nil). ECL on these loans amounted to AED 4.9 Million (31 December 2024: AED 2.1 Million).

Due to banks from other related parties include term deposits under lien amounting to AED 845 million (2024: AED 845 million).

The Bank has received a corporate guarantee from a related party as a collateral for loans and advances amounting to AED 1,163 million (2024: AED 1,105 million).

Notes to the Financial Statements
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39. Derivative contracts

In the ordinary course of business, the Bank enters into various derivative financial instruments to manage exposures to interest rate, foreign exchange, and other market risks. These instruments include forwards, futures, swaps, and options, and are used both for trading and hedging purposes in accordance with the Bank's risk management strategy.

A derivative financial instrument is a financial contract whose value changes in response to changes in an underlying variable such as an interest rate, foreign exchange rate, commodity price, or index. Derivatives are measured at fair value, which represents the unrealised gain or loss from marking the instrument to market using observable market inputs or internal valuation models.

Derivatives not designated in a hedging relationship are classified as held for trading, with changes in fair value recognised in profit or loss.

Derivatives designated in hedge accounting relationships are accounted for in accordance with IFRS 9:
For cash flow hedges, the effective portion of changes in fair value is recognised in other comprehensive income (OCI), while the ineffective portion is recognised immediately in profit or loss.
For fair value hedges, both the hedging instrument and the hedged item are remeasured at fair value, with changes recognised in profit or loss.
For net investment hedges, the effective portion is recognised in OCI, and the ineffective portion in profit or loss.

Hedge Effectiveness and Ineffectiveness
The Bank assesses hedge effectiveness both prospectively and retrospectively using quantitative methods such as regression analysis and the dollar-offset method. A hedge is considered effective if the changes in fair value or cash flows of the hedging instrument offset those of the hedged item within a range of 80–125%.

Forwards and futures are contractual agreements to either buy or sell a specified currency, commodity or financial instrument at a specified price and date in the future. Forwards are customised contracts transacted in the over-the-counter market. Foreign currency and interest rate futures are transacted in standardised amounts on regulated exchanges and changes in futures contract values are marked to market daily.

The table below shows the positive and negative fair values of derivative financial instruments, which are equivalent to the market values, together with the notional amounts analysed by the term to maturity. The notional is the amount of a derivative's underlying asset, reference rate or index and is the basis upon which changes in the value of derivatives are measured.

				Notional amount by term to maturity		
	Positive fair value AED'000	**Negative fair value** AED'000	**Notional Amount** AED'000	**Up to 3 months** AED'000	**3 to 6 months** AED'000	**Above 6 Months** AED'000
31 December 2025						
Forward Foreign Exchange contract	**32**	**47**	**326,424**	**326,424**	**-**	**-**
Cash Flow Hedge	**28,494**	**-**	**1,362,290**	**-**	**-**	**1,362,290**
31 December 2024						
Forward Foreign Exchange contract	134	47	449,897	449,897	-	-
Cash Flow Hedge	552	-	1,437,533	-	-	1,437,533

40. Earnings per share

The calculation of basic earnings per share was based on the profit attributable to ordinary shareholders and a weighted average number of ordinary shares outstanding calculated as follows:

	2025 AED'000	2024 AED'000 Restated*
Profit for the year	**301,921**	234,349
Weighted average number of ordinary shares	**100,000**	100,000
Earnings per share (AED'000)	**3.02**	2.34

*The earnings per share for the year ended 31 December 2024 has been restated from AED 2.31 thousands per share to AED 2.34 thousands per share to account for the impact of the voluntary change in accounting policy for subsequent measurement of investment properties from cost model to fair value model. Further details on this related restatement are provided in Note 45 – Restatement of comparative financial information.

There were no potentially dilutive securities as at 31 December 2025 or 2024, and accordingly, diluted earnings per share are the same as basic earnings per share.

41. Social contributions

There are no social contributions made by the Bank during the year (2024: Nil).

42. Fiduciary activities

The Bank holds assets in a fiduciary capacity for its customers without recourse. At 31 December 2025, the market value of such assets amounted to AED 418.1 million (2024: AED 303.4 million) and are excluded from the financial statements of the Bank.

43. Implementation of corporate tax law & application of IAS 12 income taxes

On 9 December 2022, the UAE Ministry of Finance (MoF) released Federal Decree Law No. (47) of 2022 on the Taxation of Corporations and Businesses, Corporate Tax Law (CT Law) to enact a new CT regime in the UAE. The new CT regime has become effective for accounting periods beginning on or after 1 June 2023.

Additionally, the UAE has issued Cabinet Decision No (142) of 2024 that implements a Domestic Minimum Top-up Tax ("DMTT"). The DMTT is applicable to Multinational Enterprises ("MNEs") that are within scope of Pillar Two based on the Organisation for Economic Cooperation and Development (OECD) Global Anti-Base Erosion ("GloBE") Model Rules. These rules are imposed in cases where the MNE's effective tax rate ("ETR") in the UAE is below 15%. The Bank is domiciled in the UAE only and does not fall under the scope of the Pillar Two rules.

43. Implementation of corporate tax law & application of IAS 12 income taxes (continued)

Below is an analysis of the Bank's income tax recognized during the period

	2025 AED'000	2024 AED'000
Current tax recognized in profit or loss for the period		
Current tax expense on profits for the year	**34,249**	22,992

Reconciliation of tax on profit based on accounting and profit as per tax laws is as follows:

	2025 AED'000	2024 AED'000
Accounting profit before taxation	**336,170**	254,305
Tax calculated on above accounting profit	**30,222**	22,854
Tax effects of:		
Expenses not deductible for tax purposes	**194**	138
Under provision of prior year income tax	**2,254**	-
Tax expense on revaluation gain on property and equipment	**1,579**	-
Total income tax expense	**34,249**	22,992

	2025 AED'000	2024 AED'000
Current tax refund in other comprehensive income for the period		
Current tax (refund)/charge for the period recognized on items that will be reclassified subsequently to profit or loss	**(9,803)**	7,535
	(9,803)	7,535

	2024 AED'000	2023 AED'000
Deferred tax asset		
Deferred tax asset at the beginning of the period	**(7,535)**	-
Increase during the year recognized on items that may be reclassified subsequently to profit or loss	**9,803**	(7,535)
Deferred tax liability / (asset)	**2,268**	(7,535)

	2025 AED'000	2024 AED'000
Corporate tax liability		
Corporate tax liability at the beginning of the period	**22,992**	-
Corporate tax expense for the year	**34,249**	22,992
Corporate tax payment during the year	**(25,246)**	-
Corporate tax liability at the closing of the period	**31,995**	22,992

Notes to the Financial Statements
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43. Implementation of corporate tax law & application of IAS 12 income taxes (continued)

For determining the tax expense for the period the accounting profit has been adjusted for tax purposes. Adjustments for tax purpose include items relating to expense. After giving effect to these adjustments the average effective tax rate is estimated to 10.18% (2024: 9.04%).

44. Subsequent events

There have been no events subsequent to the statement of financial position date that would significantly affect the amounts reported or require disclosure in the financial statements as at and for the year ended 31 December 2025.

45. Restatement of comparative financial information

a) Reclassification of "Cash reserve with the Central Bank of the UAE" from operating activities to Cash and Cash Equivalents

In prior years, the Bank had classified changes in "cash reserve with the Central Bank of the UAE" within "Net cash generated from operating activities". According to the Central Bank of the UAE regulations, the Bank is allowed to draw on the cash reserve with the Central Bank of the UAE on any day up to 100%, while ensuring that, on average, it meets the reserve requirements over a 14-day reserve maintenance period. According to IAS 7 – Statement of cash flows, cash comprises cash on hand and demand deposits.

For the year ended 31 December 2025, the Bank has reassessed the nature of "cash reserve with the Central Bank of the UAE" and concluded that the balance is available on demand and meets the definition of Cash and cash equivalents, and therefore should be classified as cash and cash equivalents in the statement of cash flows. As such, the comparative figures in the statement of cash flows for the year ended 31 December 2024 have been restated in accordance with IAS 1 'Presentation of financial statements' in order to conform with the presentation of the current period.

b) Change in accounting policy for subsequent measurement of investment properties from the cost model to the fair value model

Towards the end of 2025, the Bank changed its accounting policy for Investment Properties from the cost model to the fair value model as the Bank believes that this will make the financial results more reliable and relevant by making the value of the investment properties reflect the market conditions prevailing at the reporting date.

This voluntary change in accounting policy has been applied retrospectively in accordance with the requirements of IAS 8 and, as such, the Bank has restated certain line items in the prior period financial statements for the year ended 31 December 2024 as shown in the table below. Further, the impact of this change has also been retrospectively adjusted in the Bank's retained earnings for the earliest comparative period presented, i.e, at 1 January 2024. The impact of this change on the Bank's other components of equity is not material.

c) Reclassification of Capital work-in-progress related to intangible assets from Property and Equipment to Intangible assets

In prior periods, the Bank had recognised, measured and presented capital work-in-progress related to intangible assets within Property, Plant and Equipment. According to IAS 38, costs incurred for the development

Notes to the Financial Statements
31 December 2025

45. Restatement of comparative financial information (continued)

and preparation of intangible assets for its intended use that meet the recognition criteria of the standard have to be recognised within the cost of the intangible asset. Further IAS 1 requires intangible assets to be disclosed on the face of the statement of financial position.

During the year, the Bank has reassessed the accounting treatment for the capital work-in-progress related to intangible assets and has reclassified the balance from Property and Equipment to Intangible assets. As such, the comparative figures in the statements of financial position as at 31 December 2024 and 1 January 2024 have been restated in accordance with IAS 1 'Presentation of financial statements' and IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors' in order to conform with the presentation of the current period.

The effects of the above restatements are explained in the tables below.

	As at 1 January 2024		
	As previously reported AED'000	Effect of restatement AED'000	Restated AED'000
Statement of financial position			
Investment properties	167,839	10,561	**178,400**
Property and equipment	241,563	(17,689)	**223,874**
Intangible assets	52,724	17,689	**70,413**
Retained earnings	499,224	10,561	**509,785**

	As at 31 December 2024		
	As previously reported AED'000	Effect of restatement AED'000	Restated AED'000
Statement of financial position			
Investment properties	149,223	13,597	**162,820**
Property and equipment	246,040	(26,776)	**219,264**
Intangible assets	45,580	26,776	**72,356**
Retained earnings	684,126	13,597	**697,723**

	Year ended 31 December 2024		
	As previously reported AED'000	Effect of restatement AED'000	Restated AED'000
Statement of profit or loss			
Other operating income	58,308	24,202	**82,510**
Net other operating income	103,299	24,202	**127,501**
Operating income	947,784	24,202	**971,986**
General, administration and other operating expenses	(337,471)	10,662	**(326,809)**
Net profit before net impairment charge	610,313	34,864	**645,177**
Net impairment reversal on investment properties	32,465	(31,828)	**637**
Profit for the period before taxation	254,305	3,036	**257,341**
Net profit for the year	231,313	3,036	**234,349**

Notes to the Financial Statements
31 December 2025

45. Restatement of comparative financial information (continued)

	Year ended 31 December 2024		
	As previously reported AED'000	Effect of restatement AED'000	Restated AED'000
Statement of other comprehensive income			
Net profit for the year	231,313	3,036	**234,349**
Total comprehensive income for the year attributable to shareholders	180,611	3,036	**183,647**

	Year ended 31 December 2024			
		Effect of restatement		
	As previously reported AED'000	Item (a) AED'000	Item (b) AED'000	Restated AED'000
Statement of cash flows				
Profit for the year	231,313	-	3,036	**234,349**
Depreciation on investment properties	10,662	-	(10,662)	**-**
Impairment reversal on properties	(31,828)	-	31,828	**-**
Fair value gain on properties	(637)		(25,885)	**(26,522)**
Gain on sale of investment properties	(3,339)		1,683	**(1,656)**
Cash reserve with CBUAE	(117,091)	117,091	-	**-**
Net cash outflow from operating activities	2,292,671	117,091	-	**2,409,762**
Net decrease in cash and cash equivalents	(450,373)	117,091	-	**(333,282)**
Cash and cash equivalents at 1 January	2,930,077	921,605	-	**3,851,682**
Cash and cash equivalents at 31 December	2,479,704	1,038,696	-	**3,518,400**

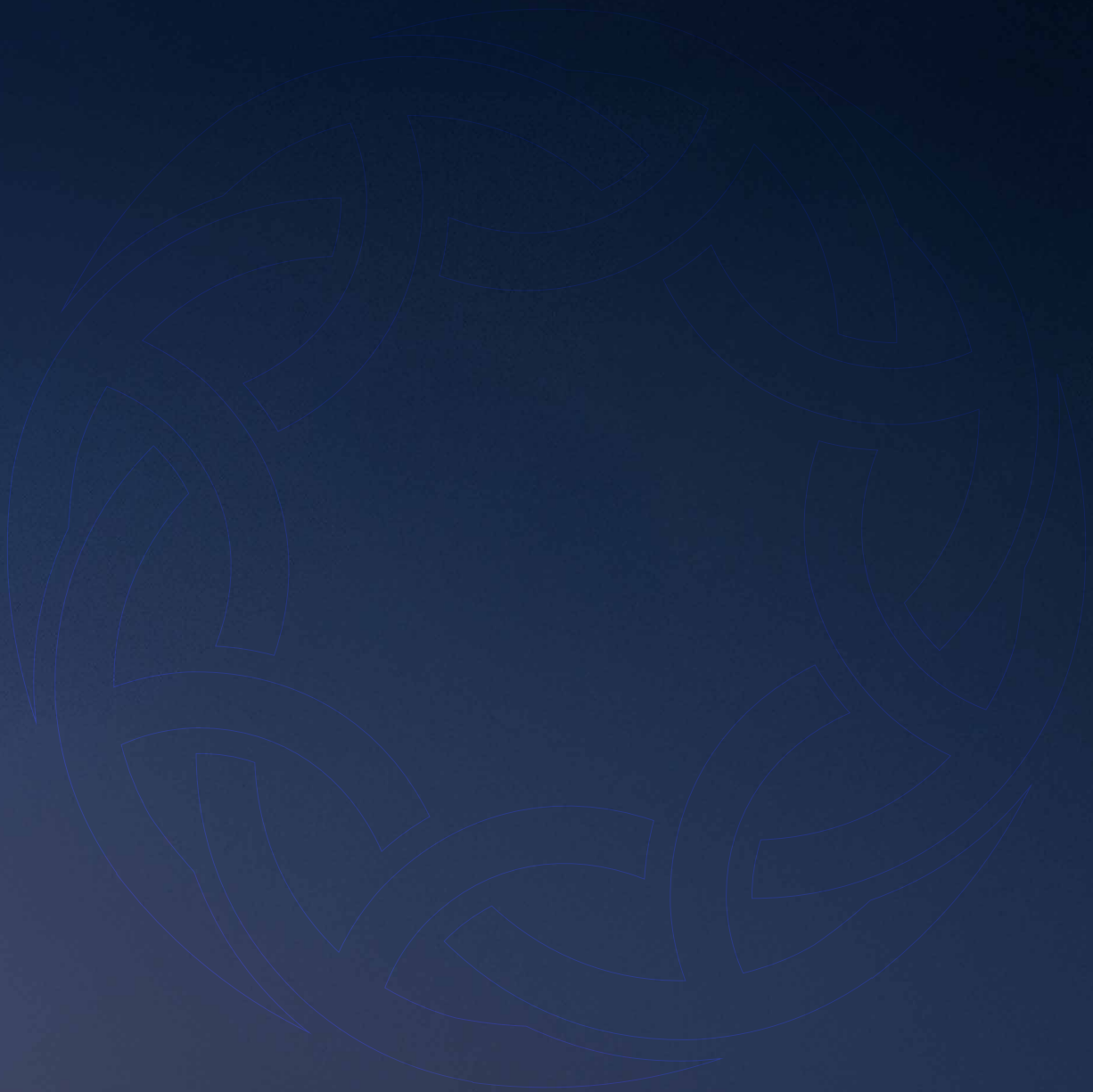
	Year ended 31 December 2023		
	As previously reported	Effect of restatement	Restated
Statement of profit or loss			
Other operating income	28,015	8,185	**36,200**
Net other operating income	79,694	8,185	**87,879**
Operating income	904,880	8,185	**913,065**
General, administration and other operating expenses	(319,755)	10,662	**(309,093)**
Net profit before net impairment charge	585,125	18,847	**603,972**
Net impairment reversal on investment properties	17,312	(17,403)	**(91)**
Net profit for the year	189,415	1,444	**190,859**

	Year ended 31 December 2023		
	As previously reported AED'000	Effect of restatement AED'000	Restated AED'000
Statement of other comprehensive income			
Net profit for the year	189,415	1,444	**190,859**
Total comprehensive income for the year attributable to shareholders	241,640	1,444	**243,084**

Notes to the Financial Statements
31 December 2025

45. Restatement of comparative financial information (continued)

	Year ended 31 December 2023			
		Effect of restatement		
	As previously reported AED'000	Item (a) AED'000	Item (b) AED'000	Restated AED'000
Statement of cash flows				
Profit for the year	189,415	-	1,444	**190,859**
Depreciation on investment properties	10,662	-	(10,662)	**-**
Impairment reversal on properties	(17,403)	-	17,403	**-**
Fair value loss/(gain) on properties	91	-	(8,185)	**(8,094)**
Cash reserve with CBUAE	(483,355)	483,355	-	**-**
Net cash outflow from operating activities	1,328,379	483,355	-	**1,811,734**
	219,561	483,355	-	**702,916**
Net increase in cash and cash equivalents	2,710,516	438,250	-	**3,148,766**
Cash and cash equivalents at 1 January	2,930,077	921,605	-	**3,851,682**
Cash and cash equivalents at 31 December	2,479,704	1,038,696	-	**3,518,400**



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